

# Piramal Pharma (PPLPHARMA)

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## Call: Nov 2022

Piramal Pharma Limited

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11th November , 2022

BSE Limited

P.J. Towers, Dalal Street, Fort,

Mumbai - 400 001

BSE scrip code: 543635

National Stock Exchange of India Limited

Exchange Plaza, Bandra -Kurla Complex,

Bandra (East), Mumbai – 400 051

NSE symbol: PPLPHARMA

Sub: SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015  
(‘Listing Regulations’) - Transcript of Conference Call with Investors/Analysts

Dear Sir / Madam,

In continuation of our letter dated 02th November, 2022 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Conference Call held on 9th November, 2022 to discuss the Q2 FY2023 Results of the Company

The transcript of the said conference call is also hosted on the website of the Company at <https://www.piramal.com/investor/piramal-pharma-limited/financial-reports/investor-calls/>  
Kindly take the above on record.

Thanking you,

Yours truly,

For Piramal Pharma Limited

Vivek Valsaraj

Whole -Time Director & CFO

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“Piramal Pharma Limited's Q2 FY'23 Earnings Conference  
Call”

November 09, 2022

MANAGEMENT : MS. NANDINI PIRAMAL – CHAIRPERSON , PIRAMAL

PHARMA LIMITED  
MR. PETER DEYOUNG – GLOBAL CHIEF EXECUTIVE  
OFFICER , PIRAMAL GLOBAL PHARMA  
MR. VIVEK VALSARAJ – CHIEF FINANCIAL OFFICER ,  
PIRAMAL PHARMA LIMITED  
MR. GAGAN BORANA – GENERAL MANAGER ,  
INVESTOR RELATIONS & SUSTAINABILITY , PIRAMAL  
PHARMA LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Piramal Pharma Limited Q2 FY'23 Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Gagan Borana – GM, Investor Relations & Sustainability , Piramal Pharma Limited . Thank you , and over to you , sir.

Gagan Borana : Thank you , Vivian. Good evening, everyone. I welcome you all to our First Earnings Conference Call Post -Demerger to discuss our Q2 & H1 FY'23 Results .

Our results material have been uploaded on our website and you may like to download and refer them during our discussion. The discussion may include some forward-looking statements and these must be viewed in conjunction with the risk that our business faces .

On the call today , we have with us M s. Nandini Piramal – Chairperson , Piramal Pharma Limited; Mr. Peter DeYoung – CEO , Global Pharma; and Mr. Vivek Valsaraj -- CFO of our company .

With that, I would like to hand it over to M s. Nandini Piramal to share her thoughts.

Nandini Piramal: Good day , everyone , and I thank you for joining us on our first results earning call as an independent and focused pharma company.

As you are aware, we have completed the demerger of Piramal Pharma Limited from Piramal Enterprises and are now a separate listed company on both the BSE and NSE. It is an important milestone for the company. The demerger simplifies the corporate structure , strengthens the governance architecture, with dedicated board and management team , optimizes the capital structure, and facilitates the businesses to independently pursue growth plans organically and inorganically. This should help unlock value for all our stakeholders.

I would like to let you know that the US FDA recently concluded Good Manufacturing Practices (GMP ) inspection of Piramal Pharma's Riverview , Michigan facility, which was completed successfully last week with 483 observations.

I'm going to now move to talking about the performance of the company in Q2 & H1 FY'23.

During the quarter , we registered a revenue growth of 9% delivering revenues of Rs.1,720 crores. Our growth for H1 was 11% with revenues of Rs.3,202 crores . Historically, H2 has always been much stronger than H1, with about 55% of total revenue, and 66% of the EBITDA being booked in H2. We expect a similar trend to follow this year as well.

Our CDMO business grew by 6% and 12% respectively during the Q2 & first half of the financial year, backed by growth at our Turbhe, Grange mouth and North America facilities.

Complex Hospital Generics grew by 12% during the quarter and 11% for the first half.

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Inhalation and seizure sales reported a healthy growth during the quarter and first half of the financial year.

India Consumer Healthcare businesses registered a robust growth of 18% for the quarter and 12% for the first half of the financial year despite the high base of the last financial year, where our business grew close to 50% YoY.

Normalized EBITDA margin during the quarter and the first half of the year was 13% and 12%, respectively, nearly at the same levels as the previous year. We expect meaningful improvement in the EBITDA margins in H2 over H1 in line with improved traction in sales in H2. Over the years , we've consistently delivered profitable growth, which is reflected in the 13% revenue CAGR and 24% EBITDA CAGR between FY '12 to FY'22.

In the last two years , due to the pandemic and Ukraine -Russia conflict, we've seen a challenging

business environment. We've been doing our best to address the short-term challenges, and we're optimistic that we will bounce back to our historical growth rates with an improvement in profitability. Even during these times, we have remained steadfast in our commitment to make

growth-oriented investments across the sites and businesses in line with our plan.

Moving on to Business Specific Highlights: Starting with the CDMO business, over the last 10 years, our CDMO business delivered a healthy revenue growth of 13.5% CAGR, driven by differentiated capabilities, diversified manufacturing base which is aligned to customer needs and integrated service offerings, acquisitions as well as best-in-class track record in quality and regulatory.

Navigating the current inflationary raw material and energy prices is an important challenge for us. And we're trying to offset that through judicious price increases and working on several cost optimization and operational excellence measures. We're focused on addressing these challenges and are positive about our growth prospects going forward.

In terms of structural trend wins, we're seeing an increase in customer audits which were affected during the pandemic due to travel restrictions, and I think continued traction in form of Request for Proposal (RFP). However, slower decision-making by customers owing to the macro economic environment is leading to some lag in the order book.

In terms of customer profile, we have a diversified mix of big pharma companies, emerging biotech companies and generic companies. While we're ensuring low revenue concentration, at the same time, we're looking to grow deeper with our key clients. Our revenue from our top 10 clients' accounts for about 40% of CDMO revenue.

Our differentiated offerings such as both in sterile, injectable, high potent APIs, antibody drug conjugates, peptides and collagen, etc., continue to attract customers.

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Quality and Compliance is also an important aspect in our business. During the first six months of the financial year, we successfully created about 20 regulatory inspections and more than 100 customer audits, thereby maintaining our best-in-class quality and compliance track record.

Through customer-led Brownfield expansions, we're expanding capacities at our major sites including Aurora, Pithampur, Riverview, Grange mouth and Mahad. In all, we've committed about \$157 million of growth-oriented CAPEX investments across the various sites, which is expected to be completed over the next 18 to 24 months. Integration of our acquired businesses as well as the capacity expansions, which are at our site to earlier delayed due to the pandemic are back on track. We expect to navigate through these challenging times and emerge a stronger company going forward.

Moving to our Complex Hospital Generics: Our CHG business grew by 11% to 12% during the quarter and half year of FY'23. Inhalation Anesthesia portfolio continued strong performance in the US market. In the non-US market, we're seeing a healthy demand for our products, and now we are accordingly increasing our capacities in this overseas market. In the inhalation anesthesia portfolio, we're one of the few players in the world that has the capabilities to manufacture all four generations of inhalation anesthesia products. We've also vertically integrated with in-house manufacturing to make starting materials at our specialty fluorochemicals facility in Dahej. Our Intrathecal portfolio in the US continues to command a leading market share.

In the Injectable Pain Management segment, we've seen good performance in markets like Japan, South Africa and UK. However, that was offset by supply constraints in other markets. We're working towards improving the supply of these products and are seeing improvements. We continue

on our focus to build a pipeline of injectable products that will augment our portfolio of offerings in this space. We have 37 SKUs currently in the pipeline. We launched two products during the quarter including a prefilled syringe in Germany, and are expected to launch eight SKUs in various target markets in the second half.

Moving on to our India Consumer Healthcare business. Despite a higher base, we delivered a healthy mid-teen growth in the Q2 & first half of the year. Robust growth in our power brands have been a key contributor to this performance with the growth of 40% in the first half of FY'23. Our power brands contributed 42% to consumer healthcare sales during the first half. In line with our stated strategy, we're reinvesting our profits in the consumer business to grow our power brands.

We spent about 15% of our revenues on media and trade promotion, which are yielding good results, as reflected in the performance of our power brands.

We also launched 10 new products and 11 new SKUs during Q2 FY'23. New products launched since April '20 contribute about 15% of the consumer business sales.

We have a good reach in the general trade with access to over 200,000 or two lakh outlets. We are strengthening our presence and alternate channels of distribution including e-commerce,

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modern trade and our own website, Wellify.in. E-commerce contributes to about 15% of total consumer business sales and has been growing well.

To summarize, I'd like to say, all of our key businesses have a key compelling plan for their growth and are executing on their respective strategic priorities. We expect about 15% revenue growth in the next three to five years. We also expect to improve our operating margins through scale advantages, and therefore improve our return on capital employed. Today, we serve as a strategic partner of choice to big pharma, emerging biopharma and generics companies globally, and our team comprises of over 6,000-plus multicultural employees, 15 manufacturing facilities across the globe and a global distribution network in over 100 countries. We take pride in our outstanding quality record, and our focus on patient customer and consumer centricity. Our conscious endeavor is to perform ESG aspects of environmental, social and governance as a part of our DNA as a responsible organization.

I'd like to hand over the call to Vivek – our CFO, to Provide an Explanation of our Financial Statements.

Vivek Valsaraj: Thank you, Nandini. Good day, ladies and gentlemen. I'll provide a brief explanation on our financial statements. The Hon'ble NCLT on the 12th of August approved the Composite Scheme of Demerger of the Pharma business from Piramal Enterprises into Piramal Pharma and Amalgamation of PPS, a wholly-owned subsidiary, Hemmo Pharmaceuticals & Convergence Chemicals into itself, with an appointed date of 1st of April 2022.

Accordingly, the financial statements of Piramal Pharma have been prepared giving effect to the scheme from the 1st of April 2022. Financial statements for Convergence Chemicals and Hemmo, wholly-owned subsidiaries of PPL have been combined, as if this amalgamation had occurred on the 1st of April 2021 or from the date on which the company acquired control of these subsidiaries, whichever is later.

Prior to the demerger, Piramal Pharma had entered into an agreement with Piramal Enterprises for continued onward sale by Piramal Enterprises of products under the government tenders that were obtained in the name of Piramal Enterprises till obligations under these tenders were fully met. The agreement also included sale of Piramal Pharma's consumer products, through Piramal Enterprises CFA network till all requisite licenses, registrations and permits were fully transferred in the name of Piramal Pharma. In accordance with scheme of demerger of the

pharma undertaking has been considered as a non-common control transaction, and accounted as a business combination under IND AS 103 in the financial statements of Piramal Pharma w.e.f. 1st of April 2022. Accordingly, the financial results for the quarter and six months ended September '22 are not comparable with corresponding previous periods. The comparable financials are available on slide #32 of the Investor Presentation which is available on our website.

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All the closing inventory as on 31st March 22, at Piramal Enterprises in respect of such transactions included the margin element which was charged by Piramal Enterprises on an arm's length basis.

Since the demerger is effective 1st April, the opening inventory transferred to Piramal Pharma at a fair value as per IND AS included the margin element, and the same has been charged to the P&L in the first quarter of Piramal Pharma's financial statements on sale of such products by the company. The one-time non-recurring impact of EBITDA of this inventory margin in Q1 financials is Rs.68 crores.

With this, I now leave the floor open for questions.

Moderator: Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: My first question is around the CDMO business, specifically the generic part of it, which I believe is a significant part of the overall CDMO business. So, could you help me understand some dynamic of this business like are we doing APIs in this business or it's like finished goods and like what kind of clientele we have, is it largely big Pharma or specific players or what is the nature of long-term contract, is it stable in margins or are these like niche products, if you can highlight something around this specific generic CDMO business?

Vivek Valsaraj: If I understood your question correctly, I will try to respond to that. There are two kinds of generics if I broadly categorize that. The first part is the generic that we do for our customers under CDMO arrangement. This includes both APIs and formulations which are done from our various facilities in India and overseas. And the second part is our generic API. So, we have our own DMF which we supply to multiple customers. So, that's made to stock.

Ankush Agrawal: So, the CDMO business includes some spot API business as well is what you are saying?

Vivek Valsaraj: Yes, it includes both APIs and formulations.

Ankush Agrawal: So, would you be able to quantify a little more like how much of the business spot API business,

you are saying it's spot business you are doing and how much is CDMO business you are doing in that long term contracts?

Vivek Valsaraj: See, broadly, our categorization is 60% of our business into APIs, about 40% is formulations.

Ankush Agrawal: But this includes developments in pipeline as well, right?

Vivek Valsaraj: Yes, it does.

Ankush Agrawal: So, in the medium to long-term, what kind of traction is there from this kind of generic business, do you expect the CDMO business to move more and more towards the niche development

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pipeline or do you continue to believe that you want to grow on the generic space as well in the longer run?

Peter DeYoung: On the API side, we would expect to continue to see growth there, because we are obviously going to be filing. So, new DMFs are looking to get further sales with existing DMFs that are not fully access to all the customer potential. Like, second you mentioned on growth, that will probably be higher in the generic API. We have recent acquisition and integration of the Hemmo Pharmaceuticals which makes generic peptide APIs. We think there is a very compelling of DMFs in the pipeline for

that business as well. That being said, we would also

expect to see good growth in our API services business as we continue to support our customers as their pipelines progress in the clinic and later hopefully succeed commercially after being approved and launched. So, we would see multi-dimensional growth across our API business both in the generics area and in the services area for the reasons described.

Ankush Agrawal: Would you be able to give a qualitative sense of the margin between different business segment of ours, which could be the highest margin business across the three segments that we operate in, something on that front?

Nandini Piramal: As I said, on the consumer healthcare business we are taking it as breakeven, so the other two are as such.

Moderator: The next question is from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: My first question is on CDMO business. So last quarter, it was mentioned that the segment got impacted due to some project delays and some cost pressures, etc., So can you update on that, what has been the progress? And ma'am mentioned there will be significant improvement in margins in the second half. So how do you see margin trajectory moving over the next few quarters, and what is your goal in terms of reaching your CDMO business ultimately?

Vivek Valsaraj: Firstly, the challenges that we had spoken about in the earlier quarter, want to state that mitigation measures have been taken against each of them, which we are continuously monitoring. We spoke about people and attrition, and several measures have been taken to ensure that our vacancies are filled in across multiple sites. Also, with respect to whatever the execution challenges that we faced at some of our facilities, there is an action plan and most of the measures which had to be taken, they're all being implemented and monitored on a consistent basis. In terms of the overall operating margins for H2, which is October to March period, we expect a meaningful improvement, and this will largely come in from a higher top line. So, we expect top line to have mid-teens growth in H2 and that will also lead to improvement in the overall operating margins due to fixed cost leverage. Going forward, our aim is to consistently improve upon this margin. And we stand by our earlier guidance of aspiring to move towards the mid-25%, 26% range over the next few years across all businesses.

Damayanti Kerai: My second question is again on CDMO piece. So very broadly at sector level, can you discuss a bit about the demand scenario? So in your press release mentioned that you are seeing a lot of

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requests for proposals, but finalization of projects, etc., are getting delayed. So, should we assume that due to difficult macro environment, customer queries are coming in, but they are not getting signed at this point of time, but eventually they should be open for business in the coming period?

Peter DeYoung: So I would comment on this. This is primarily in the on-patent segment within the services business in the CDMO. And on that, we're seeing consistent RFP flow in this year versus prior years by value. And so, we are seeing the RFPs coming in. And we are spending time with our potential customers, some of which are current customers. When they do conclude, our win rates are the same as in prior years. And so we are winning what we would say consistent percentages of the proposals that do come in when the clients make decisions. And we'd say that the potential clients that we're working with are appropriately financed to make decisions and progress their pipelines as the decisions are needed to be made. I think what we would say, we are seeing is that perhaps in the prior funding environment, our clients or potential clients would be making

decisions before clinical

Results would happen in a given phase. So they can be positioned for success, assuming a positive result from that trial that would be underway, whereas now it seems as they're looking more prudently at their cash flows and their allocation of capital, that they're making decisions on those same programs after the clinical results would happen. And so, we would see a more protracted time, from let's say, RFP intake to RFP decision this year than prior years.

Damayanti Kerai: Just to clarify, it's just the timing, which is getting shifted as you mentioned, but the win rate or the kind of projects which we are getting is similar to what you achieved in the past period?

Peter DeYoung: Only one minor difference would be that we maybe are seeing a bit more of a late stage proposals coming in than perhaps earlier years. So, the actual mix of proposals is also slightly higher weighted towards let's say a Phase -III and whereas in prior years we'd see, let's say a modestly higher number of Phase -I and IIs. From our perspective, we think that those potential clients would be better funded, and also the ultimate values and volumes when successful would be higher. But also we find that typically a Phase -III decision would take longer than a phase -one or a Phase -II decision.

Moderator: The next question is from the line of Sumit Gupta from Motilal Oswal. Please proceed.

Sumit Gupta: Sir, I have two questions. First is considering the muted first quarter of this fiscal year, does the ratio of the EBITDA for first half to second half still stands at 32 to 68 or can it be expected to be more lopsided in second half?

Vivek Valsaraj: So, as I alluded to, we do have a significant skew towards the second half historically as you've seen and that trend will continue. And likewise, you will see a very similar trend in terms of margin as well, that will be significantly skewed towards the second half as you have seen in the past.

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Sumit Gupta: Second question is can you give us a breakdown for the growth prospects in the complex hospital generics into demand revival for existing products versus the newly launched products?

Vivek Valsaraj: We're not giving demand forecast separately by business segments and sub-segments of the business, Sumit.

Sumit Gupta: Last question is if you can provide an outlook on the net debt levels and the interest cost?

Vivek Valsaraj: So, as we've guided, Sumit, earlier that our debt levels that we're looking at about is four to four and a half times EBITDA, and that's the level that we should be comfortable standing by.

Sumit Gupta: So this is for FY '23 and '24 or '24 will be less?

Vivek Valsaraj: For FY '24 as well. As we've already guided that we'll be having some growth investments that we are going to do, so it would be on similar lines, the criteria would apply for FY '24 as well.

Moderator: The next question is from the line of Surya from PhillipCapital. Kindly proceed.

Surya: First question is on the overall business structure. Since Piramal Pharma becoming the kind of independent company, so can you reiterate your segmental growth plans for next two to three years or next five years, because you have talked about the capacity additions, you have given margin indications over two to three years and all that, but in terms of growth, what are the key drivers that you're witnessing for the three business segments?

Peter DeYoung: I'd say the segment wise. The first segment would be the CDMO segment, and we would look at essentially a combination of capacity investments, coupled with client pipeline progressions.

And so, if you look at it, we have a number of late stage clinical programs that are at our facilities already doing work on them. And we would expect with a reasonable attrition rate of those programs in the clinic, and their subsequent progression

of those that succeed, combined with

capacity investments to support our being able to serve those clients as they progress is why we think that our growth in that overall segment should be much higher in the future than it was in the past. And that's driven by the fact that we have nearly 30, 34, 35 Phase -III programs and about I think nearly 20, on the market recently we launched commercial programs. And so that bolus of late stage clinical work and early commercial work is a lot of what's going to drive future growth at a higher rate than in the past. And that's on top of all the ordinary course of work and business we're doing, that's going to continue. And that's why it's going to be on top. So, that's the CDMO answer. In the complex hospital generics market, we are still far from fully realizing our potential in the inhalation anesthetics segment. We have a limited number of competitors and we've been steadily growing market share there and we believe that we are well positioned to support continued growth in that segment and we're investing in further backend capacities and capabilities to support that growth. And so, we think it continues to be a meaningful grower as it has in the past and we still think there's meaningful market opportunities there. And then I think the second leg of growth will be as we now are gaining more control over the supply chain through the transition of the CDMO for our acquired injectable pain products,

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we think that we're going to be able to exploit some modest opportunities for growth in that segment. And the third one is that we're continuing to progress our pipeline of other pharmaceutical products that we sell to the same channel that we sell our inhalation products. And we would expect that as those projects come to the market that we should be able to have growth from those new additions, and we are seeing growth in them in the current period and we'd expect to see growth in the subsequent periods as well. So I think those are the three legs of, I guess, sources of top line growth in the complex hospital generics.

Nandini Piramal: On the consumer products into health, I think we should see growth through our power brands. We're investing about 15% of top line currently in media and trade promotions, and I think as you get scale, we will see increased profitability from that business as well. And the way we would see increased growth is both by finding new consumers for existing products, but also launching new products and new formats across the board.

Surya: To better understand the profitability of this segment and the overall consolidated operation of Piramal Pharma, so, we have seen a kind of very strong margin performance trend over 2019, 2020, 2021 like that, then 2022 was a kind of a depressed one, and running year is looking even more further depressed. So it is really difficult to understand what is the core margin trend of these businesses? And also CDMO, if we see that, okay, it is a long established steady performing and consistently growing business that we have seen as a track record, but the margin profile has not moved on to the kind of the peers level, it is subdued meaningfully. So, could you give some sense, let's say, last year, FY'22, if we say that it was 18% and now, for the first half, if you're saying, it is a 14% kind of margin trend, so how far are we from the kind of a normalized margin trend for the consolidated business and particularly for the CDMO, if you can give some clarity that would be useful?

Vivek Valsaraj: Let me first articulate as to why the margins actually dropped during the interim period. As you're aware, there were a couple of factors that happened. First was our conscious decision that as far as the consumer products business is concerned, we would be reinvesting the profits back into the business. So,

consciously, we're keeping this at EBITDA -neutral and we are spending more on sales promotion so that we can grow top line faster. The second is, during the course of the pandemic, sales more specifically at our overseas facilities, were at a scale lower than what it should have been. As you can imagine, the overall fixed cost is comparatively higher, and therefore this had an impact on the overall margins. Coupled with this was the larger macroeconomic factors where inflation and general increase in all the cost of inputs also led to margin pressure. Having said that, actions are being taken. As we have spoken before, price increases wherever possible, we've been taking those, whatever cost optimization, operational excellence initiatives had to be done, we have introduced those as well. And as far as CDMO business is concerned it's largely a fixed cost leverage gain, the more we sell, the more the margin can increase. And the intent right now is whatever the capacity is that we're building across our various overseas facilities as well as creating capacities wherever there is demand, idea is to grow those sales faster, so that we can see a margin expansion. And yes, we remain committed to our guidance of increasing the overall margins to the levels that I alluded to before, we will be moving in that direction to be able to expand the margins.

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Surya: Can you give some more clarity about the CAPEX plan earlier we alluded to? Already it's about \$157 million. In which areas you are putting that? What is your current global market share for the inhalation anesthesia?

Peter DeYoung: This was list some of the larger ones and if you look at our investor presentation, we do actually itemize some of the other ones, but we have an ongoing expansion at our Riverview, Michigan API facility which is focused on, I guess, potent and high potent API services. The second one is in our Grange mouth, UK facility which is focused on conjugation of our ADCs or Antibody Drug Conjugates, and that's a Brownfield expansion at that location. Those are the two largest expansions in terms of consumers of capital committed projects, but we do have a number of other projects ongoing at our Sellersville facility and our Lexington facility, at our Turbhe peptide facility and some of our other locations. And you can see that list in our investor presentation.

Surya: On inhalation market safeties?

Peter DeYoung: You can probably get your own IQVIA data to your own interest, but I'd say, we'd be in the low-to-mid-teens. So, we have a lot of headroom.

Moderator: The next question is from the line of Praveen Shreenivas from Samsung Asset Management.



Kindly proceed .

Praveen Shreenivas: So, wanted to understand firstly, what is the nature of the other income that is in the financial statement, Rs.278 crores in FY'22 over the Rs. 118 crores in H 1?

Vivek Valsaraj: So, this includes the FOREX gains, it includes the government grants, which we get on our capital investments, especially overseas we get subsidies, it includes a bit of fair value, bit of past provisions, which are no longer required. So, it's a mix of many things actually.

Praveen Shreenivas: Which will be the dominant aspect amongst all you have listed?

Vivek Valsaraj: Currently, predominant portion is FOREX gains .

Praveen Shreenivas: Can you give some sense of how much of the other income of the FOREX?

Vivek Valsaraj: We're not discussing sub -GL level numbers right now.

Praveen Shreenivas: In the CDMO business , can you tell me currently How many products are commercial manufacturing? And also, I think you had given the pre -commercial product number in the slide for FY '22. Is there any update on that number for Q2?

Peter DeYoung: I don't think we update those numbers on quarterly basis . When we next refresh them , let you know. So I

think what's in this slide is the most recent

Praveen Shreenivas: And in terms of commercialized products, how many are there ?

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Peter DeYoung: I think we disclosed the number of on-patent commercial products in the materials, but we are disclosing the number of total off -patent .

Praveen Shreenivas: How many are in patent -- eight , I think , if I am not wrong ?

Vivek Valsaraj: 19.

Praveen Shreenivas: And finally, could you tell me the CAPEX guidance for both FY '23 and FY'24?

Nandini Piramal: It would be about \$157 million over the period.

Moderator: The next question is from the line of Ranvir Singh from Edelweiss Wealth. Kindly proceed .

Ranvir Singh: In press release, you mentioned that during the demerger, part of the tender -based business in India remain with Piramal Enterprises and part of the OTC products also, because the licenses for OTC where the transfer is pending. So that I wanted to understand what's the portion of revenue that is just aligned with Piramal Enterprises?

Vivek Valsaraj: So, let me just clarify that that firstly, the arrangement is Piramal Pharma actually sells this to Piramal Enterprises , so that Piramal Enterprises can do the onward sale. This is basically because those tenders were won in the name of Piramal Enterprises. So , all of the revenue actually goes through Piramal Pharma to Piramal Enterprises. The difference between the two is to the extent of the unsold inventory that was remaining with Piramal Enterprises. All those inventories have now been taken back. So , it's not as though there is some sale which is recorded by Piramal Enterprises which is not part of Piramal Pharma . All revenues are routed through Piramal Pharma to Piramal Enterprises. And this will continue only till the point these tenders or obligations are completed , post which Piramal Pharma will directly service obligations against such tenders.

Ranvir Singh: So, when Piramal Enterprises would completely out of the channel?

Vivek Valsaraj: I'm sorry, if you could please repeat your question.

Ranvir Singh: So from Piramal Pharma whatever inventory is currently routed through Piramal Enterprises , so one, we can expect that directly we will be selling it , I mean, what is the light of that particular tender where we needed to send inventory to Piramal Enterprises ?

Vivek Valsaraj: We expect all these obligations to be completed by the end of this fiscal . Whatever are the new tenders , Piramal Pharma is by directly applying in its own name.

Ranvir Singh: And just I think you alluded to earlier participants also on margin side . Again, if we look at FY'18, '19 period or before that , our CDMO business used to generate 20% -plus kind of margin.

So, what actually went wrong , because one factor you said that in consumer healthcare we have started investing , you also mentioned that consumer healthcare is breaking even now. So even at this breakeven level, and if you explore this business also, it still seems that CDMO business

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has somehow significantly lost their margin. So , what was the reason -- is it that some competition has come in there in particular because projects from my understanding is not correct here ?

Vivek Valsaraj: Firstly, I don't think we've spoken about CDMO margins, specifically whatever we have reported for the company as a whole. And secondly, as I earlier mentioned, during the pandemic, we did see sales actually getting impacted in the CDMO space. And as you're aware that we acquired some of the facilities overseas in CDMO , the revenues were not up to the mark in terms of what was actually expected during the pandemic, and the CAPEX investments during the pandemic

were delayed. That's the reason there was a margin compression. Having said that, in future, the margin expansion

would largely be coming from higher top line. So, as I alluded earlier, it's a fixed cost business, as you sell more, your margins start improving ... so it's about fixed cost leverage. And that will be the primary driver for margins in the CDMO space.

Nandini Piramal: I think the other one is, we expect some of the Phase -III molecules to actually get to commercial. And as they get to commercial, we should see volumes and orders increase. So, that will also basically fill up the capacity.

Ranvir Singh: So, it's more of operating leverage, that's what you're saying. Like we are not expecting any high value products or something coming in pipeline, which could drive the margin here in CDMO?

Nandini Piramal: Right now, I let's aim for the ones and twos. If you get a four and six, that will be upside.

Ranvir Singh: This CAPEX of 157 million, is the 18 months the implementation time or 18 months -?

Nandini Piramal: Within the next 18 -24-months. So, it's a series of projects, some of them will come on line sooner rather than later. So, kind of over the next 18 -24-months.

Ranvir Singh: What level of debt we can expect by the end of FY'23?

Vivek Valsaraj: So, as I said earlier, the max debt that we're looking for is in the range of four to four and a half times of EBITDA. That's where we see ourselves.

Ranvir Singh: In absolute term, currently Rs.4,300 crores debt that we have, so what's your debt repayment obligation in next six months?

Vivek Valsaraj: It's like this, our debt repayment obligations are fairly well diversified, if that's where your question is heading towards and it takes into consideration whatever our investment requirements as well, and our debt levels would be about four to four and a half times EBITDA that's where we will be.

Moderator: The next question is from the line of Kunal from Nuvama Wealth. Kindly proceed.

Kunal: My first question is on complex hospital generic's business. Now, one of your US competitors generic player has said that they're going to launch Sevoflurane by the end of this year. So I

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understand this is a business that supplies are restricted. So, just want to understand, when a new competitor comes in the market, how does the market dynamic change?

Peter DeYoung: I think we've seen the introduction of new competitors in the US market over time, and we believe that this particular product category is more resistant to entrants, and that's due to the combination of limited people who can manufacture the active ingredient, and bottling requirements to actually package it into the final packaging, and then the actual product has been used in a hospital setting, or an institutional setting where the bottle is actually placed into a vaporizer, which is attached to the anesthesia machine and the vaporizers in many, but in not all the company is providing the drug. And further many of these are contracted through GPOs IDNs or hospital contracts. So at least when we saw the last set of entrant come in after us, we saw that they kind of nibble on the edges, but didn't really get meaningful share, and they've been in the market for a number of years because it's a slightly more complex sale than just a straight catalog sale in a retail market where you would see different dynamics. And that's part of why we like this segment, because we do find that while people may get approvals, and they may enter, we do find that in due course, it's difficult for them to gain share, because it requires specific capabilities and a particular channel strategy.

Kunal: Second is on consumer business. I understand you have fairly ambitious plans of doubling revenue in the next three to four years. But I assume to do that, you'll have to put in a lot of investments, especially, there'll be a lot of OPEX also, a lot of digital advertisement, so on and

so

forth. So does it mean the profitability in this business will also remain subdued for the next three years?

Nandini Piramal: So I think what we see is as we get to about a milestone of about Rs.1,000 crores, we think sufficient scale to cover a lot of the fixed and variable costs, and we should then see a steady increasing profitability from there. Will we jump to the steady state profitability immediately?

No, but we should see steady increases in profitability.

Kunal: In three years' time, would it be fair to assume that you would be somewhere in teens margin in this business or would it be lower?

Nandini Piramal: We'll be on the pathway.

Kunal: So, while you want to double your CDMO revenues in the next five years, I assume that mix in the business should also change. If the mix doesn't change, then it becomes difficult to increase the profitability also, right. For example, you have around 70%, from commercial manufacturing today. So would that become lower or higher with developed, markets contribute a lot more?

Just want to understand if you can drill down a bit more on how we should see this as three or four years down the line?

Peter DeYoung: So we don't give sub-segment level guidance, but we can give you some directional trends. We would say that right now, about 60% of the revenue in the CDMO would be from API or drug substance, and we would probably expect that should probably grow at a faster rate than the overall. Piramal Pharma Limited  
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overall. And I think the second maybe guidance I can give from a qualitative level would be is that, we would expect our on-patent development and on-patent commercial to grow at a faster rate than the overall. So I think those two together, and not all on-patent development or commercial drug substance and not all drug substances on-patent. But I'd say that those two sections should grow a bit faster. And I think maybe the only outlier I would draw is that we would expect our fill finish capabilities which are drug product or probably go to a faster rate than our overall maybe drug product capabilities.

Moderator: The next question is from the line of Hitesh Agarwal from Fair Value Capital. Kindly proceed.

Hitesh Agarwal: If we look at the net debt-to-EBITDA ratio, it is around 4.5 times as mentioned, and you have guided a CAPEX of around Rs.1,200 crores in the next 18 to 24 months. So, I wanted to know like, if you could throw more color, how we'll be able to fund this CAPEX? And second question, could you elaborate more on the CAPEX spending across different segments?

Vivek Valsaraj: I think in a way responded to the query earlier. As I said, our overall debt schedule which we have today is fairly well diversified. It does take into consideration of whatever our investment needs, and also over a period of time internal accruals should be able to be sufficient for repayment of debt as and when they fall due for repayment. So all of this has been taken into consideration. My only request is, if you look at the net debt-to-EBITDA ratio as it stands today... I understand where you're coming from, but you need to understand that here obviously has seen some impact. Going forward, we obviously expect these ratios to improve. And accordingly, the ability to service debt go through a mix of internal accruals as well as being able to raise debt for the ones that we've already retired. That should help take care of the overall requirements of CAPEX.

Hitesh Agarwal: My next question is like, we have seen good revenue contribution from the developed market, I believe kind of due to the inflationary headwinds in energy costs there. Are we seeing more order enquiries by the innovators from those markets as such?

Peter DeYoung: Maybe this is a bit of a macro question and I presume you're talking about the CDMO business. And in that we're seeing three trend

s that are playing out somewhat in parallel and we are yet to see how they're going to fully conclude. And that's also why we think our business model choice is favorable, because we have capabilities in both the west and the east. So, the first one is there is we're hearing a number of enquiries from companies looking for a China Plus One strategy. And what this means is that at least from the board perspective of the client, or the decision-making governance there, maybe currently sourcing something from China and they're saying, can we get one other source in an emerging market where we could have reasonable value, but something other than China. So, we're seeing increasing number of enquiries in particular at the recent CPHI Conference in that direction. I think the second trend is that if you look at the end market, pricing for pharmaceuticals, and the buyers of those pharmaceuticals, we expect them to be under some amount of pricing pressure, because of fiscal deficits and the money being spent in other areas and inflation reduction act and some of the other equivalents in other countries. We would expect in due course there to be pressure on value, and we would expect Piramal Pharma Limited  
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that one source of value would be looking east. So, those would be two things tugging orders in east. On the other hand, there is a very strong tug in west, particularly for innovative clients, where they experience over the last two years certain amount of supply chain disruptions. And from a governance perspective, a number of them particularly for lower volume, less chronic and small patient occasions or non-recurring treatments, an example would be a rare disease or an oncology treatment, that's pre-approval, they would probably be looking more for that we are placed in the US or North America or depending on their perspective, onshore in the western market, where their customers may be or they may be, because of the lower supply disruptions. So, we are seeing some amount of reshoring preference for on-patent products under development because of the perceived difference in risk and accessibility, you can drive there instead of a long haul flight, combined with the China Plus One and the fiscal pressure point, which may push certain categories in east. So we will be able to see how it's going to fully play out. And we think that's why us being in a multi-geography context, best positions us to actually support both trends in parallel, depending on the client and their project needs.

Hitesh Agarwal: In the hospital generics business, in the presentation, it was mentioned that nearly 13 products

are in the development phase yet to be commercialized . Can you help us give a little bit more color on the market size of these molecules, and the growth traction we envisage in this complex hospital generics business?

Peter DeYoung: We describe in stage in the pipeline in supporting terms of whether it's approved in launch or under development , we give that and then we give an aggregate market addressable market number for that portfolio of projects. And you can see that is being 7 billion in terms of the addressable market for those 37 SKUs . And we aren't giving SKU -by-SKU level breakup, but I think the point is that they're reasonably worth approaching and even a modest share and those would be meaningful for this.

Hitesh Agarwal: Growth rate action we have seen in this hospital generics expenses ?

Peter DeYoung: So we aren't giving forward guidance on the hospital generics revenue outlook, but we did give the backward -looking revenue numbers in our comments in the slides.

Moderator: The next question is from the line of Prakash Agarwal from Axis Capital . Kindly proceed .

Prakash Agarwal: My question is related to the kind of debt we have today . But, is there a plan to raise further private equity fund or something

like that?

Nandini Piramal: I think right now we're quite happy that we feel our internal accruals will pay off the debt that we have and we don't need to raise additional funds at the moment.

Prakash Agarwal: I understand in your presentation, you talked about 2H is obviously higher as seen in the last three years. But , what is the margin guidance? I understand it's more of an operating leverage as CDMO comes in, but especially for CDMO and a company as a whole , is there a color on the margin piece ?

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Nandini Piramal: I think we'll see sequential Q -on-Q improvement.

Prakash Agarwal: Yes, but in the range of 15 % to 20% or it could be lower than that ?

Vivek Valsaraj: It will be meaningfully higher than what you saw in H1.

Prakash Agarwal: On normalcy, we were in the range of 25%. Is it possible to reach 25% in '24, '25 given higher costs, especially all our sites are overseas. So the cost advantage is not there, right , So -?

Nandini Piramal: Look, in the next two, three to five years , we should get there and in the next three years, you will see sequentially.

Prakash Agarwal: What I understand is sequential improvement is there, but would the sequential improvement also visible in Q1, Q2 of next year, because Q3, Q4 is given that you will have because the orders are obviously in second half this thing . But I was trying to understand the normalized –

Nandini Piramal: I think I can't comment on FY '24 at the moment.

Prakash Agarwal: Lastly , on a ) , you talked about attrition things are past and the ex -Lonza guy had come and he's trying to fix up things. But what about inflationary pressures? So, given that those are there, and the revenue visibility is there, so I'm just trying to understand not EBITDA margin, but how should we model in the gross margin ?

Nandini Piramal: Look , inflation pressure is going to continue to be there. And we are looking at as a combination of things to try and address at . It's price increases, where we can in operational excellence as well as cost optimization, and procurement cost optimization as well. So I think that's where we are looking at a mix of things.

Prakash Agarwal: Is there a plan to increase the share of manufacturing and services from India versus current share?

Nandini Piramal: The way we look at it is that we go where our customers want and we help out them and their patients better. So if they're saying , I only want US, that's what we're going to do.

Moderator: The last question is from the line of Tushar Manudhane from Motilal Oswal. Kindly proceed .

Tushar Manudhane: Again, on the EBITDA front, given the first half FY'23 has shaped up and given that we had business headwinds in FY '22, excluding other income, and considering second half FY '23 to be much stronger than first half, would we be able to cross FY '22 EBITDA or that seems remote at this for instance?

Nandini Piramal: I think we're not giving such guidance at the moment.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Gagan Borana for closing comments.

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Gagan Borana : Thank you very much. We hope that we have answered most of your questions. In case you have any follow -up questions , you may feel free to reach out to me. Thank you and have a good day.

Moderator: On behalf of Piramal Pharma Limited, that concludes this conference. Thank you for joining us . You may now disconnect your lines .

## Call: Feb 2023

Piramal Pharma Limited

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11th February , 2023

BSE Limited

P.J. Towers, Dalal Street, Fort,

Mumbai - 400 001

BSE scrip code: 543635

National Stock Exchange of India Limited

Exchange Plaza, Bandra- Kurla Complex,

Bandra (East), Mumbai – 400 051

NSE symbol: PPLPHARMA

Sub: SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 ('Listing Regulations') - Transcript of Conference Call with Investors/Analysts

Dear Sir / Madam,

In continuation of our letter dated 1

st February, 2023 and pursuant to Regulation 30(6) of the

SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Conference Call held on 9

th February, 2023 to discuss the Q2

FY2023 Results of the Company

The transcript of the said conference call is also hosted on the website of the Company at

<https://www.piramal.com/investor/piramal-pharma-limited/financial-reports/investor-calls/>

Kindly take the above on record.

Thanking you,

Yours truly,

For Piramal Pharma Limited

Tanya Sanish

Company Secretary

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"Piramal Pharma Limited's Q3FY23 Earnings Conference Call"

February 09 , 2023

M

ANAGEMENT : MS. NANDINI PIRAMAL – CHAIRPERSON , PIRAMAL PHARMA LIMITED

MR. PETER DEYOUNG – CHIEF EXECUTIVE OFFICER ,  
GLOBAL PHARMA , PIRAMAL PHARMA LIMITED  
MR. VIVEK VALSARAJ – CHIEF FINANCIAL OFFICER ,  
PIRAMAL PHARMA LIMITED  
MR. GAGAN BORANA – GENERAL MANAGER ,  
INVESTOR RELATIONS & SUSTAINABILITY , PIRAMAL  
PHARMA LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Q3FY23 Earnings Conference Call of Piramal Pharma Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gagan Borana – General Manager, Investor Relations & Sustainability from Piramal Pharma Limited. Thank you. And over to you, sir.

Gagan Borana: Thank you, Yashashri. Good evening, everyone. I welcome you all to post -results Earnings Conference Call to discuss our Q3 and Nine Months FY'23 Results. Our results material has been uploaded on our website and you may like to download and refer them during our discussion.

On the call today with us, we have Ms. Nandini Piramal – Chairperson, Piramal Pharma Limited; Mr. Peter DeYoung – CEO, Global Pharma and Mr. Vivek Valsaraj -- CFO of the Company.

Before I proceed with the call, I would like to update everyone that the board of directors of the Company has approved the recommendation to allot equity shares for an amount up to Rs.1,050 crores, subject to receipt of requisite regulatory approvals, market conditions and other considerations. Given this event, we would have to abide by the statutory guidelines as issued by the regulator in regards to our disclosures and external communications. Hence, we would not be able to answer any forward -looking statements, nor disclose any further details on the proposed fund raise during a deal window period. Therefore, I request everyone on this call to restrict your today's discussion to Q3 FY '23, and nine months FY'23 performance.

Further, since last evening, post declaring our quarterly results, we have received several investor queries and in alignment with the regulatory restrictions, we have drafted a response to these queries. We will share our responses to these queries first, and then open up the floor for any other questions that you may have.

With this, I would like to hand over the call to Ms. Nandini Piramal to Share her Thoughts.

Nandini Piramal : Good evening, everyone, and thank you for joining our call for Q3 and Nine Months FY'23.

Starting with the performance of the Company in Q3 and nine months FY'23, during the quarter, we registered a year -on-year revenue growth of 11% with revenues of Rs.1,716 crores , our year -on-year revenue growth of nine months was also 11% , and with revenues of Rs.4,918 crores . Our CDMO business grew by 14% and 12% respectively during the quarter and the nine months, backed by a growth at our Turbhe, Grangemouth and North America facilities .

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Our Complex Hospital Generics grew by 6% during the quarter and 9% for nine months for the financial year.

Inhalation Anesthesia sales continued its healthy momentum in the US with volume growth driving market share gains.

India Consumer Healthcare businesses registered a growth of 37% for the quarter, and 19% for the nine months of the financial year , driven by our power brands.

EBITDA margins during the quarter and nine months were 10% , impacted by higher operating margins, including raw material costs , energy prices, wage inflation and marketing costs.

Also , during the year, owing to the tight funding situation in the market, some of our CDMO customers delayed making payments against receivables due to us , and as per policy , we have made provisions for the same.

We maintained a high quality track record of zero OAI as we successfully cleared 29 regulatory inspections including the US FDA and 155 customer audits for the nine months.

Moving on to Business Spec

ific Highlights. In our CDMO business , we're seeing healthy (RFPs )

Requests for Proposal s inflows, and increasing number of customer visits and audits. However, the delay in decision -making at the customer's end continues given the macro economic

environment and prioritization of R&D pipeline due to limited capital availability.

We're also seeing some softer demand for our existing generic and API and vitamins portfolio while we are working on developing new products.

We're seeing good demand in the niche areas of high potent API, peptides and antibody drug conjugates as we continue to invest to expand their capacities.

Our growth CAPEX planned over the next 12 to 18 months are well on track. Some of the important CAPEX that have gone live in the last few months, include a new In-Vitro lab at a Ahmedabad PDS site, capacity expansion at our peptide facility at Turbhe, and capacity addition at our Grangemouth facility in the US.

We have also had a successful quarter in terms of regulatory inspections, with a successful US FDA inspection at our Riverview facility in the US. At the Sellersville and Lexington facilities, where the US FDA inspection concluded in the month of January, we received 483 with the VAI classification. We continue to maintain a zero OAI status across our sites in the last 12 - years. Navigating the current inflationary environment on account of high raw material, energy prices and wage inflation is an important challenge for us in hand. And we're trying to offset that through judicious price increases and working out several cost optimization and operational excellence measures.

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Moving on to our Complex Hospital Generics Business: Our inhaled anesthesia portfolio continued its healthy performance in the US market. In the non-US market, we're seeing good demand from our products and accordingly increasing our capacities to service these markets. Our Intrathecal portfolio in the US continues to command a leading market share.

In the Injectable Pain Management segment, our performance was impacted by supply constraints at our CMO. We're working towards improving the supply of these products and have seen improved traction in production in the past few months. We continue our focus on building a pipeline of injectable products and have 34 SKUs currently in the pipeline. We also launched two new products during the quarter.

Moving on to Indian Consumer Healthcare Business. Despite the high base of the previous year, we have delivered a healthy growth in Q3 and first nine months of FY '23. High growth in our power brands has been a key contributor to performance with 39% growth in the first nine months of FY '23. Our power brands contribute 41% to total consumer healthcare sales in the first nine months. Little's, a top brand grew 66% YoY and Lacto Calamine grew 44% over the last year and nine months, powered by new launches and traction and e-commerce. In line with our stated strategy, we're reinvesting our profits in the consumer business to grow our power brands. We spent about 15% of our revenue on media and trade promotion, which are yielding good results as reflected in the performance.

Further, we launched 21 new products, 25 new SKUs during nine months FY'23. New products launched over the last two years contributed about 17% of the consumer business sales.

We have a good reach in the general trade with access to over two lakh outlets. We're also strengthening our presence in alternate channels of distribution including e-commerce, modern trade and our own website. E-commerce currently contributes about 14% of our total consumer business sales, has been growing well.

To summarize, I'd like to say that based on our recent increase in customer engagements and continued flow of RFPs, we believe that demand for CDMO services especially for our differentiated offerings remain strong.

Our Inhalation Anesthesia portfolio is also seeing a healthy demand. Further, our Indian consumer healthcare business is delivering high growth, driven by the power brands.

Our team of over 6,500 multicultural employees, 17 manufacturing facilities world wide in the global distribution network in over 100 countries gives us a solid platform to build scale. We take pride in our quality track record and focus on a patient consumer centricity.

We believe in the potential of our businesses and in line with our aim to grow, the board has approved the recommendation to allot equity shares for an amount not exceeding Rs. 1,050 crores subject to regular regulatory approvals, market conditions and other considerations.

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Our focus over the next few months will be mainly on capturing demand, driving productivity through operational excellence and executing critical maintenance and planned growth CAPEX.

We also aim to execute our products and batches as per customer demand.

And finally, we're also conscious of our responsibility towards the planet, society and all stakeholders, and hence, ESG aspects will always remain a key part of our DNA.

With this, I'd like to hand over the call to Vivek, our CFO, who will respond to the queries we've received since last evening. Post that, we will open the floor for any questions that you may have. Thank you.

Vivek Valsaraj : Thank you, Nandini, and good evening to all. Thanks to those who have already shared your questions. We have tried to provide responses for all of those. However, in case any of your questions have not been responded, please feel free to ask them after I finish.

The first question has been why has the management decided to raise money.

We believe in the potential of all our businesses. As Nandini mentioned, basis our recent increase in customer engagements and continued inflows of request for proposals, we believe that the demand for CDMO services, especially for our differentiated offerings, remain strong. Also, in our hospital generics business, we are witnessing a steady demand for inhalation anesthesia products and growth opportunities in our injectable pipeline. Our consumer healthcare business is also delivering consistent growth, backed by our power brands. So, in line with our aim to grow, the board has approved the recommendation to allot equity shares for an amount of Rs.1,050 crores subject to receipt of requisite regulatory approvals, market conditions and other considerations.

The next question was, we have mentioned about certain CAPEX coming on stream at a peptide facility in Turbhe, high potent API facility at Riverview and our discovery services facility at Ahmedabad. Can you please help provide some details on this?

With respect to our PDS facility, this is largely addition of a new lab with a new capability for In-Vitro testing. Our high potent API facility at Riverview, we have done an expansion of a bay with a 3 KL and a 4 KL reactor. This will meaningfully increase the capacity. And incidentally, we yesterday initiated our first batch for our customer. Our peptide facility at Turbhe, we have added a new 45 centimeter column which will meaningfully increase capacity.

The next question has been what were the reasons for slower growth in our CDMO business. So, firstly, we believe the underlying demand for the CDMO business especially for a differentiated offering remains strong. As we mentioned, we are seeing improved traction in customer engagement and our RFP inflows remain stable. Also, some of the growth CAPEX backed by customer demand have also come on stream as I just mentioned, which will help drive Piramal Pharma Limited

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growth going forward. However, during this period, our growth was impacted largely because of continued

inundated delay in decision-making by customers due to macroeconomic environment and pipeline prioritization based on the limited availability of capital. We've also seen a softer demand for generic API and the vitamins portfolio.

A similar question was, what were the reasons for slower growth in the consumer hospital generics business in Q3 FY' 23.

In our inhalation anesthesia portfolio, the market demand outpaced supplies. We are addressing the current supply constraints through de-bottlenecking exercises and investing in new capacities. In our injectable pain management portfolio, we have scale up challenges at our new CMOs as we transitioned post-acquisition. This has now largely been addressed and we are seeing good ramp up in our production.

The next question has been, what is the reason for sharp decline in EBITDA margins in the quarter and year-to-date.

The primary reason for lower margin is lower revenues, which led to suboptimal absorption of our fixed overheads. Historically, you will see that as revenues go up, our margins have increased quarter-on-quarter. We've had higher sales promotion expenses in our consumer products business, higher operating expenses in terms of energy costs, wage inflation and raw material costs, and the tight funding situation in the market meant that CDMO Customers delayed making payments against receivables, we have as per policy made provisions for the same.

What are some of the remediation measures the Company is taking to address the muted growth and profitability?

So, firstly, on the demand front, we are focused on increasing productive selling capacity of our business development team, increasing the number of proposals velocity and win rate, targeting new customers, new markets in both our CDMO and CHG business. Capacity expansion to address the supply constraints in CDMO in some of the sites, and in our hospital generics business, both in the injectable pain and inhalation anesthesia portfolios. We are also focusing on improving costs, process optimization through operational excellence.

There was a question on what are the top five strategic priorities for the Company right now. As some of these have already been mentioned, we are focused on capturing demand, executing as per customer expectation, driving productivity through operational excellence, executing on critical maintenance and strategic growth CAPEX and continued compliance on quality and



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There have been certain questions on costs. One of them has been why has your other expenses as seen in the P&L moved up in the sequential quarter and year-on-year.

So, firstly, on the sequential quarter, Q3 other expenses include the one-time provision for accounts receivable pertaining to a biotech customer who had a funding challenge. While the customer is in the process of seeking alternate funding options, we have as per our policy made provision for the receivables that were due. This quarter also saw an increased FX impact due to weakening of the INR against major currencies, and also increase in the spend for sales promotion and marketing activities. This expense is not therefore a representative of the quarter. On a year-to-date basis, on a comparable basis and excluding the impact of FOREX, the accounts receivable provision, the increase in other expenses is 15%. This was largely driven by higher sales promotion expenses in our consumer products business and marketing spend in our CDMO. Excluding this, the growth in other expenses is 11%.

There was also a question on why employee expenses are up both sequential and year-on-year quarter. So, in the sequential quarter, the increase was largely on account of FX, because of the weakening of the INR versus key currencies. It also included an impact of higher average headcount recruited at our Riverview facility,

where expansion has now gone live as I mentioned, and at our Grangemouth facility where capacity expansion is going to come stream later during this calendar year. On a year-to-date basis, if we compare on a like-for-like excluding the impact of FOREX, the year-on-year increase in employee cost for the nine month period is about 15%, and this largely includes impact of increments and realization of positions which were recruited midway through the previous year, and positions which were recruited for training in advance of commercialization of our capital expenditure projects.

There was a question on what is the current net debt in the books.

The current net debt is about Rs. 4,800 crores.

We also had a question on the quantum of CAPEX spend during the nine month period.

It's about \$100 million.

So, with this, we will open the floor for questions.

Moderator: We will now begin the question-and-answer session. We have our first question from the line of Prakash Agarwal from Axis Capital. Please go ahead.

Prakash Agarwal: So, first one was on the debt, etc., You said it's growth CAPEX, but your debt is sitting at Rs.4,800 crores and that is net debt, not even gross. So, is there a thought with respect to reducing the debt?

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Vivek Valsaraj: So, as you're aware that the entire fundraise process has now commenced, and obviously, the focus for us is to look at reducing the net debt as well.

Prakash Agarwal: We had a call in November, I think there was a statement made that, we're looking second half is usually stronger, and margins are at least mid-teens. Between November to December, you talked about costs being higher, some of the costs have come because of higher capacity, but capacity maybe has not been productive as of now. So, between November and December what has really gone wrong in terms of guidance.

Vivek Valsaraj: Prakash, the guidance has largely been for the second half and not specifically for a quarter.

Secondly, having said that, as we mentioned that there has been a continued delay in decision-making in our CDMO business customers, due to which some of the orders did not transpire as expected. And we also saw a weakening or softer demand for our API generics and vitamins portfolio. As I've earlier alluded to, in our injectable pain portfolio, there were some sluggish

receipts of products from the CMOs where the products were recently transitioned. All of this,

of course, is being addressed through various initiatives across the organization.

Prakash Agarwal: So, you mentioned it's for second half, so Q3 is gone. So, is there any revision in guidance?

Vivek Valsaraj: Prakash, as you're aware, we are in a deal window period. So, it may not be appropriate to make a forward-looking statement now.

Prakash Agarwal: Just a clarification, you mentioned that some of the costs related to capacity addition has been made. So, I understand you can only charge it in the P&L once the revenue also starts. So, has the corresponding revenue kick started, and if so, understand that the revenue portion would be much smaller versus the cost and when does it start reversing?

Vivek Valsaraj: Prakash, this is not with respect to the capital expenditure, this is with respect to the workforce who have been hired, who will be the operators running the plant when it goes live. They are in the process of being trained for the eventual commercialization that will happen in the near

future... whatever has recently happened.

Prakash Agarwal: But, I'm trying to understand that when the new capacity top line start covering the costs and actually be EBITDA -positive for this year?

Vivek Valsaraj: The commercialization has started, the revenues will start flowing in once the batches are released and eventually invoicing happens. The production facility, as I mentioned, has commenced yesterday.

Prakash Agarwal: Any other capacity commencement happening during this quarter?

Vivek Valsaraj: So, as I alluded, discovery services, In -Vitro labs have gone live, our peptide Turbhe facility has also gone live in Q3 of FY'23.

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Moderator : We have our next question from the line of Vivek Ramakrishnan from DSP Investment Managers. Please go ahead.

Vivek Ramakrishnan: My question was on the net -debt EBITDA covenant on the bonds that you have just recently released. I mean, I understand that it has its business and transition and there are pressures, but is there any scope to decrease the net debt through working capital or delaying CapEx or creditors and so on so that you can meet the net debt to EBITDA guideline of 4.5? That's my only question.

Vivek Valsaraj : Vivek, we are looking at all measures to ensure that the net debt situation is taken care of and measures are underway.

Moderator : We have our next question from the line of Rahul Jain from IIFL Wealth. Please go ahead.

Rahul Jain : My question is regarding the loss -making plants which are in the US and UK. I mean, our US plants are continuously making loss like Lexington or maybe in the UK , Morpeth. I mean, at the standalone level we have net profit, which is I mean 0.84, but at the consolidated level, the losses are increasing continuously. What is the management's focus to make these plants profitable? And is there any plan to dispose of or what is the long -term vision?

Vivek Valsaraj : Rahul, firstly, as we have always been saying that it's a game of scale when every site and especially sites in the overseas where the cost tend to be relatively higher, fixed cost tentatively. As they get scaled, they will start making profits. The current challenge has obviously been a subdued demand in our CDMO facilities, which is why the margins currently have been under pressure and as the demand comes back on track and revenue start improving, the margins will automatically start increasing. As of now, we are not looking at in terms of any disposing of any of the sites right now. There is belief in the potential of what every site has to offer and we are working towards improving the demand situation.

Rahul Jain : Also, are there any India plants losing continuously currently at the plant level?

Vivek Valsaraj : No.

Moderator : We have our next question from the line of Subrata Sarkar from Mount Intra Finance Private Limited. Please go ahead.

Subrata Sarkar : So, Madam, this is a little bit like a longer time period question. So, your Company or as per the pharma sector, this particularly CDMO space, we are seeing an unprecedented kind of a situation. We understand the majority of your facilities based out of Europe, it's in a special situation, but if it is other players also, they are also seeing some pressure both in terms of like margin and in terms of top line. So, as per whatever my little understanding, this is an unprecedented situation. So, in this context can you throw some light on from the historical perspective, generally we all know since this kind of a business requires upfront investment and Piramal Pharma Limited

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then the return comes back. But still giving all those back, like is this normal or is this once in a decade kind of a situation?

Nandini Piramal : I think we believe in the medium -term potential because the underlying demand is there. There is R&D innovation happening and I think customers will still outsource. I think the overall potential is there. I do think that, I mean the next 6 months will be tough for everybody in the industry.

Subrata Sarkar : Madam, I am not even talking from a 6 -month perspective. Like, as madam you commented, that CDMO is something which we have observed like, if you see the last decade also, so there is a steady growth, like

there can be ups and downs but this is one of the irreversible trend for the big players, like big pharma players. So, I am talking from that perspective, madam. My only simple point is like what situation we are facing. Like is this once in a decade kind of situation or this kind of situation do arise frequently in CDMO space, although I don't see so? So, from

that perspective, madam I am talking.

Nandini Piramal: I think I mean there is a cycle, so it is a cyclical industry to some extent, but overall, I think I mean as I said, the underlying demand is still strong. So, I think it will recover. The overall trend is up.

Subrata Sarkar : Madam, again from a business perspective, I am not asking very specifically, but what I mean to say madam, if there is a, let's say, X percentage of reduction in our margin, what I see is apart from the fixed cost component also, what I mean to say madam, are we facing more of a pricing pressure from like our partners? Or like is it because of elevated cost structure that's splitting more like reduction from a margin perspective?

Nandini Piramal : I think one of the things you said, we had seen over the past few months, there has been inflation in inputs and solvents as well as energy prices due to the Russia -Ukraine and other supply chain problems. So, that's also been part of the pressure and general inflation.

Subrata Sarkar : That's on the cost side, madam. But are we taking any pricing pressure in terms of the contract, are we facing some reduction?

Nandini Piramal : No, our win rate is the same as before.

Moderator : We have our next question from the line of Venkat from SBI. Please go ahead.

Venkat : Sir, my question is to the debt which we have in the balance sheet, around Rs. 4,8000. So, when we can expect to become a zero debt Company or what is the future plan?

Vivek Valsaraj : Sorry, Venkat, could you please repeat? I heard about asking the quantum of debt on the balance sheet and then what is the next part?

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Venkat : We are asking debt now, so what is the future plan? When we can expect to reduce the debt and what is the plan?

Vivek Valsaraj : So, as you are aware, the initiatives have already begun, it has got its own timeframe and as soon as the procedures for this entire activity is completed, we will move towards reducing the debt.

So, it will take us some time. We have to complete the entire process as per regulatory guidelines.

Venkat : But how long it may take? So, what is the timeline to any future plan?

Nandini Piramal : See, it might be Q2 of FY24.

Venkat : Q2 FY24. Sir, one more thing. We have in Phase-3, we have around 36 molecules to be commercialize. So, what's the plan? When can we expect the commercialization? And out of 36, how many molecules we can expect to commercialize in near future?

Vivek Valsaraj: See, the historical trend of Phase -3 is typically 50% success rate. That's what it is. So, as and when it happens it will happen. But definitely our focus is to ensure that we capture more of the Phase-3 pipeline, which will ensure stickiness of commercial revenues for the future.

Venkat : Within the next 2 quarters, how many molecules we will commercialize?

Peter DeYoung: So, we can't give forward guidance as to the specific commercialization timelines of our clients' clinical programs, but we do expect that most of our clients typically would contract us for at least one of their major markets. And so, we would expect that whatever we are describing in our Phase-3 program, these would be meaningful.

Moderator : We have our next question from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane : Sir, with respect to this commercialization of peptide and Riverview facility, what sort of employee cost increase can be expected and even the other expenses? That's my first question.

Vivek Valsaraj : So, Tushar, that's like a forward -looking statement. We would refrain from making a specific guidance on future.

Tushar Manudhane : What's the current capacity utilization excluding these 2 new facilities?

Vivek Valsaraj : So, for Turbhe, we had reached peak capacity utilization which is why this entire 45 cm column was put in and that will meaningfully expand capacity for the site. Likewise, for Riverview as well, we had reached peak capacity utilization and we expect meaningful release of capacity with the new block which has gone live.

Tushar Manudhane : I mean to ask the overall capacity utilization including all the facilities?

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Vivek Valsaraj : So, that is very difficult to give one number Tushar because every facility, every line is different and we have got formulation, API, development commercial to give one number of capacity utilization is practically not correct.

Tushar Manudhane : And what kind of asset turn can we expect for the new facilities for peptide as well as the new Riverview facility ?

Vivek Valsaraj : See it could go up to 2.5.

Tushar Manudhane : And lastly if you could just breakdown CDMO business into generic API, vitamins and the

business for innovator?

Nandini Piramal: It is about a third for Big pharma, a third for biotech and third for generic pharma customers.

Moderator : Thank you. We have a next question from the line of Chintan Shah from JM Financial. Please go ahead.

Chintan Shah: I just have couple of questions in your opening remarks you mentioned that we have initiated various cost saving measures, so if you can just highlight what exactly those measures are and what impact do you foresee from them?

Nandini Piramal: It is cost saving measures?

Chintan Shah: Yes that is right?

Nandini Piramal: I think we are looking at lot of operational improvement across the sites as well as procurement and even energy saving measures can try that.

Chintan Shah: In terms of employees, I just wanted to understand the increase is broadly on back of the new capacities that we face little back is fully reflected in the current quarter numbers or could we see more impact from the same?

Vivek Valsaraj : It is fairly represented here in terms of the overall increase here Chintan.

Chintan Shah: And just one last question from my side so in the presentation if I see you have mentioned that we are looking at inorganic opportunities, so looking at the current debt scenario I just wanted to understand the thought process, are we actively looking or just like more from the long term target basically?

Nandini Piramal: I think as a Company we have always we have historically looked at acquisitions, but obviously in the last few months valuations have been very expensive. So, I would say in the next few months our focus will be more on what I talked about earlier in the strategic priorities, which is catering demand and executing on current plans.

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Chintan Shah: So, what debt levels would be comfortable for you to pursue inorganic opportunity?

Nandini Piramal : I think we will have to see.

Vivek Valsaraj : That again forward looking Chintan.

Chintan Shah: I am not asking what number would be I am just saying as a strategy what you would be comfortable with to actually pursue those opportunities?

Nandini Piramal: I think it is a mix of things, but right now I think the focus is on executing what we have.

Moderator : Thank you. We have our next question from the line of Alok Dalal from Jefferies India Private Limited. Please go ahead.

Alok Dalal: Sir quickly price increase is on cost optimization measures have already been undertaken or that would be undertaken now?

Nandini Piramal: It is a mix and we are doing both.

Alok Dalal : So, when do you expect that these two flow through?

gh?

Nandini Piramal: I think some things have started and some things will take a while sort of, but we should see it over the next year.

Alok Dalal : And what is the mix of generics and non-generic to revenue for CBMO for the quarter and 9 month?

Vivek Valsaraj : It is predominantly generics actually. Non generic is relatively a smaller portion.

Alok Dalal : In the past the mix for CDMO used to be 60- 40 in favor of generics Vivek what will be the mix this quarter and 9 months?

Vivek Valsaraj : It will be on similar lines.

Moderator : Thank you. We have a next question from the line of Suresh an Individual Investor. Please go ahead.

Suresh: In consolidate financial results I have seen that in expenses purchase of stock in trade there was 150% increase in year -on-year, can you give some color on it and that's the only question I have?

Vivek Valsaraj : If you are comparing the overall stock increase, you will have to actually combine all the three items of COGS which is cost of material, purchase and changes in inventory for a meaningful comparison. If you compare it versus the December quarter it may not be fully comparable because we have certain transactions as we had mentioned in the earlier investor call with P E L

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on account of certain government tenders as well as a CFA network. If you actually compare it with the sequential quarter , you will find that the overall material cost as a percentage of sales is actually nearly the same or in fact slightly lower .

Moderator: We have a next question from the line of Yasser Lakdawala from M 3 Investments.

Yasser Lakdawala: My first question was regarding the commercial products on the patent that we supply. I think our revenue was about 56 million last year. Are we the primary source of supply or are we the second source of supply in those 18 odd products? If you would give us an idea there.

Peter DeYoung : It's a mix. I think it's a set of products and some of which we are one of multiple sources and then others where we are the only source. That's all we can probably say at that level.

Yasser Lakdawala: Among those 18 odd products that we have commercialized , could you give us a better understanding of do these involve newer modalities like ADCs or are they more traditional small molecules?

Peter DeYoung : We haven't historically given a technology or our therapeutic area cut to this . We have described how that pipeline in the past across different dimensions has grown. That's been our explanation as to the future is to look at the past trend. I would just continue to look at that overall trajectory in the past.

Yasser Lakdawala: Continuing on the CDMO side , as you said that 50% of our Phase-3 tend to go towards commercialization. What is the feedback we got from customers , are those 50% about 17 odd molecules? Have they been interest of pursuing potential commercialization with us or will we just be partners with them during the discovery and development phase?

Peter DeYoung : Our understanding of the business model is that if someone decides to pursue the clinical work registration with us , their intention and our intention is to be their commercial partner on successful approval and launch. The cost involved for a customer to qualify a Company for development and registration and then not later make an order after that would be a very poor investment decision for them because they would have invested a lot of money to qualify us as their CDMO and then not to use that would be a rare if not almost improbable outcome. The most likely course of a general contract of which we've had many in the past is that we do the registration work with them , they get the approval and then we provide the supplies for that. That's the most frequent for not just us but the overall industry.

Yasser Lakdawala: I think in the last call there was

some directional guidance given that we are as a consolidated entity we are looking at achieving EBITDA margins of 24% to 26% in the next 3 to 5 years. Considering the fact that I think in the generic's data for CDMO our probably margins a lot lower than some of the large- scale peers in India, how do you see a mix of the innovator , NLEP, CDMO and generics business changing? Because that will have to have a meaningful change  
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over the next 3 to 5 years for us to achieve our margin guidance. If you could help me understand that?

Vivek Valsaraj: So, we are somewhat restricted in the forward -looking comments. What we could try maybe point to is that in many of our communication , we discussed a lot of effort to try and onboard innovative portfolio and progress that pipeline along with our clients and then lead that to commercialization. I think that is probably the past action you can look to guide for the future direction in terms of the mix.

Yasser Lakdawala: Just the last question just to add to that. You know, I just wanted to set some direction of CAPEX should be more towards supporting the innovator led initiatives versus being in the traditional generic space.

Peter DeYoung: If you look at the locations where the significant CAPEX has been deployed we made public commitments CAPEX even in places like Aurora, Riverview, Grangemouth, these are all places that have received or receiving significant CAPEX. These are also locations that are operating near or at capacity before the CAPEX went in , and these are all facilities that predominantly serve on-patented clients whether it would be development or later commercial . So, these are all facilities that we would describe as being in a differentiated category . These are all facilities that are generally capacity constrained , and these are all facilities that generally serve on-patented client work .

Moderator: Thank you. We have a question from the line of Sumit Khimani from Subij Enterprise . Please go ahead.

Sumit Khimani: My question is more or less related to the macro levels. Is it a wrong time when we demerged the Company ? And my second question is why Mr . Ajay Piramal and Dr. Swati Piramal are not on the Board of Piramal Pharma who drove the Company right from the 98th rank to the 4th rank in the Indian pharmaceutical industry , and that mentors are not with us? So, is it a wrong time when we merged the Company ? The market , when is the Company in a way that it erodes all the values that we create?

Nandini Piramal: I will say that, I think, they are very much with us, and they are as shareholders, active shareholders, and do guide the strategy of the Company . And unfortunately , we can't control the markets , and we will leave it at that.

Sumit Khimani: When we split, demerged the Company entity , and I am the investor since it was Sumitra Pharmaceuticals as you see, and later on its Piramal Enterprise, I mean, say, Nicholas Piramal, then Piramal Pharma. I don't understand what was the purpose behind demerging the Company . I mean, the pharmaceutical which has immense value over there, and after the demerging , it just vanished all the values . Even the performance of the Company is diminishing quarter -on-quarter.

Nandini Piramal: Well, I hope you can keep faith with us. I think we believe in the potential of the Company .

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Sumit Khimani: It is from the investor community at large fraternity humble request to bring them back on the Board . That's it from my side.

Moderator: Thank you. We have our next question from the line of Vinod Jain from W F Advisors . Please go ahead.

Vinod Jain: My question again relates to the operating expenses which have increased very significantly over the quarter , but the turnover has not increased commensurately.

It has just increased by 11% .

Now does it mean that the higher replacement cost of employees due to attrition is one of the components . Or what is the real reason for the increases being so significantly higher than the profitability of the Company has diminished so significantly , sir?

Vivek Valsaraj: Mr. Jain, as I responded in my question earlier, if you look at the other expenses on a YTD basis, it had a one-time impact of certain receivables that was provided as per Company policy . It also has an impact of a very volatile Forex with INR weakening against key currencies . And of course, the numbers are not strictly comparable because post demerger, some of the prior period items are not aligned with the way currently the accounting for the same has been done.

Having said that , if we were to exclude these and make the numbers on a like-for-like basis , our overall expense has increased by 15% , and if we were to exclude the impact of the higher sales promotion and the marketing expenses , our increase in expense was 11% in line with the top line growth. So, that's how it is. I understand that the statements to read as they are right now challenging , and therefore, probably , it can mislead if you see on the face of it.

Vinod Jain: Very well. My next question relates to the pricing of the rights issue . Whether any comment can be made as to what the discount or what could be the pricing you are looking at in this difficult time to go ahead with the rights issue ?

Vivek Valsaraj: Not yet Mr. Vinod. As you can imagine, certain procedures need to be followed. Appropriate time, all of those will be disclosed .

Moderator: Thank you. We have our next question from the line of Ranvir Singh from Nuvama. Please go ahead.

Ranvir Singh: Sir, just two things I wanted to understand . You know, basically in historical perspective and now what we see for the last few quarters, so , especially in CDMO side, what exactly , you know , why we are struggling here in terms of margin? And basically , what I wanted to understand that 157 million we are going to invest . The current fixed asset turnover is less than 1% , .7 times something . So, I wanted to understand whether the utilization even for a, you know, newer CAPEX as same as set turnover ratio is likely to happen ? Or why it could not , you know , have been done that in an existing facility the better value products would have been substituted? Or is there any disconnect in my understanding that you have some dedicated block there which you cannot change ? So, what is actually happening in the CDMO side? And why we are not able

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to improve the asset turnover ratio ? Because I compare with the other peer players , they all have a much , much better turnover ratio there. So, just if you could highlight something here?

Vivek Valsaraj: Sure, Mr. Singh. So, firstly, the question with respect to the CDMO business and margin , the current reason why the margins , overall margins for Piramal Pharma have been suppressed basically because of a lower scale of turnover. And as we have alluded in CDMO business, because customers are taking time to make decisions and issue orders and slowdown in the generic and the vitamins portfolio is where we are seeing slowdown in terms of order inflow for the business per se. There was also an impact of an increase in cost, inflationary impact as you are aware, increase in the price of raw materials, the utilities, which led to margin compression . As far as site specific asset turnover ratios are concerned, as you know, we are present across 15 sites globally . Each of the site has its own distinct capabilities and offerings for the customer , and they are not necessarily fungible. So, while there can be a small amount of fungibility that may happen within an API, within a formulation site, predominantly

antly , these are dedicated sites,

so having dedicated needs of customers , and having very differentiated capabilities. And therefore, you cannot pile up all the incoming demand into one particular site and optimize the revenues from that site. Every site has got its own level of operating cost and own level of turnover to be able to enhance margins. So, I hope that helps to answer your question .

Ranvir Singh: Yes. So, I think, in last call , we mentioned that there was some inventory built up also from customer side that that was also the reason. But I think it's not quite a few quarters now , because these reasons , you know, we can understand for two, three quarters or four quarters. I can

understand the last year or during COV ID period everybody was struggling . Then I think for two or three quarters there were some inventory built up with the customers . Gradually , that got liquidated , and the people started showing some improvement in the re.

So, my question is that even if we have a dedicated block, and if our block is giving a turnover ratio much , much lower at . 5 or .7, isn't it possible to have a better value products there or substitute the customers there, or it is a long -term contract or we are constrained here?

Peter DeYoung: This actually gets back to the question from one of the earlier callers where one of our strategies has been and continues to be to add innovative products to our offerings and have clients place their innovative business at our locations . And it relates to the point that was made earlier about some of the slowdown in decision-making and the subsequent prioritization of those clients of new projects that will use up the capacity that as you described not fully used.

And so, our big push has been and is to execute on the innovative business growth so that we can utilize the capacity in the best way possible , and those do take time to develop and also transfer in, and that is the major focus of our customer acquisition strategy . And we believe that as that executes, the elements you described will obviously become more favorable for us.

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Ranvir Singh: And the last one, I see that inventory turnover has increased significantly on Q -on-Q basis also.

So, last quarter it is 181 days . From there , it has increased to 205 days . Last year it was 151 days .

So, that inventory is something , is it in a finished side product inventory or this is a raw material side inventory ?

Vivek Valsaraj: So, inventory is both the semi -finished goods as well as the raw material inventory predominantly, and you would have historically seen that our quarter four tends to be higher in terms of revenues, which is why the inventory as on the end of quarter three is normally higher to be able to cater to the demand for quarter four.

Moderator: Thank you. We have our next question from the line of Nitin Gandhi from Kifs Trade Capital Pvt Ltd . Please go ahead.

Nitin Gandhi: I have two questions. The plants which have gone live operational, what were the CAPEX on that? And when do you see the optimal capacity utilization happening ? I understand you said 2.5 the potential of this asset turnover.

And the second question is related to fundraising . Now , when do you think we should be able to finish the rights issue ? In one or quarters or you think it could be little more .

Vivek Valsaraj: So, the overall investments across the three CAPEXs that have gone live is roughly about 42 million . I won't comment on in terms of when they go live because that 's forward -looking statements . And as far as the rights is concerned, as we mentioned , based on the time lines that we expect, and it all depends on regulatory approval coming in place. It could be somewhere around quarter two of FY ' 24.

Nitin Gandhi: Sorry to continue. I have asked for the capacities which has

gone live , not the one which are yet to come out of 42 million.

Vivek Valsaraj: Correct. So, the capacity I was referring to the same. The capacities which have gone live , the revenues for those have started, but when they reach peak , I cannot give a specific period for that at this point in time because of the deal window.

Nitin Gandhi: And any breakeven possibility , not if the peak ?

Peter DeYoung: I guess, the only point is that we only are putting CAPEX on the growth side in the locations where there were capacity constrained before with the assumption that there is demand for those.

That's why we put the CAPEX in.

Nitin Gandhi: So, that's why we are seeking based on the time when you plan when the current scenario, do you think that the breakeven could be deferred by another year or so? Or whether it will be same like what you initially planned and it could be within 18 months?

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Nandini Piramal: I think , right now we and some of the size are growth CAPEXs. So, we will expect and they are on track right now for expectations, but we can't tell you expectations.

Moderator: Thank you. We have our next question from the line of Shashi Ranjan, an individual investor . Please go ahead.

Shashi Ranjan: Can you please help me with the past acquisition that has been done , like Hemmo Pharmaceuticals, CC PL and Yapan , how these are going to synergize into or complement the existing operations and the products that we have?

Peter DeYoung: So, CCPL was the JV where we were making a critical input into one of our lead products for the Complex Hospital Generics business. And the places one can get that input on the market are limited , and by taking control of that JV we can backward reintegrate and assure supply to

allow us to meet the growing demand. And so that one is the synergy is about margin enhancement and also revenue surety in a place where we are growing volumes . In the case of the Turbhe facility or in the He mmo Pharmaceuticals, this is an area that is considered more attractive than traditional molecules. There are limited people who can provide it. It is a high margin business with significant historical growth . I can 't make forward -looking comments for growth, but we obviously made assumptions in that area. And also, we see synergies with our current customers who we were approaching with other business, and they would be interested to say, well, can you also offer us peptides? And I think, finally , one can fill the peptide in our injectable facility, and we have actually a situation where even at the time the diligence we had a customer that was giving the peptide made and filling it at our Kentucky facility, and so there are innovative products synergies you see there. And I think your last question was on the Sellersville acquisition, I believe. And in that case, we have a number of customers who are increasingly post the pandemic would like to have an onshore offering for drug product, particularly for innovative business. You see a significant demand for that offering , and the absence of that demand meant that we would be providing them a drug substance work at one of our North American facilities, and it would be handing off to a competitor. We got the product work and now they are being able to offer innovative package. We don't have to introduce the competitor into our hot relationship , and we can provide either standalone or integrated services in a geography where there is currently very high interest for that offering. So, I think those are the three, I think, you asked about and the rationales behind each of them .

Shashi Ranjan: Just a follow up on that. In case we are going for any further acquisition, will you be moving to CDMO space, the Complex Hospital Generics or in consumer healthcare?

Nandini Piramal: I think that

will depend on the opportunities . I think we take each opportunity as it comes , but I think the near-term focus is on maximizing our current assets.

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Moderator: Thank you. We will take a last question from the line of Avinash Kumar , an individual investor.

Please go ahead, sir.

Avinash Kumar: There are two questions from my side. One is, what is planned CAPEX? I am searching, but it is not concrete given anywhere , total planned CAPEX for FY '24 or how much?

Vivek Valsaraj: So, Avinash, we can't make a forward -statement in terms of what will be the spends in the future .

The past for this particular financial year, our CAPEX has been about 100 million.

Avinash Kumar: \$100 million ?

Vivek Valsaraj: Yes.

Avinash Kumar: And second question is, out of this CAPEX already done, how much revenue visibility is there?

Vivek Valsaraj: So, each of our growth CAPEX had obviously been done in anticipation of potential demand that we see in the areas in which we have invested in , and as we have mentioned, we have invested in high -growth areas in the differentiated offerings that we have, whether it's in high potent API, whether it's in peptides, or whether it is at our Discovery Services facilities, all of which have gone live now . So, there is good visibility that each of these facilities have.

Avinash Kumar: Expected growth percentage, in percentage term can you say?

Vivek Valsaraj: No, that's a forward -looking statement again, Avinash. Please excuse us. We won't be able to --

Avinash Kumar: No issues.

Moderator: Thank you. I now hand the conference over to Mr. Gagan Borana for closing comments . Over to you, sir.

Gagan Borana: Thank you everyone. In case you have any follow -up questions , please feel free to reach out to me. Thank you once again . Have a good day.

Moderator: Thank you. On behalf of Piramal Pharma Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.



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"Piramal Pharma Limited Q4 Earnings Conference Call"

May 25, 2023

MANAGEMENT : MS. NANDINI PIRAMAL – CHAIRPERSON , PIRAMAL PHARMA LIMITED

MR. PETER DEYOUNG – CHIEF EXECUTIVE OFFICER , GLOBAL PHARMA , PIRAMAL PHARMA LIMITED

MR. VIVEK VALSARAJ – CHIEF FINANCIAL OFFICER , PIRAMAL PHARMA LIMITED

MR. GAGAN BORANA -- GENERAL MANAGER , INVESTOR RELATIONS AND SUSTAINABILITY , PIRAMAL PHARMA LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to Piramal Pharma Limited Q4 FY23 Earnings Conference Call .

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" then "0" on your touchtone phone. Please note this conference is being recorded.

I now hand the conference over to Mr. Gagan Borana – General Manager, Investor Relations and Sustainability from Piramal Pharma Limited. Thank you, and over to you, sir.

Gagan Borana : Thank you, Bikram. Good evening, everyone. I welcome you all to our post results earnings conference call to discuss our Q4 and FY23 Results . Results Material have been uploaded on our website and you may like to download and refer them during our discussion.

On the call today with us, we have Ms. Nandini Piramal – Chairperson, Piramal Pharma; Mr.

Peter DeYoung – CEO of Global Pharma; and Mr. Vivek Valsaraj – CFO of the Company .

Before I proceed with the call, I would like to update everyone that the Company has filed a DLOS for a rights issue with the SEBI for its approval. Given this event, we would have to abide by the statutory guidelines as issued by the regulator in regard to our disclosure and external communications. Hence, we would not be able to share any forward -looking statements, not disclose any further details on the proposed fund raise during the deal window period. Therefore, I would request everyone on this call to restrict today's discussion to FY23 and Q4 FY23 performance.

With that, I would like to hand over to Ms. Nandini Piramal to share her thoughts.

Nandini Piramal : Good day, everyone, and thank you for joining us for our post results Q4 and FY23 Earnings Call.

I am going to start with the quarter's performance, starting with over the past few years, Q4 has always been the best quarter for the Company in terms of revenue contribution and EBITDA margins. This year as well in Quarter 4 , we registered a sequential revenue growth of 26% over last quarter with an EBITDA margin of 17% compared to 10% reported in Q3.

In terms of YoY growth for Quarter 4 , we registered a revenue of Rs. 2164 crores, implying a growth of 2%. For the fully year we reported a YoY revenue growth of 8% with revenues of Rs. 7,082 crores. Our CDMO business grew by 7% YoY in FY23. The muted growth was due to an external perspective, slowdown in biotech funding, delayed decision making and muted demand in PNS vitamins and generic API.

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From an internal perspective, the resolution of execution issues of some of our sites was an ongoing exercise throughout the year. The margin in CDMO business was impacted due to the muted growth and largely fixed cost base. However, the growth in our differentiated capabilities such as peptides, ADCs, HP, APIs, potent sterile injectables, hormonal products and on patent API developmental manufacturing was strong with a 19% growth between FY21 to FY23. Our CAPEX in FY23 was aligned to those areas.

We closed FY23 with a healthy order booking versus prior quarter. Our complex hospital generics grew by 28% and 14% respectively during the quarter in FY23. Our inhalation anesthesia sales, particularly sevoflurane where we are a market leader with a 39% market share in the US market continued its healthy growth momentum in the US and ROW markets with robust volume growth. Our India consumer healthcare on a like-to-like basis registered a growth of 5% and 16% during the quarter and fully year, mainly driven by power brands and strong sales traction in the D2C and e-commerce channel.

Our reported EBITDA margin for the year was 12%. However, adjusting for nonrecurring items such inventory

margin on account of demerger of Rs. 68 crores, near expiry inventory provision of Rs. 92 crores on account of lower demand during COVID 19 pandemic, and provision for receivables of Rs. 32 crores from a biotech customer, adjusted like to like EBITDA margins at FY23 was higher at 15%.

Our EBITDA margins during the year were impacted by higher operating expenses including raw material costs, energy prices, wage inflation, marketing cost. We also saw some increase in OPEX as we expanded capacities at sites seeing high demand. We have already started taking initiatives towards cost optimization and improvement in operational efficiency to offset inflationary pressures and improve our profit margins. As mentioned earlier in terms of CAPEX investments during the year, we invested Rs. 965 crores mainly towards the expansion of facilities which are witnessing high demand such as Riverview, Grangemouth, Turbhe in Ahmedabad.

We believe in long term growth in our CDMO business would be driven by differentiated capabilities and integrated service offerings and have accordingly aligned our CAPEX investments. Also, for driving growth in our inhalation anesthesia business which is seeing significant demand. We are expanding our capacities including for key raw materials made in-house.

Moving on to business specific highlights. For the CDMO, we witnessed a muted revenue growth in our CDMO business but are starting to see signs of recovering. Firstly, we are seeing continued client RFP slower with visible demand for integrated multi-site campaigns. We are also seeing healthy POs for recently approved on patent commercial products. This has translated into a significant pick up in order bookings in Q4 compared to the previous 3 quarters.

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Secondly, our relationship with innovative pharma companies have strengthened. For FY23, revenue contribution for innovation related work was 45% of CDMO revenue. Some of our collaborations with innovative companies already in the public domain, which highlights our capabilities in the CDMO business.

Third, we continue to see good demand for our CDMO services in the niche areas of high potent API, peptides and antibody drug conjugates. Our recently expanded capacity at Riverview facility catering to high potent API has been seeing strong order inflows. We expect to go live with our expansion at our Grangemouth facility in the second half of this financial year which should help us in strengthening our position in the antibody drug conjugate segment.

Revenue contribution from our differentiated offerings has increased from 27% in FY21 to 37% today. In terms of development pipeline, we aim to continue discovering and developing new molecules for our customers and have development pipeline of molecules across various stages of development. We expect some of these phase 3 molecules to provide us with commercial manufacturing opportunities in the near term.

And finally, we have maintained our quality track record. We have yet another successful year having cleared 36 regulatory inspections including 4 US FDA audits at Riverview, Lexington, Sellersville and Digwal. At Riverview and Digwal, we received zero observation, while at Lexington and Sellersville, we received EIR for the BAI observation. Further in the previous week, our Pithampur facility also underwent FDA inspection with zero observation and now NAI status, the five sites which have passed the audit and contribute more than half of the CDMO sales in FY23. Further, we did an increased number of customer audits in the year over the

previous year which is also a leading indicator for improving customer engagement. We have taken specific actions to improve the facilities' performance.

We have added more people to our business development team to improve share of wallet of key customers and drive demand at strategic sites. Our

COO, Herve Berdou who joined us last

year is continuing to drive execution improvements of various sites. We've also made some site level and functional leadership changes to address execution issues where they are needed. At OPEX, we have reassessed the cost structure more prudently given the new demand environment and hope to grow the business with better profitability in the backdrop of increasing demand visibility in our differentiated CDMO businesses.

Moving to our complex hospital generics business. Our inhaled anesthesia portfolio, particularly sevoflurane is witnessing high demand in the global market and we are expanding our capacities to meet the growing demand for our products in non-US markets. As per IQVIA Midas math moving annual total, September '22 data with leading player in sevoflurane in the US with a value market share of approximately 39%.

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For inhalation anesthesia, we are vertically integrated and expanding our capacities to address the growing demand of our inhalation anesthesia products. Our intrathecal portfolio continues to command a leading market share in the US. As per IQVIA Midas math, September 22, we were at number 1 in the US market with baclofen prefilled syringe and vial with our brand Camylofin having approximately 78% market share. In the injectable pain management segment, our growth during the year was impacted by supply constraints at our CMO. We're working to improving these products with our CMO partners and have seen improved traction in production in Quarter 4 FY23.

The profitability of our CHG business for the full year was also impacted by near expiry provisions on account of low demand during the COVID 19 pandemic which we expect to normalize in FY24. We continue our focus to build the pipeline of injectable products and have 25 plus SKUs currently in the pipeline. During the year, we launched a few new products with multiple skills in the US and European markets.

Moving India consumer healthcare business. Our India consumer healthcare business had a good year in terms of revenue growth despite a high base of FY22. This growth was primarily driven by our power brands which witnessed growth of 37% in FY23. Our power brands contribute 42% to total healthcare sales during FY23. Our top brand grew over 50% in FY23 and lactocalamine grew by over 40% in FY23 powered by new launches and traction and e-commerce.

In line with our stated strategy, we have been investing our profits in the consumer business to support the growth of our power brand. During the year, we continued to spend on media and trade promotions which has yielded good results as reflected in the performance of our power brand. Further, we launched 26 new products and 37 new SKUs during FY23. New products launched 2 years now contribute 18% of the consumer products.

We have a strong presence in general trade and strengthening our presence in alternate channels of distribution including e-commerce, modern trade and our own website, Wellify.in. Currently, e-commerce contributes about 16% of our total consumer business sales and has been growing well.

To summarize I would like to say while our CDMO business has had muted growth in FY23, we are witnessing green shoots of recovery in Q4 including a pickup in our order book, increased mix of innovative business, increasing demand for differentiated capabilities and continued standards of quality and compliance with 5 successful US FDA audits in the last 6 months. We have taken efforts to reallocate resources and OPEX and CAPEX towards a higher demand side. Our inhalation anesthesia portfolio continues to see a healthy demand in the US where we are the leading player in sevoflurane. In the view of increased demand, we are expanding our capacities at our Indian and US facilities.

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Further,

our India consumer healthcare business is delivering high growth of power brands. Our multicultural and multinational team with over 6200 employees, 17 manufacturing facilities worldwide and a global distribution network in over 100 countries give us a robust platform to build scale. We take pride in our quality, right track record and focus in patient customer and consumer centricity. We are also conscious of our responsibility towards our planet, society and

all the stake holders and are making steady progress in the areas of greenhouse gas emissions, water stewardship and waste management. We believe in the potential of our business and our main focus over the next few months would be capturing demand, driving productivity through operational excellence and executing critical maintenance and growth CAPEX .

With this I would like to hand over the call to Vivek, our CFO, who will respond to queries we have received since last evening. Post that, we will open the floor for any questions that you might have.

Vivek Valsaraj : thank you, Nandini. Good day to all and thank you to those who shared your questions in advance. We will try and answer them now and then take up any other additional questions that you may have.

The first question was what is the status of the rights issue. We have filed the DLOS with SEBI on 28th of March this year. Post that, we have received and replied to the queries from the regulator. Currently, it is under review with SEBI and we are awaiting approval .

The next question was, at what price will the rights issue be priced? The pricing will be decided closer to the launch of the issue.

What are the reasons for the muted growth in the CDMO revenues for the quarter and then year?

For a full year basis, we saw 1% growth year-on-year in a tough macro environment. Current quarter revenue growth was affected primarily due to the effect of those factors that have impacted the business in the prior quarters like softer demand for our generic API and vitamins portfolio, relatively low order book during the first 9 months of the year due to a delay in decision making by customers on account of macroeconomic environment and pipeline privatization. Some execution issues at the start of the year at a few of our facilities which have been addressed during the course of the year through operational excellence initiatives and appropriate interventions across site and business leadership team. We have seen a good pick up of order booking in the month of March which will reflect in H2 FY24. Also, our recent operationalized expansion at site offering differentiated capabilities like high potent APIs and peptides which went live in H2 of FY23 has witnessed a good customer demand.

The next questions was what was the significant year-on-year and quarter -on-quarter growth in CAG business during the quarter? What has driven this growth? The main reasons have been healthy demand for our inhalation anesthesia product, sevoflurane where we continue to be Piramal Pharma Limited

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market leaders in the key US market with a 39% market share and improvement in supplies from our CMO from our injectable pain management product. There was also a question on reasons for a muted performance in our consumer products business during Quarter 4 .

On a full year basis, our consumer products grew by 16%. Quarterly revenue year-on-year growth appears to be lower as the prior Quarter 4 included sales of COVID detection kit which was discontinued this year. Excluding this, the Quarter 4 growth was 15% and full year growth was 19%.

We also received a question to explain the differences between the reported and the like-to-like EBITDA seen on Slide 24 of the investor relations presentation. Just to clarify, the scheme of demerger of the pharma business which is Piramal Pharma from PEL and amalgamation of PPL's wholly owned subsidiaries namely He

mno Pharmaceuticals and Convergence chemicals

into PPL was effective from the appointed date of 1st of April 2022. To the extent of non - common controlled transactions, the financial results are not comparable with corresponding previous year periods, that is the like-to-like financials eliminate the impact of Intercompany transactions between PEL and PPL during the prior periods. Accordingly, all the closing inventory as on 31st March '22 at PEL in respect of such transactions including a margin element which was charged by PPL to PEL on an arm's length basis. Since the demerger is effective 1st of April, the opening inventory transferred to PPL at fair value as per Ind AS included the margin element and the same has been charged to the P&L during the first quarter of PPL's financial statements on sale of such products, the onetime nonrecurring impact of EBITDA of this inventory margin in quarter 1 was Rs. 68 crores.

There has also been a question on expenses and on the reasons for the increase in OPEX , employee cost up by 19%, and other operating expenses being up by 18% and how many employees were added during the course of the year. As explained the financials were not strictly comparable due to the demerger -related accounting. On a comparable basis, employee expenses for the full year increased by 17% and net of FOREX the impact is 14%. During the year, we added about net 650 people to fill up the open positions and operate new capacities recently opened or planning to commercial in the coming few months which are witnessing high demand. The commensurate revenue from this expansion is yet to come through. The year-on-year increase in employee cost also includes the impact of increments and annualization of cost of positions recruited big way through previous year where attrition was higher. In terms of

other expenses, the comparable basis, the operating expenses have grown 13% and net of FOREX is 11%. Primarily coming from marketing spend in the consumer product business, this is a strategic choice which was made to increase market share in the fast-growing segment, increase in OPEX related to additional capacities which came in online, we are seeing good demand traction and expect a good efficiency of the cost base and provision for receivables in quarter 3 due to funding uncertainty of a certain biotech customer. Having said that, the Company has been taking measures to contain cost through operational excellence, better

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procurement, energy efficacy initiatives, lowering discretionary spends through a Company wide initiative.

There was also a question on reasons for lower operating income and higher tax in Quarter 4. With respect to other income, it was basically low in this quarter as compared to the prior quarters due to a decline in FOREX gain. In terms of tax, the tax liability was higher in Quarter 4 and tax included tax paid on dividend received during the quarter from our joint venture Company against which section 80 of the income tax benefits were not available as Piramal Pharma has not declared any dividend. Likewise on a full-year basis, all dividend received from the joint venture Company and returned by PEL as a part of the demerger process have been offered for tax. This has caused a one-time increase in the tax liability by about Rs. 43 crores during the full year. As information, the consolidated accounts dividend is not shown as an income but it is knocked off against investments whereas tax components reside in the tax slide causing this anomaly.

The next question was how much of the net debt resides overseas. So, of the Rs. 4800 crores of net debt about 69% resides overseas.

There was also a question on the rate of borrowing for the Company and when do we expect to bring the debt down using the proceeds of the rights issue. The rate of borrowing ranges be

tween

6.5% to 8.5% between overseas and India. And subject to regulatory approvals, we are expecting the proceeds of the rights issue to flow in by the end of quarter 2 FY 24.

There was a question on the quantum of the CAPEX expenses in FY23 and plan for the future of FY24 and '25. The CAPEX spends during FY 23 was about 965 crores which was largely spend on differentiated sites which witnessed high growth during the course of the year. For example, we expanded our capacities at Riverview and Turbhe during the year. With respect to CAPEX in FY 24 and 25, at this point we cannot make any forward-looking statements during the deal window.

There was a question on other than the receivables provisions which was made in quarter 3, were there any other atypical provisions in FY23. The EBITDA for the full year included near expiry inventory provision of about 92 crores in the CHE segment on account of lower demand of non-COVID products during the pandemic and besides that was one-off provision on receivable that I mentioned. Adjusting for these and the one-time inventory margin on the stocks taken back of PEL of Rs. 68 crores the like-to-like EBITDA for FY23 was Rs. 1047 crores and EBITDA margin of 15%.

So, those were the few questions that came upfront but we will be happy to take up any additional questions.

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Moderator : We will now begin the question-and-answer session. We take our first question from the line of Kunal Khudania from DSP Asset Managers. Please go ahead.

Kunal Khudania : I have couple of questions. So, first one was on the order book, like you mentioned, there is a good amount of order book built up. And you also talked about the cost optimization measures that are being undertaken. So, if you look at the global macro environment, the uncertainty still continues. So, is Company taking any further efforts to rationalize the cost and more so if you look at the sequential employee expenses as well as the other expenses that have marginally declined on a sequential basis. So, What are the exact cost optimization measures that the Company is undertaking? And the second one was like you mentioned most of the process for rights issuance will go towards debt repayment. So, is the Company confident of meeting its CAPEX requirements through internal accruals or how can we see the debt level panning out in the near term? Those 2 were the questions.

Vivek Valsaraj: Thank you, Kunal. Overall, in terms of the debt, as you rightly mentioned, the intent is to pay down that debt with the proceeds of the rights issue significantly. Also, we are looking at the overall business performance in FY24 and are aligning our CAPEX requirements accordingly with respect to what we are going to spend, so the CAPEX is getting prioritized. And as of now,

we believe that we'll be able to meet the immediate requirements both through a mix of what comes in through the rights issue and the CAPEX requirements through internal accruals as well.

Nandini Piramal: In terms of employee expenses, I think we have, as we said, hired new employees to actually fulfill and operate the new capacities that some of which have gone live and some of which will come in later on. So, we actually think that overall, the rise in actual sales will actually compensate for the employee expense. In terms of cost cutting, we're looking across the board. We are doing procurement costs. We're doing operational excellence. We're actually looking at efficiency and where, if we are hiring, we look very, very carefully at saying that only revenue generating hires are being hired currently.

Moderator: We take the next question from the line of Hitesh Agarwal from Fair Value Capital. Please go ahead.

Hitesh Agarwal : Yes. My first question is on the Indian Consumer Healthcare segment. So, we have grown the revenues to around Rs. 860 crores at

present. What will be our road map for the next three to four years? When can we expect the segment to start contributing to the bottom line?

Nandini Piramal: So, I think we've said this in public that once we cross over Rs. 1000 crores, we'll start doing a gradual increase in profitability.

Hitesh Agarwal : And what has been the revenue and profitability contribution from Allergan in FY23?

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Vivek Valsaraj: As you're aware that Allergan, as a joint venture, is picked up as a one-line item of associate income and that is not adding to the top line, but from a share of profit is about Rs. 54 crores for the full year.

Hitesh Agarwal : My second question is on the intangibles for the overall business, in the presentation, it is mentioned we have total intangibles of around Rs. 4400 crores which includes goodwill of Rs. 1100 crores. So, could you throw more light on these intangibles what do they consist of?

Vivek Valsaraj: So, primarily, the major component of this intangible includes the brands that we acquired. As you may recall, we had acquired brands for our consumer products business and also for our complex hospital generics business, which includes the intrathecal brands and the pain management brands. So, those are big components of intangibles. It also includes a certain component of the pipeline of DMS, which we have developed for our generics business.

Hitesh Agarwal : Are we anticipating any impairment on these intangibles in the coming years as such?

Vivek Valsaraj: No, nothing of that sort. We don't see any indicators for impairment.

Hitesh Agarwal : My last question would be on how many new products have been commercialized in FY23 and what would be your target for FY24 in the CDMO space?

Nandini Piramal: Would these be unpatented products or would these be for phase 3 going to commercialization? Is that the question in CDMO?

Hitesh Agarwal : Yes.

Peter DeYoung: I don't think we're in a position. I think that's limited in our filing requirements about sharing that information. I would just point you to I think we may have done our press release with one of our customers that allowed us to share. That would be one example you could go to and look on our website. But beyond that, we're limited in what we can say on that.

Moderator: We take a next question from the line of Niteen Dharmawat from ORAM Capital. Please go ahead.

Niteen Dharmawat : So, you mentioned about 600 people that we added. So, how many of them are in India and how many outside India?

Nandini Piramal: I don't have a breakup at the moment.

Vivek Valsaraj: I'll get back to you on. If you can just drop me a mail, I'll respond to it.

Niteen Dharmawat : I'll do that. Thank you so much.

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Peter DeYoung : But the more were inside India and fewer were outside of India because significant amount of addition was in our Ahmedabad Discovery Services Group, which is an FTE based model. But we can give you the breakup.

Moderator: We take a next question from the line of Chintan Shah from JM Financial. Please go ahead.

Chintan Shah : A few questions. The first one is, can you help us understand the margins of CDMO business better? So, what I'm trying to understand is we have an innovative part and we have a generic part. So, can you just help us understand what would be the differential probably on a normalized basis if not specifically for FY23?

Peter DeYoung : So, we don't actually provide segment level profitability, but what we could guide is that the reason why we share and discuss the percentage of revenue from differentiated offerings and also our share from what we call innovative offerings is because it's more lucrative materially

than the alternative offerings. And so the reason why we try and share those revenue transitions in the different ways we communi

cate are because they are financially, materially more beneficial.

Chintan Shah : And secondly, good guidance that we have a healthy mix of innovative portfolio in the bookings. So, I just want to understand when you say healthy, what would that be ideally more than the mix that we have in FY23 or how should we understand that?

Nandini Piramal: I don't think we can actually give the breakup actually for next year.

Vivek Valsaraj: Not at this point, Chintan. We can't make forward-looking statements. So, please bear with us for some time.

Chintan Shah : Sure. No problem. And another thing. In your RHP, you mentioned few of the products on the generic side. So, just want to get an understanding with strategy here. So, is it in terms of market size, et cetera, if you can give some guidance basically about this place?

Nandini Piramal: Which products do you want?

Chintan Shah : So, you mentioned 4 products, basically, diltiazem, hydrochloride, ketoconazole, trazodone hydrochloride and those 3, 4 products that you mentioned. So, I'm assuming this would be the major product. So, could give some sense in terms of what's the position in the market, the market size and probably how much would they be contributing to our revenue?

Nandini Piramal: So, one is, Chintan, our generics products, they're 2 types. One is where we make generics for our customers also. So, that's a kind of make to order. So, some of our big customers would be using our generics. We also have our own DMS, which is the API generic business, which makes those five kind of products. So, it's a mix. It's how I will put it.

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Chintan Shah : But on trade generics if you can throw some light. I mean, it would be really helpful.

Nandini Piramal: So, on the API generics, I don't think we can give outlook at the moment, right?

Chintan Shah : What basically is the market size?

Peter DeYoung : The market size is whatever we provided in the DL is what we can provide because of the nature of the data sharing.

Peter DeYoung : I'm sorry.

Nandini Piramal: Sorry about that.

Chintan Shah : No problem. And lastly, on the India consumer side, if I see the growth, what you've mentioned is the power brands in Q4 have grown by 31%. And what you mentioned in your opening remarks is if you exclude that COVID case, the growth would have been higher at around 15%.

So, what I want to understand, since power brands contribute around 40% to 43%. So, the balance portfolio what is happening with that is that growing or what? If you can throw some more light.

Nandini Piramal: See, I think one is not just we had a whole COVID hand sanitizers and things like that, as well as the COVID testing kit, which has obviously now become much smaller. So, I think that has degrown. Overall, the rest of the non-power brand portfolio is growing slightly, but not as fast as the others.

Chintan Shah : Would that degrow this quarter?

Vivek Valsaraj : There is no degrowth.

Nandini Piramal: It is not degrowth. But it's just mostly they're growing slowly because we're not putting promotion money behind it.

Peter DeYoung : It's more trade lag.

Chintan Shah : And in terms of margins, I know right now we are making losses, but just to get a sense is power brand, they be a higher margin products versus other brands or how should we understand this?

Nandini Piramal: So, we're not making losses. We're breaking even. So, first is we are very much fair to the business that anything that they spend on gross margin they can, we spend on promotion. The power brands are actually the potential of scale and that's what we're looking at. So, from a product perspective, there are mix in terms of gross margin, but we think they're in bigger

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markets and have the potential to be much bigger. So, on an absolute level, they will be profit

able

once you get to a certain scale.

Moderator: We take our next question from the line up Prakash Agarwal from Axis Capital. Please go ahead.

Prakash Agarwal : Just trying to understand the Q-on-Q recovery in the fourth quarter. So, is it also a function of new capacity starting to play out already or it is yet to play out? And if capacity is not the reason, then what laid out because you've been saying that you know the order book for the start of the year has been soft, customers are delaying decision, et cetera. So, what really led to that growth

recovery?

Nandini Piramal: So, Prakash, Quarter 4 is always the biggest quarter. That's one of the things because the way a lot of our customers do, they want to run down inventories at the end of the calendar year and then begin reorder in the fourth quarter of our financial year, so first quarter. That's actually one.

Two is there has been some capacity. So, at Riverview and at Turbhe which opened during the quarter and we were able to get revenues out. So, I think those would be the 2.

Prakash Agarwal : Which would build up, right? So, there is a view as well as they would have a full quarter impact going forward. And it should be up, right?

Nandini Piramal: Yes.

Prakash Agarwal : And from margin levers perspective, what are the key margin levers you have for what you have played out already in or you already taken action in fiscal '23 especially in second half of Fiscal '23, would cutting some promotion cost at the consumer business would be one of them or what are the other levers that you are playing?

Nandini Piramal: No. We've actually continued to spend on the consumer products business because for us, we believe that continued promotion will get us higher growth than not doing it. So, that's not it, but we've actually restrained costs. We cut down on CAPEX and deferred CAPEX, which was not growth on maintenance led CAPEX and we've seen also the benefit of higher revenues, which in a fixed cost business gives you a lot more I guess operating leverage.

Prakash Agarwal : No, I meant what are the initiatives you've already taken in know last three, six months given that you were foreseeing slowish, weakish growth. What are the steps you have already taken in the last six months? We heard you in the last call that you have done some replacement hiring in the CDMO business globally. So, that would have added to cost, then the power, fuel, freight, et cetera you had talked about. But seeing the cost increase and this quarter, the cost has not gone up. So, I'm just trying to understand, are there any measures in the Company we have taken which has started to play out and which will play out also in future?

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Peter DeYoung : So, first I want to tackle the demand portion and we'll cover CDMO first. And if that's sufficient, we can stop there or you can guide if you want to hear about CHG. But the first thing on demand is we took a number of actions to increase the number of shots on goals, speed the decision making, make decision making faster, make it easier for clients to decide faster on smaller projects, on smaller slices and also improve our win rates. And so, we saw a pickup in our win rates as the year progressed and we saw a significant increase in overall decisions in Q4. And so that's one thing that we see the benefits of in the later period. Now the second thing you're going to ask about is on personnel changes. We made some important changes. We have a new CEO who's leading the business and we also went through the next 2 levels of the organization and made a number of changes in leading functions and also sites. Where we thought change was needed and so we do actually have an injection of leadership in many of the places where we thought change was appropriate or necessary and with few of that are still pending. But they're in the works

. And so overall that's been an important second component. The third one is we actually tried to explain how in the prior quarter when we did the call that we felt that the quarter-on-quarter OPEX may look disproportionately high versus reality and we gave certain explanations to try and guide that. It wasn't a recurring increase and actually there were one offs in that scenario and we think that that is showing up in this context. And that notwithstanding, we've also taken certain cost moves. We've been very careful about our headcount choices. We're only adding headcount where there is robust demand and necessary need of operator level positions and other places, we're actually seeing headcount reductions and decisions relating to that to align to the demand scenarios at sites that are not in that position.

I think the next thing is we've done, we've actually bolstered our OE team earlier in the year, which has been deployed to sites to derive productivity improvement. That would allow us to get better revenue to EBITDA conversion. And so, we're seeing some of the benefits and we expect to see more benefits from the OE project. In addition, we did a lot of work on productivity saw as well as procurement and we brought in additional capacity to be more aggressive in how we approach procurement. And we've seen from unfavorable to favorable. PPV variances because of those efforts by our team over the period. And then I would probably finally mention, we mentioned energy efficiency and obviously we all noticed the impacts of energy increases as we deputed a Company-wide task force at each of our sites to think about things that could reduce our energy spending either through rate or volume changes. And so, we've actually started to see the benefits of the actions that maybe not be CAPEX driven and could be lighter in terms of investment in time. And so, I think we're seeing some of the benefits of those efforts already in the quarter. But as Nandini mentioned, this is a fixed cost business and top line revenue has very beneficial impacts on bottom line, but we haven't been waiting for the top line. We've been taking a number of other methods and actions that I just described briefly here.



Prakash Agarwal : Fair enough. Thanks for the detailed explanation. Just a follow up here. So, you talked about strong order book which is visible now. So, has the business environment changed because last time you spoke about decision making. So, is the business environment improving and hence  
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you're seeing order book? Or it's a function of more capacity being added, more capabilities being added? Or it's the function of both?

Peter DeYoung : So, actually I'd say it's a third. The clients that we were in discussions with for a long period of time did have the money throughout the year, but they were not making decisions before they had to. They've now made decisions. The second thing I would say is that we actually have a certain number of clients that have had recent approvals commercially and now they are preparing and engaging in their launch or the early commercial activities. And so, then they need to have the supplies to support those activities. And then I would say. 3rd, we've seen some of the benefits of our efforts to try and I mentioned our strategy of more shots on goal, faster decision making and improved win rate. We actually have seen some of those efforts starting to bear some fruit, but I want to caution that we're not counting on or depending on a macro uptick in the environment for our plans. If that were to happen, we would view that as an upside. We're just counting on the clients that have good science, good data and clarity about their plans to continue to place their work with us and for us to get, we use the term more than our fair share through the three strategies I mentioned, but we're not counting

on our banking, on our macro  
uptick.

Moderator: We take our next question from the line Yasser Lakdawala from M3 Investment. Please go ahead.

Yasser Lakdawala: Congrats on having a strong compliance track record as you've always had over the years. When you look at sort of long-term game plan, like how do we sort of improve our CRO, CDMO footprint in India in terms of number of scientists, more small-scale pilot labs? And how hard is it to sort of build and scale this part of the business? Because we've seen that, we've grown the discovery and development bit to about 30%, 35% of our CDMO sales. How hard is it to sort of grow this business to a much larger meaningful pace? If you could shed some light on?

Nandini Piramal: Do you mean the discovery business or do you mean the development and innovator side of the business.

Yasser Lakdawala: So, the innovator sort of the discovery and development business, right, because that would be sort of the top of the funnel piece which would allow maybe a lot of those projects to flow through eventually, hopefully into commercial.

Nandini Piramal: So, the discovery business, I would say is actually quite early on in the kind of scientific process and it would take actually quite a long time for those projects to flow through, right? But it's a very profitable business and it's kind of based on the number of scientists in few modes and we've been expanding capacity over there in our PDS business in Ahmedabad. However, I think we don't necessarily want to make it the kind of driving force of the business is how I would put it. I think it's because we like the business; our scientists are actually very good and we're going  
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to continue to manage that well. In terms of discovery and development, I do think overall it is a question of having the right compliance and quality record, having the right scientist, but I will say some of our customers also want near shoring to happen. So, some of our customers are saying that they want business to be done for patented products, innovative products in the US or even in Scotland. So, that's why we've been seeing pretty good demand in our Riverview, Aurora and our Grangemouth sites because that's where the customers want to do it. The benefit for us is we've been seeing with our integrated projects is that we can talk to our customer and do something at Riverview and then then they'll give us something in India for example. And that's something you wouldn't have seen if you didn't have the US facility. And the way we're going to look at it is we're going to provide whatever the customer wants in whichever geography they need, whether its US, UK or India. And that helps us to meet the customer with that.

Yasser Lakdawala : Secondly, we've had like some sort of execution challenges at Morpeth, the hormonal OSP and contraceptive plant and the one in Lexington. I think there were two older facilities which we were trying to sort of modernize. And convert them to sort of commercial scale. So, how far are we in terms of them become say, profitable contributors to our CDMO business.

Nandini Piramal: I can't tell you forward-looking guidance at the moment, Yasser. I can talk about the past. I can't talk about the future, sorry.

Peter DeYoung : But I would give some operational indicators as an example of why we have confidence in these two sites and what they can bring to the network. If I were to look at, let's say, the Morpeth

facility at this moment, we look at in stock ratio for some of our key customers and we're at or above the expected percentage and have been for some time. So, we're meeting our customer commitment to that site and we're actually seeing probably higher demand at that site than they have in the recent past such that we're actually having to add operators at the moment to meet that demand, which we think

is a beneficial trend for profitability for all the obvious reasons.

And so, we actually do think that a lot of our efforts to address the operational issues have borne fruit at that site, and it's now at the point where we can discuss revenue growth instead of operational issue containment. And that's a great transition we have made and now we need to continue that transition. The second one I'd say is that Lexington, we did obviously have challenges before, but if you look at our recent trends, or even our four-year trend in, let's say, Net Promoter scores of customer experience, which we find to be a lagging indicator of operational experience by our customers, it's been a sequential improvement each year over the last four years and now we actually are in a positive position for customer experience. The second indicator I could give you would be around regulator experience and so obviously, it's one of the sites Nandini mentioned or having a favorable USFDA outcome which we think is the regulator saying this is good. The customers are saying this is good and the third one, if I were to look at our set of open RFP's that are being discussed with customers, actually Lexington would have the highest percentage of open not yet decided RPs of either sites in our network demonstrating the overall market need for the offering and so while we have not yet addressed

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it and I can't give forward-looking comments, what I'm trying to give you a backward looking information, aspects that could give you reason why we think we have confidence in those 2 sites.

Yasser Lakdawala : That's great to hear, Peter. My last question would be, I mean in terms, we still have about 650, say, more than half of our business. There's generics and some nutritional products. So, what are we doing at from a, say, a process efficiency or technical competency and to improve maybe our yields, maybe our manufacturing processes, maybe so that as you said like you want to improve margins, you can also maybe hopefully improve profitability, improve gross margin and do that and not worry about the macro growth. But from an existing business standpoint, what are we doing to sort of, enhance our technical prowess? Like if I may ask that.

Peter DeYoung : So, on the nutrition side, last year we went through a soup to nuts change effort involving changes at how we lead the business, how we organize the. We looked at go to market, we looked at offerings, we looked at cost to serve, way to serve and we're now in the process of implementing some of those plans. It will never be the top performer, but we do believe that these plans as implemented should continue to show a positive trajectory and improvement and reduced the drag that it's had in the recent past and it's never going to be the hero, but it's going to be a meaningful contributor again. It's going to take some time; it's going to take some. But we did go through the effort to figure out what we think the job needed to be done, and now we're doing it. In the case of the generics business, that process, we started more towards the end of last year and so it's lagging a bit. But once again a similar effort that's going on where we're doing once again a soup to nuts like activity. Some of the yield efforts actually progressing in parallel because it didn't require the overall holistic look, but we are looking at the overall generics business end to end. But I would mention that well, you could frame all of generics the way you just did. Generics also includes what we offer in Turbhe and I would say the addition of the peptide generic component to our business is a highly growth oriented, high margin, less competitive environment that has really been a great addition to our portfolio and it allows us to kind of include even in that business from a mix perspective, technologies and capabilities and

offerings that not all of our competition can offer, that we actually think is going to change the overall mix in addition to the plan I described for our more legacy generic portfolio.

Moderator: We take a next question from the line of Ishita Jain from Ashika Group. Please go ahead.

Ishita Jain : Congrats on a stronger Quarter 4. In the hospital generic segment, could you comment on the pricing pressure in Q4? And we were also expanding Digwal and Dahej facilities. Are these expansions live now? I'm not sure if I missed it. Perhaps you could also talk about capacity utilizations of these facilities please.

Peter DeYoung : So, the expansions for our lead product are not yet live in India and they will take some time to complete. They are underway. We do have some expansions for reliability that allow higher

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capacity out of our Bethlehem, US facility that are going to go on in a series of actions that will be more near-term realizable over the period. And so, we expect those to be more short-term visible. I can't make forward-looking comments per se, but from a general strategy you should view the Bethlehem capacity enhancements or reliability enhancements to be more proximate, and you should view the Dahej and Digwal to be a bit more medium to longer term. And so our utilization at the moment is that demand is greater than supply. So, everything we make we're selling at the moment.

And so the next question around pricing pressures. So, as you would know, we are in the generics market. And that's the market where prices typically go down, not up. And so, we are in that scenario and that we expect that to continue, but we do expect with our overall approach to vertical integration and also the limited number of competition that can compete against us given the model we've picked and what we're actually selling that we should be able to maintain what we would call healthy gross margins and overall profitability as we have over the last 10 plus years with this offering.

Ishita Jain : And you mentioned that demand is stronger than the supply in the market. It's the same comment you had given last time. So, just wanted to ask that that a, that remains same and b, that remains same in our existing geography is correct?

Peter DeYoung : It does, and so you may wonder, well, why is this the case? I would give just 2 elements. The 1st is that we've been succeeding with our commercial execution and presenting ourselves as compelling option against the alternatives in the marketplace. And that has allowed us to gain our percentage market share and improve our position. That is the first point. The second point is that there has been a general increase in sevoflurane utilization versus some alternatives due to some changes in preferences that we think that trend is going to continue. Notably, there's been a decline in the use of desflurane, and a conversion of that prior usage to sevoflurane. And so, we are well positioned to capture that overall macro change.

Ishita Jain : And just as a second question on the CDMO front, you mentioned 25% of CDMO revenue is from the innovator. What percentage was commercial manufacturing versus development and discovery services and how has that changed year-on-year?

Nandini Piramal : I think it's 45% Ishita, but maybe we can get back to you with the exact. If you e-mail Gagan please and we'll get back to you with the exact, how has it changed year-on-year.

Peter DeYoung : But for the general audience, without giving the specifics, we would say that the percentage change in innovator business is going up. As in its growing faster than the overall and we would also say that the percentage differentiated offerings is going up and growing faster than overall. So, we think those are nice leading indicators of the efforts we've been doing for the last several years.

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Moderator: We take a next question from the line of Vinod Jain from WF Advisors. Please go ahead.

Vinod Jain : My question is to Nandini madam. The financials reflect a sustained lowering of profitability. Net profit we covered for Quarter 4 but is near 2.5% of revenue. Priority wise, what are the steps taken to counter this situation? Do you see the situation reversing in the near future?

Nandini Piramal : I think we've talked a little bit about how we are looking at cost, whether it's procurement, whether it's operational efficiency and as well as energy efficiency. We've also been, as we said, looking at headcount in terms of where only if we are adding people, we're adding people that are directly revenue generating and reducing headcount sort of to be in line with where the revenue is, right? As we think about next year, we've got a good order book, so that should translate into higher revenues in the second half of the year. And we should see profitability improved from there.

Moderator: We take a next question from the line up Tushar Manudhane from Motilal Oswal. Please go ahead.

Tushar Manudhane : Sir. Just on your explanation of preference towards sevoflurane, so if you could elaborate on this. So, is this a regulatory factor which is driving this change in preference? Or is there a doctor factor?

Peter DeYoung : So, I'd say there's generally the cost of desflurane is a bit higher for a patient than the cost of sevoflurane and that's been present for some time. So, generally, as budgets are economized, people have been switching and reducing from one gas to the other because that's the cost to the ultimate buyer. The second one is that in some of our geographies, we have noticed that there is an argument for greenhouse gas optimization and the contribution of desflurane to those gases is several fold higher than sevoflurane, and so if a hospital wants to make a move towards net zero, they say, I'm going to reduce desflurane, increase sevoflurane and then they can check the box and address their sustainability objectives for the period.

Tushar Manudhane : Interestingly, before sort of particularly in Q4, as I see the previous quarters, we didn't see this stable under complex hospital generic thing.

Peter DeYoung : You're right. The overall trend is a multiyear secular trend that I described. The quarterly performance is the combination of demand and supply and the overall contracts we've won, that would be more commercial execution.

Tushar Manudhane : And sir, in complex hospital generic segment, how much of the overall requirement would we be taking from CMOs?

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Nandini Piramal: So, we only make sevoflurane. We make inhalation anesthetic; the rest of our business is taken from CMO.

Vivek Valsaraj: Over 56% is in house and the balance is from CMOs.

Tushar Manudhane : And just lastly on this, since we acquired Hemmo almost in November 2021, so if you could just help understand how much of the capacity expansion we have done in peptides and now that capacity expansion is done, so in terms of what could be the future course of work or when could we see the commercialization benefit coming through?

Peter DeYoung : So, were supply constrained up until when that capacity went online late last fall, the capacity increase was 50% approximately plus or minus, and it took a little bit of time to stabilize and now we think we're benefiting from that capacity expansion and it's now allowing us to execute on the orders that we have and the demand that we have. And now we're going to have to tilt back towards demand generation. But for the period, we've now achieved what we needed with the expansion and now we have to execute on the pipeline and the commercial execution.

Tushar Manudhane : So, would the incremental capacity require this exhibit batches, valida

tion and then subsequently

the business? Or is it the same product, so the commercialization can start from day one?

Peter DeYoung : Those were some of the issues I mentioned in terms of the teething issues with the expansion. We've done a lot of the validations needed to utilize the greater column and we're now utilizing it and that's why we now are no longer supply constrained at that site which we were up until probably even March of this year.

Tushar Manudhane : And just lastly on this aspect, so how much you would have spent on expanding the capacity and what kind of asset turn can be expected?

Peter DeYoung : I don't know if we disclose this, but this would be one of our higher ROI expansion, look, the investment was very modest, the incremental head count was very modest and the incremental revenue was significant. So, this is kind of from a financial perspective the dream CAPEX.

Moderator: Ladies and gentlemen, due to time constraint, we take the last question from the line of Aditya Jhaver, an investor. Please go ahead.

Aditya Jhaver: I wanted to understand on the innovative business growth. From last year to the current year, there is a slight degrowth. So, could you talk about that?

Peter DeYoung : So, I think we would say that there was an increase in what we call innovative business which covers discovery, development and patent commercial.

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Aditya Jhaver: From on patent commercial, there is a decrease.

Peter DeYoung: You're describing specifically the commercial and there were some customer specific issues that resulted in them not placing follow on orders last period. That resulted in what we think is a. A1 off situation and we have other new customers that are expecting to place and have placed POs for the upcoming period, which gives us confidence that that was simply a one-off of 1 large customer that didn't place over a period because of a corporate action happened on their end.

Aditya Jhaver: Can you explain on the integrated order book that you're talking about? So, it is a generic kind of business in that it is for the customer we do. What kind of nature is integrated order when we speak of \$62 million?

Peter DeYoung : So, what we mean by an integrated project is that typically a customer would historically have a team that would go off and procure individual services from different providers on a one-by-one basis and then they would have an internal team that would project manage and move the product from the different providers along the chain into what eventually ends up in their warehouse for them to use. With an integrated offering, we combine multiple steps into a single quarter or a single relationship so that we handle the handoffs for them for that portion that we do for them instead of they do and it provides speed and simplicity. So, an example would be where we could. We recently signed an order for a large pharmaceutical customer where they would start the early chemistry in Digwal in Telangana and then, we would do the final chemistry in Riverview, Michigan and then we would do the drug product finish in Lexington. In a traditional model, those 3 steps would be done with 3 separate contracts and 3 separate CMOs or CDMOs. In our model, we tell them we will do as one relationship and leave it to us. That's one example. Another example would be which we gave a press release on and you can look at

in our website, but it's where we did the drug substance in Digwal and the drug product in Morpeth, UK, and that these are both innovator examples. This is typically a more value-oriented partnership, as opposed to a cost-oriented vendor relationship.

Aditya Jhaver: That helps. So, when do you talk about the integrated this one, it is totally innovative business or it can be of generic business but a little high margin business?

Peter DeYoung : It's more likely to be inn

ovator. I'd say the 80/20 rule or the 90/10 rule.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference back over to Mr. Gagan Borana for closing comments. Over to you, sir.

Gagan Borana: We hope that we were able to answer most of your questions. In case you have any follow up questions or any clarification that you may need, please feel free to reach out to me. And I'll be happy to respond. Thank you and have a good day.

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Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of Piramal Pharma Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

## Call: Aug 2023

Piramal Pharma Limited

CIN: U24297MH2020PLC338592

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7th August , 2023

BSE Limited

P.J. Towers, Dalal Street, Fort,

Mumbai - 400 001

BSE scrip code: 543635

National Stock Exchange of India Limited

Exchange Plaza, Bandra- Kurla Complex,

Bandra (East), Mumbai – 400 051

NSE symbol: PPLPHARMA

Sub: SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015  
(‘Listing Regulations’) - Transcript of Conference Call with Investors/Analysts

Dear Sir / Madam,

In continuation to our letter dated 28

th July, 2023 and pursuant to Regulation 30 read with

Para A Part A of Schedule III of the Listing Regulations, please find enclosed the transcript of the Conference Call held on 4

th August, 2023 on discussion of the Q1 FY2024 Results of

the Company. The transcript of the said conference call is also hosted on the website of the Company at

<https://www.piramal.com/investor/piramal-pharma-limited/financial-reports/investor-calls/>

Kindly take the above on record.

Thanking you, Yours truly,

For Piramal Pharma Limited

Tanya Sanish

Company Secretary

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“Piramal Pharma Limited's Q1FY'24 Earnings  
Conference Call ”

August 04, 2023

M

ANAGEMENT : MS. NANDINI PIRAMAL – CHAIRPERSON , PIRAMAL  
PHARMA LIMITED .

MR. PETER DEYOUNG – CHIEF EXECUTIVE OFFICER ,  
GLOBAL PHARMA , PIRAMAL PHARMA LIMITED .

MR. VIVEK VALSARAJ – CHIEF FINANCIAL OFFICER ,  
PIRAMAL PHARMA LIMITED .

MR. GAGAN BORANA – INVESTOR RELATIONS ,  
PIRAMAL PHARMA LIMITED .

Piramal Pharma Limited

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Moderator : Ladies and gentlemen, good day and welcome to Piramal Pharma Limited 's Q1 FY'24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Gagan Borana from Piramal Pharma Limited. Thank you and over to you, sir.

Gagan Borana: Good morning, everyone , I welcome you all to our Post Results Earnings Conference Call to discuss our Q 1 FY'24 Results. Our Results Material has been uploaded on stock exchanges and you would like to download and refer to them during our discussion.

On the call today we have with us, Ms. Nandini Piramal – Chairperson, Piramal Pharma Limited ; Mr. Peter DeYoung – CEO of Global Pharma; and Mr. Vivek Valsaraj – CFO of a Company.

Before I proceed with the call, I would like to update everyone that currently we are in the middle of our rights issue for raising capital not exceeding Rs. 1,050 crore. Given this event, we would have to abide by the statutory guidelines as issued by the regulator in regard to our disclosure and external communications. According , we would not be able to share any forward-looking statements nor disclose any further details on the proposed fundraise other than what is share in the LOF during the deal window period. Therefore, I would request everyone on this call to restrict today 's discussion to Q1 FY'24 performance.

Since last evening post declaring our quarterly results, we have received several investor queries and in alignment with the restrictions we have drafted our response to these queries and will share these responses first and later open up the floor for any other questions that you may have. With that I would like to hand over to Ms. Nandini Piramal to share her thoughts.

Nandini Piramal : Good day, everyone and thank you for joining us on our post results Q1 FY'24 Earnings Call.

Starting with the update on the rights issue we have filed the Letter of Offer with SEBI and have also finalized the issue details. The rights issue price has been fixed at Rs. 81 with an entitlement ratio of five shares to every 46 held, the record date was 2

nd August .

Quarter's Performance

During the quarter we have registered a year -on-year revenue growth of 18% delivering revenues of Rs. 1,749 crore. Our CDMO business was aided by continued order flow momentum and Piramal Pharma Limited  
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strong execution grew by 17% during the first quarter of the financial year. We are also seeing healthy demand for our recently expanded facilities offering differentiated capabilities. Further we witnessed YoY improvement in demand in our generic API business.

Our complex hospital generics grew by 22% YoY during the quarter primarily driven by robust demand in sevoflurane and contributions from new product launches in the injectible segments.

Our Indian consumer healthcare business has registered YoY growth of 13% driven by power brands and new product launches.

Our EBITDA during the first quarter stood at Rs. 171 crore with an EBITDA margin of 10% compared to 6% in the same quarter last year. The healthy improvement in our EBITDA margin

was on account of strong revenue growth along with cost optimization matches. Also please note our first quarter FY'23 EBITDA had a one -time inventory margin impact of Rs. 68 crore.

Our net debt at the end of Quarter 1 FY'24 is about Rs. 4,700 crore compared to Rs. 4,800 in the last quarter. We repaid some debt in the last quarter.

Historically our H2 has been better than H1 both in terms of revenue and profitability. We

are

working to leverage a good start to the financial year in continuing this momentum to deliver a healthy performance for the rest of the year.

We continue to maintain our high -quality track record of zero OAI's as we successfully closed the USFDA inspection at the Pithampur facility with zero observations. During the quarter we also received an EIR for our Sellersville facility thereby successfully closing inspection.

In the last nine months, five of our facilities have undergone the USFDA inspection and we have successfully closed all of them. Apart from the USFDA inspection, our facilities also underwent regulatory inspections from other global agencies along with audits from our customers which we cleared successfully.

On the ESG front as well maintain progress with the development of our decarbonization plant in accordance with the 1.5 -degree trajectory as suggested by SBTi (Science Based Targets). We are now committed to SBTi and the UN Global Compact. We also adopted a Global Human Development Policy Code of Conduct and Ethics to strengthen our governance.

During FY'23 we had zero fatalities and also improved the gender diversity. We will soon be releasing our sustainability report, in which we will be sharing further details of our ESG initiatives undertaken in FY'23.

#### Business Specific Highlights

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Moving to business specific highlights, the CDMO. In our CDMO business we witnessed good momentum and order inflows in Quarter 1 FY'24. These incremental orders are a healthy mix of development work involving differentiated capabilities and commercial manufacturing of unpatented molecules. We are seeing encouraging demands for expanded capabilities that went live towards the end of FY'23. We are expanding our capacity expansion for antibody-drug conjugate at the Grangemouth facility which should open in the H2 of this year. And that will help strengthen our position in the ADC market.

Our generic API business which had soft demand in FY'23, is also seeing a pickup over year-on-year in demand. We continue to work towards cost optimizations, strategizing procurement and implementing operational expense initiative to mitigate inflationary pressures and to improve our profitability.

#### Complex Hospital Business

Moving to the complex hospital business. Our inhaled anesthesia portfolio continues delivering a health performance, mainly led by strong demand for sevoflurane. Our capacity expansion for inhalation anesthesia is on track.

Our intrathecal portfolio in the U.S. continues to command a leading market share. Our brand Gablofen continues to be the #1 ranking: Baclofen pre-filled syringe and vial brand in the U.S. with a market share of 77%.

Also, in the injectable pain segment our brands Fentanyl is a #1 ranking brand in its representative markets of Japan, South Africa and Indonesia.

While we focus to further strengthen our positioning in our existing portfolio, we are also building a pipeline of over 27 injectable products in different stages of development. We launched one new product during the quarter.

We strengthened our CHG management team by appointing Jeffrey Hampton as President and Chief Operating Officer for the CHG business. Jeff has previously worked with Accord Healthcare Inc. and Apotex Inc.

#### Indian Consumer Healthcare Business:

Moving to our Indian Consumer Healthcare business. Our business delivered a YoY growth of 13% in Quarter 1 aided by growth in power brands and new product launches. Our power brands grew 15% during the quarter and contributed 43% to total healthcare sales.

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We launched 11 new products and three new SKUs during the quarter. We continue to invest in marketing and promotional activities to build strong brands in the market. We have a good reach in general trade and are strengthening

up our presence in alternate channels of distributions

including e-commerce, modern trades and having our own D2C platform Wellify.in.

To summarize I would like to say we had a positive start in the new financial year with healthy revenue growth and improvement in our EBITDA margins. Our CDMO business is witnessing continued order inflows especially for differentiated offering and innovation related work. Our inhalation anesthesia portfolio is also seeing a healthy demand. Further our Indian Consumer Healthcare business is delivering good growth driven by the power brands.

We continued to maintain our best-in-class quality track record and are taking multiple initiatives in the area of ESG. We believe in the growth potential of all our businesses and are accordingly executing in our strategic priorities. Further we are raising capital through rights issues, for which the Letter of Offer has been filed. Our promoters have agreed to subscribe to the extent of 100% of the equity shares offered in the issue, reaffirming their confidence in the underlying strength of our business.

With this I would like to hand over the call to Vivek, our CFO, who will respond to the queries we have received since last evening. Post that we will open the floor for any additional questions that you might have.

Vivek Valsaraj: Good day everyone and thank you to those who shared questions. We will take those first before opening up the floor for the other questions.

Few questions on the CDMO business, reasons for the growth in the CDMO business. The Company witnessed a significant pick up in order bookings in Q4 FY'23 which continued in Quarter 1 FY'24 as well. Healthy demand for innovation related work and differentiated



offerings. And we have been seeing a year -on-year pickup in demand for the generic API business and an encouraging response for the expanded capacities that went live last fiscal. A related question was, is the order book back to normalcy? We have seen a good pickup in the order book in the month of March which has continued in Quarter 1 as well. Our recently opened expansions have witnessed good customer demand.

How is the Phase -3 pipeline looking? We have about 35 plus product in our development pipeline which are in Phase -3. The commercialization by our customers would lead to some important commercial manufacturing contracts for us in the future. We continue to support our customers to advance their development work and are also looking to add more customers. Some of our recent commercial manufacturing opportunities for on -patent molecules is already in public domain.

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Moving on to CHG, there was a question on what are the reasons, primary reasons for growth in this business? The growth was primarily driven by healthy demand for our inhalation anesthesia portfolio and improvement in supplies from our CMO for our injectable pain management products.

There was a question on the quantum of CAPEX spend in FY'24, Quarter 1? The CAPEX was Rs. 147 crore.

There were questions on why there is a lower other income in Quarter 1 FY24 versus Quarter 1 of FY'23? The previous year Quarter 1 has higher FX gains consequent to major currency movements, when U.S. dollar strengthened and that led to a significant FOREX gain. Compared to that in the current quarter we had relatively stable currencies leading to a lower FOREX gain. Excluding this, EBITDA on a comparable basis the June quarter has grown by 55%.

There was a question on reasons for increase in interest cost and what will be the scenario post the rights issue? The increase in interest cost versus the June quarter is due to a combination of both increase in average borrowings to support planned CAPEX and operations and general increase in interest rates, versus the March quarter it is primarily the effect of interest rates.

We will be using

a large part of our proceeds for our Rs. 1,050 crore rights issue to reduce the existing levels of debt. This will reduce interest cost going forward. We also expect to complete our rights issue this month, which will help lower our interest cost thereafter.

There was also a question on, please explain the movement in debt levels. So, our net debt has actually reduced by about Rs. 100 crore versus the March quarter. And currently our net debt stands at about Rs. 4,700 crore. As mentioned earlier, a major portion of the rights issue will be utilized for reduction of debt and further we will continue to make judicious choice in our CAPEX spends to control debt, also aided by an improved financial performance.

Rationale for the rights pricing, it has been our endeavour to keep the pricing fair to enable participation by all shareholders. The pricing has also been decided keeping in mind, the regulatory requirements and the general precedence basis guidance by our lead managers to the issue. A detailed FAQ that clarifies several questions on the rights issue proceeds and the modalities will be uploaded on our website this weekend, please do refer to the same.

There was a question, is the Company looking to do any acquisitions after the rights issue? Currently our focus would be more to execute planned CAPEX and ongoing capacities and capabilities at various sites which are witnessing high demand. Our focus will be to execute and commercialize these investments. So, those were some of the questions that we received up front and we can now open the floor for any other questions.

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Moderator : Thank you very much. Ladies and gentlemen, we will now begin the question -and-answer session. The first question is from the line of Pramod Dangi from Unifi Investment. Please go ahead.

Pramod Dangi : So, like two questions, one is, while your margins have expanded and especially if I remove the other income from last year's first quarter, the EBITDA margin have expanded very good. But the other expenditure also went up by 15%, so any particular reason about the other expenditure?

Vivek Valsaraj : So, Pramod if you look at the total increase in other expenses versus the June quarter, the increase is 15% which includes impact of FOREX movement as well that's about 4%, so excluding that the increase is 11% which is commensurate with an 18% increase in the total top -line between the two periods.

Pramod Dangi : So, last year we had the FOREX gain, this time we had a FOREX loss?]

Vivek Valsaraj : We don't have a loss; we just have a small FOREX gain compared to last year.

Pramod Dangi : And if you can here guide on the profitability, as we are highlighting that we are on the path of

profitability, with a 10% EBITDA margin our depreciation is equivalent to that amount. And then we have the finance cost. So, where we are looking to gain that profitability, is it from the revenue side or is it some cost control, if you can give some highlight on that?

Vivek Valsaraj : Pramod if you have historically tracked our financials our H2 tends to be higher than H1. And therefore, you will see a significant jump in H2 versus H1 both in terms of revenue and profitability. And the primary driver for improvement in margins is the scale at which the business operates, thereafter in H2. So, you will see higher revenues and therefore the benefit of better fixed cost leverage leading to an improvement in margins.

Pramod Dangi : And what will be our capacity utilization as of today if I look at the CDMO and anesthesia business?

Vivek Valsaraj : Pramod, giving one capacity utilization figure across 17 different sites is complex and probably not practical. But what we have done is we have invested in capacities where we have very high demand. So, our API facilities overseas whether it's a high potent API or whether it's t

he

antibody drug conjugates where we are currently investing are the ones where we were short on capacity. Formulations in general, we tend to have reasonably good capacity.

Moderator : Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

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Tushar Manudhane : within CDMO segment just would like to understand how much is the API sales or API contribution?

Vivek Valsaraj : Typically, in our CDMO business and I am referring to a full year sale, our formulations in API is like 55%, 45% ; 55% being API and 45% being formulations.

Tushar Manudhane : And does that change meaningfully on a quarterly basis?

Vivek Valsaraj : Quarterly it would vary depending upon the lumpiness in SKUs but not vary materially.

Tushar Manudhane : And on the CAPEX side largely more or less capacity expansion is done, and we need like as you highlighted in the opening remarks that the commercial benefit is to accrue so the overall CAPEX, how much it would be for FY'24?

Vivek Valsaraj : So, are you referring to an annual CAPEX, see currently we can't make a forward-looking statement on the total CAPEX, Tushar, please bear with us because we are in the deal window period. But as we have said that we are making a judicious CAPEX spent investing on those which we have kind of planned in those areas where demand is high.

Tushar Manudhane : But generally speaking, depreciation, at least maintenance CAPEX, which is equivalent to depreciation, can that be taken as a broad indication?

Vivek Valsaraj : No maintenance CAPEX is normally lower than depreciation.

Moderator : Thank you. The next question is from the line of Ranvir Singh from Nuvama. Please go ahead.

Ranvir Singh: Two, three things, we have been saying that first half is normally lower so that I wanted to understand the cycle, why first half is normally lower than the second half especially in CDMO ? And secondly, not forward-looking but earlier announced CAPEX of that \$157 million, so that the CAPEX has already been spent or part of it remains ?

Vivek Valsaraj : So, firstly if you look at, and your question is on why the skew is more towards H2, there are actually a variety of factors for that which includes the overall cycle time from the receipt of the order till the time it is delivered. It also depends upon the customer's own preference of starting the year and for them the year typically starts in January where they have more orders placed out in January on new budget versus reducing the inventories that they carry when they are in the December quarter.

So, this is a mix of various things, but typically what happens it's the longer cycle time that kind of, by the time you get orders and by the time you execute and by the time you invoice, it gets pushed over towards the second quarter, the second half of the year.

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Second question was on the 157 million of CAPEX that we announced. So, while a part of that has already been done and some of them have gone live, some part of that is still under execution right now.

Ranvir Singh: That part would be spent in '24 or that will stretched further?

Vivek Valsaraj : Independent .

Ranvir Singh: So, can you give me any number there?

Vivek Valsaraj : So, in FY'23 we had a CAPEX of about 118 million versus the total 157.

Ranvir Singh: That Hemmo Pharmaceuticals which we acquired last year, so whether that our revenue is currently that portion of revenue coming from Hemmo Pharmaceuticals?

Vivek Valsaraj : So, Hemmo Pharmaceuticals is a smaller part of the total business. And the integration has been

done and yes, the current revenues do include a part of Hemmo Pharmaceutical, but remember it was also the re part of the previous year as well, so the numbers are com parable to the extent of this

acquisition, and it is contributing . In fact, you may have also heard in the prior call that we did complete a major expansion , to expand the capacities by about 40% to 50% and that has also gone li ve currently.

Ranvir Singh: So, currently at what capacity utilization it would be, just I wanted to understand that what max potential we can expect from this entity?

Vivek Valsaraj : As we said we had just expanded the capacity by about 40% to 50% so that's the capacity available currently.

Ranvir Singh: And in CDMO, the order book last quarter itself you said that we see uptick in order book. But can you give some indication of what size of order book, what kind of order book we have in hand to be executable this year or next year?

Vivek Valsaraj : Ranvir, currently we are in the deal window period, and we can't make specific disclosures on numbers which are not part of the Letter of Offer so please bear with us.

Moderator : Thank you. The next question is from the line of Vinod Jain from WF Advisors. Please go ahead.

Vinod Jain : My question relates to interest cost. While there is sales growth and even some margin expansions this has been almost entirely negated by an increase in interest cost. There is no slide to explain this phenomena, but apparently this must be resultant of high inventory and debtors - . Please convey what is being done to erase this phenomena and reverse it?

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Vivek Valsaraj : First Vinod, I think your question was on the increase in interest cost, am I c orrect?

Vinod Jain : Right.

Vivek Valsaraj : So, as we explained earlier the primary reason for increase in interest cost was an increase in our average borrowings and if you are comparing versus the June quarter, the average borrowings did increase, and thi s was primarily to fund some of our CAPEX requirements and some of the working capital requirements during the last fiscal year.

There was also an increase in the average rate of interest as you have been seeing the Fed, the RBI did increase rates over a p eriod of time and the effect of that also came into the P&L leading to an overall increase in interest cost. Having said that, as you aware the primary purpose of our rights issue is to pare down that debt and once the rights issue process is completed at the end of this month these proceeds will be utilized towards reducing the debt. So, that will be one of the factors which will help reduce the overall interest cost. And we also clarified that our overall investments in CAPEX and OPEX is being aligned with the overall fiscal performance thereby helping to maintain a certain level of debt which will help reduce the overall cost of interest.

Vinod Jain : The only thing is the interest cost s have almost double d, I mean the explanation given would it justify the increase by almost double digit or is there also an element of increase in debtors and inventory?

Vivek Valsaraj : So, while there is some increase in working capital and that is primarily because of an incr eased inventory which we are carrying for strategic reasons. The explanation given with respect to the overall movement in debt and interest rates does explain it. And post right s issue you will start seeing from Quarter 3 onwards reduction, a meaningful r eduction in the overall interest cost. And overall debtors have not increase d, they are actually reduced or in terms of days are in line with what it has historically been.

Moderator : Thank you. The next question is from the line of Shubham Shukla from Voyager Capital. Please go ahead.

Shubham Shukla : I had two questions, one around the inventory provision we had created in Quarter 3, so any update on those \$4 million inventory from the Biotech Company which we had created?

Vivek Valsaraj : So, Shubham the provision was not with respect to inventory, but it was with respect to a receivable from a

Biotech Company and the process is ongoing to try and recover the money as of date .

Shubham Shukla : And do we still hold those inventor ies with us?

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Vivek Valsaraj : Yes.

Shubham Shukla : And second question, mostly on the debt side which is currently Rs. 4,700 like you said. And I can recall from our previous con- calls we wanted to bring it down to the level of 2x to our debt to EBITDA and I u nderstand as we are under the process of Rs. 1,050 crore rights issue. So, any guidance or anything around this when can we expect this 2x debt to EBITDA level?

Vivek Valsaraj : Shubham, I don't recall us making a specific guidance of our debt levels being at two times the EBITDA , but having said that once the rights issue proceeds is done you will see that the overall debt to EBITDA ratio will meaningfully improve . And as our overall fiscal performance improves, over a period of the next couple of quarters and thereafter this ratio will also start showing an improvement. But I can't make a specific guidance, please bear with us as I said we are in a deal window period right now.

Shubham Shukla : Just on the percentage increase in additional average borrowing this quarter you have done, compared to previous quarter and year -on-year?

Vivek Valsaraj : No so our gross debt has actually reduced, it has actually reduced by about Rs. 195 crore during the quarter.

Shubham Shukla : No like you said the interest cost has gone up year -on-year basis like its doubled and the reason is, additional borrowings on your average re borrowing needed for like working capital and other stuffs?

Vivek Valsaraj : So, Shubham are you comparing versus the June quarter.

Shubham Shukla : Yes, on quarter -on-quarter and like year -on-year basically.

Vivek Valsaraj : So, it's gone up about 200 basis points versus the June quarter and about 90 basis points versus the March quarter. This is at the time when the interest rates had started picking but as you are aware in many of the geographies there has been some stability , but of course you will have to wait and see how that pans out.

Shubham Shukla : No, my question is what's the average , like you said that we have taken newly average borrowing like this quarter, the reason for interest cost up is you have taken more additional average borrowings and there is an increase in interest cost, right interest rate. So, like I am trying to understand the percentage increase in the average borrowing this quarter?

Vivek Valsaraj : So, the average increase in our borrowings versus the June quarter is about Rs. 1,300 crore higher versus March quarter there is no increase in borrowing.

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Moderator : Thank you. The next question is from the line of Kunal Khundania from DSP Asset Managers. Please go ahead.

Vivek Ramakrishnan : Just one clarification on the interest cost, is there a component of foreign currency debt which is, where the rates have gone up even more steep that is hurting you? And if you could give us a breakup of foreign currency versus the INR debts that will be useful?

Vivek Valsaraj : About 60% of our debt actually resides outside of India and that's foreign currency, but managed locally, paid locally. And yes, we have seen an increase, so the increase that I referred to also pertains to increase in the overall rates in the foreign currency debt as well.

Moderator : Thank you. The next question is from the line of Harsha from Dimensional Securities. Please go ahead.

Harsha : My question pertains to our gross block, in FY'23 we have gross block of nearly Rs. 9,500 crore against which we did revenue of around Rs. 7,000 crore odd . So, just want to understand excluding the additional capacity the expansion in which we are taking, which we are going to do going forward excluding that what is the revenue, what is potential

from the existing gross

block, because at 0.8, I believe our asset turnover are extremely low, so just wanted to understand from existing capacity what is the kind of revenue which we can do.

Vivek Valsaraj : So, just to clarify firstly Shubham I think the overall gross block as you are aware comprises of both the tangible assets as well as intangible assets. The intangible assets include two components, one is the component of the total brands that we acquired and of course these get amortized over a predefined life and it also includes the component of goodwill. If you had to break up our total gross block, half of it comes from tangible and half of it comes from intangible assets. So, that's the total breakup so you need to kind of look at this total fixed assets when you actually look at the intangible assets primarily are brands pertaining to the complex hospital generic and the consumer products business.

Overall, in terms of what the future revenue from these assets will be again would become a forward -looking statement so I would avoid going in that direction. But I think this should help , probably respond to your question.

Harsha : What is the policy regarding amortization of the intangible assets currently?

Vivek Valsaraj : So, it depends on the brand, each of the brands is assessed for its useful life and it could vary from maybe 10 years, 20 years, 5 years depending upon what's the total estimated useful life of that particular brand.

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Harsha : And one thing I am worried about is , as you mentioned that half of the assets in our book are

intangible assets, but at the end of the day it is the money which we have paid out of our bank, whether we have acquired a business or a brand. So, with all these assets sitting in our balance sheet and given that we are operating at 0.7 or 0.8 turnover, what will be the journey towards higher ROE because these numbers at the end of the day will continue to pull your ROE downwards. So, just wanted to get an idea on that.

Vivek Valsaraj : So, let me just first explain this principally to you and then thereafter of course clarify the question. So, essentially if you look at it and look at what we have done in the last couple of years, 1) We acquired a lot of brands and 2) We did a lot of CAPEX. Brands primarily in the products business and CAPEX in the CDMO space; post which there was this impact of COVID because of which our overall business did take an impact and we were not able to realize revenues to the full potential.

As we move ahead, we will be sweating these assets and brands more, which will help improve the overall ratios. So, the denominator as it stands today is on a higher side which is not necessarily seen in the full potential of revenues that comes from these assets which is why you will have to kind of look at this over a period of time to see the overall improvements in the asset turnover ratio.

Harsha : Alright so without delving into numbers I would believe that on the existing basis of revenue we can still do higher revenues compared to what we have done --?

Vivek Valsaraj : Correct.

Moderator : Thank you. The next question is from the line of Aditya Grover, an individual investor. Please go ahead.

Aditya Grover: My question is regarding the CHG business. In from the sevoflurane last year, we did around Rs. 1,000 crore that means basically we are doing 50% of CHG business from this one particular product. So, I want to understand what is the market price here and can we grow rapidly here?

Vivek Valsaraj : Sevoflurane so if you look at the overall market size of inhalation anesthesia as per IQVIA data, the global size is about \$1 billion of which sevoflurane is about 80% so if we ask you, \$800 million is a global market size for sevoflurane. And in terms of trend, sevoflurane is growing faster than

the other inhalation anesthesia product, so this is all what we can say on the market size of sevoflurane. Currently in terms of demand which you are seeing for sevoflurane, I can say at least we are seeing demand much higher than what we can supply. So, as we said in our call and our presentation as well our focus is to expand our capacity so that we can meet the growing demand.

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Aditya Grover : And coming to our CDMO innovative business, when we say we have the order book of \$62 million so that is executable for one year or for two years how is this order book structured?

Vivek Valsaraj : So, order book typically can be some of it is executable within the year, some of them could also spill over to the years ahead Aditya.

Nandini Piramal : But the \$62 million is our integrated order so these are orders that will cover more than one site. Our total order book is much larger but given we are in the deal window; we can't actually disclose the size.

Aditya Grover: And our CHG consumer products business is EBITDA positive or still we are running net -to-net there?

Nandini Piramal : No, it's EBITDA positive.

Aditya Grover: And the last question on the scientist part I have, when we are running a discovery or development business what is the number of scientists we have there?

Nandini Piramal : I think we have about 650 scientists across.

Aditya Grover: So, my question is, if we want to scale this business, so if we see the large players right in the CRO or discovery business, they have large like 1000s or 3000 plus scientists, so when we want to scale this business employees is a strength here. So, how are we planning to build here?

Because if we want to enter the value chain like go more share of innovative business then how are we looking this, because with 600 scientist I think it is a quite less number when you compare with bigger peers here.

Peter DeYoung : So, I would answer this question and the largest part of our growth in the innovator business would be in the clinical development and on patent commercial segment which will be slightly later than you would say in the CRO FTE model which is in the discovery segment. And in that model, it's much more about being able to help our clients with the tech transfer, scale up and eventual registration validation and commercial registration of their molecules. So, on that business it's a little bit of a different business model than the CRO business model that you described which we also participate in, but from a materiality standpoint most of our revenue profitability in growth is coming from the on-patent development and commercial support and less from the CRO discovery which is FTE based as you described. We see more barriers to entry and more dependable elements in this business because switching cost we think are higher.

Aditya Grover: And coming to the generic pharma we do a CDMO generic pharma what are things, because generally there is always a pricing pressure here, right and you said in the commentary that you are seeing good traction and good pickup in the CDMO space, and you have larger chunk in the Piramal Pharma Limited  
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generic side. So, can you give some light what is happening here like in the demand side, how it is picking up? And how do you see that this year gone by?

Peter DeYoung: So, first as an overall trend I think we have shared in our Invest or materials that we have been doing a long-term pivot and increased mixed innovator business which I just described in the answer to your earlier question. So, we do see and that's becoming an increasing share of our business going forward. That being said we do still see meaningful potential out of our API generic business. And over the last year, we did a lot of work to build additional customers into our portfolio and know

ing how that works if you want to hunt for a new customer with an existing API, they have to take validation batches, they have to update their filing. And so, the uptick we are seeing this year is largely due to the work done in the prior year in terms of onboarding new customers its now materializing into some amount of incremental volumes. And we think that is the primary driver behind the increases the efforts of done new customized position from the existing portfolio in the past let's say 12 to 18 months.

Moderator: Thank you. The next question is from the line of Nirali Shah from Ashika Group. Please go ahead.

Nirali Shah: My one question is that in terms of CDMO business, can you please throw some light on the late phase molecules in the clinic and the potential timeline on commercialization. If I can recall you had 34 molecules in Phase-III earlier, so can you give some update on that?

Nandini Piramal: I think we have 35 plus molecules now in Phase -III, I think those will commercialize over the next two to three years.

Nirali Shah: So, is there any commercialization that we see this year?

Peter DeYoung: It's hard to make forward-looking comments. I think to whatever extent our clients has put information into the public domain you can locate that to what they have communicated, it's difficult in the deal period and also with our confidentiality agreements to disclose it ourselves.

So, you can find a couple in the net, but we are not really in the position to share.

Moderator: Thank you. The next question is from the line of Bharat Gupta from Fair Value Capital. Please go ahead.

Bharat Gupta: I have just one question with respect to the CDMO business. So, in the last previous calls we have seen that there has been some sort of a delay with respect to the funding which was there from the ins titutions out there. So, has there been any structural change because frankly speaking the interest rates are on higher side and there are liquidity issues out there. Despite it we are seeing a good amount of order inflows which are coming in place. So, has there been any kind Piramal Pharma Limited

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of a turnaround which we have observed out there in the developed markets which are leading out to good amount of order inflows.

Peter DeYoung: I would say that the order inflow increase that we saw from our clients in the fourth quarter that ended last year and the first quarter that just ended now a large amount of that has been with customers that had already committed to work with us at our sites. And while they had delayed certain instances of ordering due to financial limitations ultimately their products were in proceeding, and they did have the money and they did then place the orders. And so that I agree affected us unfortunately through much of last year, but at some point, when these products are succeeding in the clinic and in the marketplace, they do have to make the reorders and they reached those points, and a lot of that growth was in that area.

I would say that the second point is we are seeing a continuation of new customer additions but at a modest pace, not at a dramatic pace. And that is continuing to happen, and we are seeing that, but I think all customers are being careful on prioritization of what they spend and where. And so, I think we are seeing the benefits of a lot of our work to stay close to our key customers and make sure we are focusing on key customers that have good data and good financing and that started to play out in Q4 and Q1.

Bharat Gupta: Just a question further on the Indian Consumer Business, so previously we have been able to maintain like advertisement and promotion spending and ratio of near about 18% to 20% of sales. So, are we keeping on track like we are maintaining it, or we are focusing more on the profitability side?

Nandini Piramal: I think we are doing bot

h, we are trying to and as the scale grows the percentage of advertising in a way almost follows right. And that kind of goes into EBITDA, that's how we are managing to do, to have EBITDA positive and I think that's what we want to continue doing.  
Moderator : Thank you. The next question is from the line of Dhara Patwa from SMIFS Limited. Please go ahead.

Dhara Patwa: I just had one question, Pfizer's plant in U.S. is hit by tornado and there was lot of restocking for the hospitals injectables. So, are we gaining anything on that front since we also have a lot of hospital injectable basket in our portfolio?

Peter DeYoung : So, we have been obviously, its tragedy that affected that plant in that location and we are very heartened to hear that no one was hurt. And we have actually been in touch with the different market participants, and this is our understanding that while the warehouse was hit, there is not viewed to be a major shortage in the market in general. And the number of products that would be solely sourced there was considered a few. We have a limited portfolio that would overlap with that and to the extent that were to materialize we are poised to take advantage, but based  
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on whatever we can tell from the FDA shortage interactions for the marketplace we are not seeing for the products that we can provide a dramatic change there.

Moderator : Thank you. The next question is from the line of Harsh Bhatia from Bandhan Mutual Fund. Please go ahead.

Harsh Bhatia : Just two or three quick clarifications in terms of the foreign debt aspect, you are saying 60% to 70% of that is outside of India, but gets serviced within India that's what I got in the earlier comments. Is that the case that you are servicing the debt in INR so basically the INR depreciation -- rates hike is sort of a double-edged sword for the Company as a whole. I am just trying to have clear thoughts over here.

Vivek Valsaraj : So, Harsh, the debt is based outside India, and it's serviced from outside India it is not serviced from India it is serviced locally from the geographies where the debt was taken.

Harsh Bhatia : As a broader thought process if we were to think about the antibody drug conjugate market as a whole. So, whatever our internal thinking is thought process is, and whatever we are getting a feedback is that the number of players or the supply capacities are very limited in the western markets as of now, I think so Piramal, Wuxi, Lonza these are the very handful of players in the ADC market as of today. But the demand sort of continues to outgrow the supply. So, what is the thought process in that market, how are we seeing the overall environment for the ADC market?

Nandini Piramal : I think our understanding also reflects this as you said that's why we are actually putting in the big expansion into our Grangemouth facility which will open in the second half.

Harsh Bhatia : And can you throw some light on this new CHG product that we have launched during the quarter, I mean I am not asking on the pipeline per se but the new product we had just launched in the first quarter, in the CHG business?

Peter DeYoung : It's modest contribution to revenue, we mentioned it because we want to indicate when our pipelines moves and it is the modest contributor to revenue in the region and it's progressing, but I would say the majority of the revenue growth is coming from the innovation in the period that we just reported. We continue to have other elements in our pipeline which we are progressing, and we are expecting to contribute in future quarters. We can't give forward-looking comments for all of the reasons we mentioned earlier, but it's on the period that just ended while the launch was nice, it was near the end of the quarter, and it was market size is smaller compared to inhalation.

Harsh Bhatia : But

it tends to be under the inhalation portfolio as a whole?

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Nandini Piramal : This was the injectable.

Vivek Valsaraj : Injectable pharmaceutical, so in the U.S.

Moderator : Thank you. The next question is from the line of Vivek Gupta, an individual investor. Please go ahead.

Vivek Gupta : There are a couple of questions from my side. So, I have seen that management is bit aggressive to grow the top-line. But there is no focus on growing the bottom-line. That is the first question.

And I also see that management is saying that will pay the debt post this rights issue subscribed, but this is just mere 25%, less than 25% of the outstanding debt. So, what are the plans to be debt free and what are the plans to pay down debt for the remaining amount? Just seeing the bottom-line I think being an investor I am not at all happy with the kind of performance the Company has been posting. So, that is another question I want an answer to.

Vivek Valsaraj : So, Vivek, firstly your points with respect to focus on top-line versus bottom-line, I think our intent is very clear that we want to grow top-line as well as grow bottom-line as we have always

maintained. If you look at the performance of this quarter and if you look at the real intrinsic performance on a comparable basis our bottom -line has improved and our operating margins have also improved.

The overall debt position as we have stated will reduce in the first instance by rights issued , but thereafter our focus will be to kind of reduce the debt as we keep improving our overall financial performance. It's also important to acknowledge that the overall debt did go up during the period when we were doing certain investments for meeting our objectives of expanding capacities and capabilities in those areas where there was demand. Unfortunately, at that point in time the business did also see an operating performance impact due to the pandemic and the overall geopolitical conflict that arose thereafter. But having said that we continued our investments , because we believed that there was an opportunity, and we did not want to miss the bus when the opportunity came in. And that's the reason the overall debt was at a higher level. Now we are paying down the debt in the first instance and as performance improves, you will see that our overall debt to EBITDA ratio will be within permissible or acceptable limits.

Vivek Gupta : So, what is the target management has set for themselves to be debt free, there should be some target, right?

Vivek Valsaraj : As we said please bear with us, currently we can't make that disclosure which is forward -looking and not part of the Letter of Offer.

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Vivek Gupta : The next question is, I see that it's just less than one year with the demerger from Piramal Enterprises , I see management has come up with the rights issue in the first year of the listing itself. So, why didn't the management opt the route of preferential issue and we just keep on bloating the equity?

Vivek Valsaraj : So, the overall decision with respect to the entire method or the tool to be adopted for raising was discussed and deliberated at the board. And we felt that the most judicious way to do this considering the overall time the turnaround and the fact that we could allow a fair participation to all shareholders , we thought rights issue was the best way to go forward.

Vivek Gupta : So, why not the preferential routes, sorry I didn't get that part?

Vivek Valsaraj : So, from an overall timeline standpoint it wouldn't have matched with what our overall requirements were. So, this was the best suited in terms of timelines.

Vivek Gupta : The next question is, I see that there are lot of other expenses which have been rising on quarter -to-quarter basis . So, I see there are marketing cost

s which have been mentioned and there is a big umbrella which you have quoted down in the balance sheet and the results stating that these are other expenses. So, why can't and being investor when I read the results, why can't I get a segregation of the extra expenses which you are saying. And why we have been so frugal in the marketing as we are not growing the bottom -line at all . Why can't we reduce our expenses there?

Vivek Valsaraj : So, if you are referring to the overall promotion and marketing expenses then as we have stated that we have been doing a significant spend in the media for our consumer product business. We have in fact been doing aggressive spend there so that we could boost top line , the results of which has been seen over the last couple of years. With respect to your request for breakup of information, if you are referring to the March '23 Annual Report then all the details with respect to other expenses and breakup is available in the schedules there. But if you have any specific question, please feel free to reach out to Gagan and we will be happy to respond to that.

Vivek Gupta : Actually, I have tried reaching out to Piramal a lot of times , but eventually there is no communication which has been done , so let me try it again. But being an investor, I think there is nothing which the management is doing as of now for the investors. The rights issue ratio as well as the pricing is something which is not in favor.

And I would request management to seriously think about growing the bottom-line instead of top line . And this is such a pain rather than -- planning to be debt free, because I think for quarter -to-quarter basis we will be getting on to con-calls and we will be stating that H1 is bad and H2 is good, but eventually the same story will unfold for coming quarters as well. So, that's it from my side.

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Moderator : Thank you. Ladies and gentlemen that was the last question for today. I would now like to hand the conference back to the management for their closing comments.

Vivek Valsaraj : Thank you everyone. We hope that we were able to answer most of your questions. In case if you have any follow -up questions or any clarifications that you would need, please feel free to reach out to me and I would be happy to respond. Thank you once again and have a good day and the weekend ahead .



Moderator : Thank you. On behalf of Piramal Pharma Limited, that concludes this conference. Thank you all for joining, you may now disconnect your lines.

# Call: Oct 2023

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"Piramal Pharma Limited Q 2 FY '24 Earnings  
Conference Call "

October 30, 2023

MANAGEMENT : MS. NANDINI PIRAMAL – CHAIRPERSON , PIRAMAL  
PHARMA LIMITED  
MR. PETER DEYOUNG – CHIEF EXECUTIVE OFFICER ,  
GLOBAL PHARMA , PIRAMAL PHARMA LIMITED  
MR. VIVEK VALSARAJ – CHIEF FINANCIAL OFFICER ,  
PIRAMAL PHARMA LIMITED  
MR. GAGAN BORANA – INVESTOR RELATIONS ,  
PIRAMAL PHARMA LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to P iramal Pharma Limited Q2 FY'24 Earnings  
Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an  
opportunity for you to ask questions after the presentation concludes. Should you need assistance  
during th is conference call, please signal an operator by pressing '\*' then '0' on your touchtone  
phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gagan Borana from Piramal Pharma. Thank you and over  
to you, sir .

Gagan Borana : Thank you, Neerav. Good morning, everyone . I welcome you all to our Post-Results Earnings  
Conference Call to discuss our Q2 FY '24 Results . Our Results Material s have been uploaded  
on our website and you may like to download and refer to them during our discussion .

The discussion today may include some forward -looking statements, and these must be viewed  
in conjunction with the risk that our business faces .

On the call today , we have with us Ms. Nandini Piramal – Chairperson, Piramal Pharma Limited;  
Mr. Peter DeYoung – CEO of Global Pharma; and Mr. Vivek Valsaraj – CFO of our Company.

With that , I would like to hand over the call to Ms. Nandini Piramal to share her initial thoughts.

Nandini Piramal: Good day everyone and thank you for joining us today for our Post-Results Q2 and H1 FY '24  
Earnings Call .

## QUARTER'S PERFORMANCE:

We have delivered a healthy performance in the First Half of the Financial Year with a 14%  
revenue growth accompanied by over 300 basis points improvement in EBITDA margin .

It is also satisfying to note that this performance has been broad -based with our CDMO business  
returning to a mid-teen growth and the CH G business and India Consumer business maintaining  
their steady growth .

Healthy revenue growth along with our cost optimization initiatives are helping us deliver better  
profit margins as a large part of our costs are in the CDMO business is fixed in nature .

Historically , our H2 has been better than H1 both in terms OF Revenue and profitability , and we  
expect the same trend to continue with a strong H2 , more specifically Q4. We expect a high -teen  
Y-o-Y revenue growth and material improvement in EBITDA margins in H2 versus last year's  
H2 and deliver a robust performance for the financial year.

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During the quarter, we also successfully completed our rights issue with 128% subscription. A significant part of the proceeds from this right issue have already been utilized to pay down debt. As a result, our net debt is now down to Rs. 3,823 crores, which is a reduction of Rs. 958 crores compared to March 2023. Going forward, we will be working towards a further reduction in our net debt through our internal accruals.

**ON THE ESG FRONT:**

We released our sustainability report for FY '23, which details our progress on integrating sustainability in our operations. Sustainability for us is more than just being compliant with regulatory norms and standards. We are working diligently to minimize our resource consumption, conserve biodiversity, provide a safe workplace for all employees, deliver quality products and services, promote diversity and inclusion in our workforce, and enhance the quality of life in the communities around us.

We have taken a target to reduce our greenhouse gas emissions by 42% by FY '30 compared to FY '22, which is in accordance with the 1.5-degree trajectory suggested by SBTi. We have also taken targets in other areas such as waste management, water stewardship, gender diversity, health and safety, automation, and digitization, and customer satisfaction on which we are progressing well.

During FY '23, we increased the share

of renewable energy in our operations, saved fresh water by promoting recycling and reuse, planted more trees across our manufacturing sites to conserve biodiversity. We increased women participation in our workforce, had zero fatalities, and ensured a best-in-class quality record with 36 successful regulatory inspections and over 100 customer audits.

**BUSINESS SPECIFIC HIGHLIGHTS :**

**CDMO BUSINESS:**

In our CDMO business, we witnessed good momentum and order inflows in quarter 2 FY '24 as well. The development and more specifically, new commercial orders received in H1 FY '24 are higher by over 40% compared to orders received in H1 FY '23. The order inflows over the last three quarters have helped improve the revenue visibility growth for FY '24.

Further, the recent order inflows have a higher quotient of innovation related work with a good proportion of commercial orders for on-patent molecules. Our CDMO revenues from innovation-related work have grown at 17% CAGR in the last four years and now account for about 45% of our CDMO revenues compared to 35% in FY '19.

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Similarly, our CDMO revenues from differentiated offerings like ADC, peptides, high potent API, sterile injectables and development of on-patent API have grown at 19% CAGR between FY '21 to FY '23.

**GENERIC API BUSINESS:**

Our generic API business, which has a soft demand in FY '23, is also seeing a year-on-year pickup in demand. Given the pickup in the CDMO business, we have also seen an improvement in EBITDA margin driven by revenue growth, favorable revenue mix, normalization of raw material costs, and cost optimization initiatives.

We are also pleased to note that we earned our first revenue milestone of a newly expanded Grangemouth facility in quarter 2 FY '24. Post the expansion, we now have five suites compared to three earlier. The expansion strengthens our presence in the antibody drug conjugate market.

**REGULATORY COMPLIANCE :**

In terms of regulatory compliance, five of our CDMO facilities, which contribute to about half our CDMO revenues, have successfully completed US FDA inspections in the last 12 months.

**COMPLEX HOSPITAL GENERICS BUSINESS :**

Moving on to our complex hospital generics business, our inhaled anesthesia portfolio continues to deliver healthy performance, mainly led by strong demand for Sevoflurane. We maintain our leading position in the US Sevoflurane market with a market share of about 44% compared to 30% about 3 years back.

We are also progressing well on our capacity expansion plans for inhalation anesthesia to meet global demands. We are setting up a manufacturing line for Sevoflurane in our Digwal plant to cater to the growing demands of emerging markets. We are also expanding our Dahej plant to increase our key starting material capacities and to have a higher degree of vertical integration. During the quarter, our inhalation anesthesia manufacturing facility at Bethlehem underwent an US FDA inspection. We received two observations, both related to system improvements and none to data Integrity. We are currently addressing these observations and look forward to closing them at the earliest to ensure full compliance with the US FDA, the GMP standards.

#### INTRATHECAL SEGMENT:

In intrathecal Segment, we continue to command a leading market share in the US. Our brand Gablofen continues to be the number one ranking, Baclofen prefilled syringe and vial brand in the U.S. with a market share of 7.6%

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#### INJECTABLE PAIN MANAGEMENT SEGMENT:

In the injectable pain management segment, our brand Fentanyl is the number one ranking brand in its representative markets of Japan, South Africa and Indonesia.

While we focus on further strengthening our

positioning in our existing product portfolio, we are also building a pipeline of 28 injectable products which are in different stages of development. The addressable market size of these products is about \$2 billion.

#### INDIA CONSUMER HEALTHCARE BUSINESS:

Our ICH business delivered a year-on-year growth of 13% in the H1 FY '24 aided by growth in our power brands and new product launches.

We continue to invest in media and trade spends to drive growth in our power brands.

Promotional spends during H1 FY '24 was 14% of our India Consumer Healthcare revenue. Our power brand grew 14% during Quarter 2 FY '24 and contributed 42% of our total consumer healthcare sales.

Our key brands such as Littles and Lacto Calamine grew at about 24% and 19% respectively in quarter 2 FY 2024.

We have also increased the pace of new product introduction in the recent years. Over the last three years, we have launched 100 plus new products in the market with a healthy success rate. During Quarter 2 FY '24 also, we launched seven new products and two new SKUs. New products launched in the last 24 months contribute to about 16% of our consumer business.

Our sales and our e-commerce platforms are growing well. We now have a presence across 20 e-commerce platforms and our own direct-to-consumer website Wellify.in, which is seeing an encouraging response. During the quarter, our e-commerce sales grew at about 34% year-on-year and contributed 16% of ICH revenue.

#### TO SUMMARIZE:

I would like to say that we have delivered a healthy performance in the first half of the financial year with broad base revenue growth and Y-o-Y with margin expansion. We expect to better this in the second half of the financial year. Historically, our H2 has been better than H1, both in terms of revenue and profitability. We expect a similar trend to play out this financial year as well.

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Our CDMO business has returned to mid-teen revenue growth on the back of continued order inflows, especially for a differentiated offering and innovation-related work. Our inhaled anesthesia portfolio is also seeing a healthy demand.

Further, our India Consumer Healthcare business is delivering a good growth driven by our power brands. We continue to maintain our best-in-class quality track record and are taking multiple initiatives in the area of ESG. We hope to continue our momentum in H2 FY '24 and end the financial year on a strong note.

With this, I would like to open the floor for the Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aditya from AJ Investments. Please go ahead.

Aditya Javar: Ma'am, I have a few questions. One is related to margins for this quarter, right. We have done 14% margin, but if I see it is mainly coming from the changing inventory. So, is it kind of one-off or is it sustainable? That is my first question.

And the second question is related to how much I have seen that you have mentioned the innovative pipeline is picking up. So, for this, what is our target to achieve in innovative CDMO?

And the third question is, if I see Complex Hospital Generics, there is a drop on quarter-on-quarter. So, are we losing the momentum here or are we still good to grow 15% to 20% on Complex Hospital Generics? These are my three questions.

Vivek Valsaraj: So, with respect to the margins, there are actually three components to it. One of them, as you pointed out, is related to the inventory. So, you will see that the other expenses line is actually higher in terms of growth and the corresponding credit for that resides in the inventory that has no impact on the overall EBITDA margin.

The second is last year we had higher than normal

provisions for inventory in one of our businesses .

And the third is there is also the benefit of various cost optimization and operational excellence initiatives , which are helping the overall operating margins , and the gross margin in particular . So, all the three are actually driving the overall margin enhancement .

Nandini Piramal: And is it sustainable ?

Vivek Valsaraj: And a large part of this , of course , is sustainable . Only to the extent of inventory , this will get reversed off in quarter 3 and quarter 4 as we sell more , but the others are all sustainable . Moving on to your next question on Complex Hospital Generic s, actually , if you look at it , you should

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look more at the H1 growth . There is a bit of lumpiness in the sales last year , especially between quarter 1 and quarter 2 , but on a H1 basis the growth is 13% , which is reasonably a good growth for the business .

Nandini Piramal: And in terms of balance between innovation work and kind of generic work , I think we do see that that trend picking up over the next few years , and we would like to continue to see that . I don't think we have a particular target in mind , but we believe that the innovation work and specialized work will help promote healthier margins going forward .

Aditya Javar: So, the current quarter margins , of 14%, it is sustainable , and for the second half, what are the expected margins ?

Nandini Piramal: I think we have expected , we will see revenue growth in the high teens going forward , and we will see our EBITDA margin actually improve considerably as we get operating leverage .

Historically , our H2 revenues and EBITDA margins have been obviously much healthier than H1, and we expect to see that same trend continue .

Aditya Javar: So, what would be the margins ? Ball park figure? It will be 16 % to 18% or more than that ?

Vivek Valsaraj: So, Aditya, we are not calling out a margin . I think you will be able to make that guess . As we mentioned that we will have high teens growth in H2 in revenue and that will lead to operational leverage , and yes , definitely margins will be better than what they are in H1.

Aditya Javar: So, basically , the revenue guidance is 15 % to 18% whole year and margins would be up 15%, correct ?

Vivek Valsaraj: So, we are not calling out specific number on the margin . We still say that it is going to be high teen growth , and accordingly , the margins will improve materially Y-o-Y in H2.

Moderator: Thank you. Next question is from the line of Vivek from DSP Mutual Fund . Please go ahead.

Vivek Ramakrishnan: My question was on the overall environment . Last year the narrative seemed to be more around biotech companies facing trouble and slowdown in the CDMO business , but this year there has been a sharp bounce back . So, could you tell us about the nature of the customers ? Are they better funded for bigger customers or how is the industry moving ? That's my only question .

Nandini Piramal: So, I think , last year we did have a tough year . I will say that the biotech funding crunch I think still is kind of part of the macro environment . I think what we have seen is that some of our biotech customers were bought by big pharma , and we in a way rebalanced a bit to big pharma . So, overall , I think , if we look at it , we have a healthy mix of customers between biotech and big pharma, and so I think we are doing reasonably well.

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And lastly , I think there is funding still if you have proven clinical work . So, especially phase 2, phase 3 things that are in the pipeline are getting funded , and so we expect to see that continue .

Peter DeYoung: I would just add one line , which is that we have seen , we continue to see growth

in both emerging

bio pharma and large pharma , but we have seen a little bit more growth in the recent period from large pharma for the reasons Nandini mentioned , but we are still obviously targeting both segments .

Moderator: Thank you. Next question is from the line of Ranvir Singh from Nuvama. Please go ahead.

Ranvir Singh: A few clarities . On CDMO side, can you give the split between innovation related revenues and generic API related revenues ? That is one . And secondly , if you could give the revenue from the JV during this quarter ?

Nandini Piramal: Our innovation related work is about 45% in FY '23 for the entire business . That would include development work , on-patent commercial work , as well as on-patent formulation and discovery work . Our generic business is both formulations and API . Some of it is made directly to order for customers as well as some is owned by us . But I think that balance while we haven't released FY '24 numbers , right now it would be approximately the same .

Vivek Valsaraj: And Ranvir, on your question on the JV revenues , let me just clarify that the JV revenues are actually not part of the financials per se . What we have is a one-line pickup of the profit after tax which comes as associate income . So, the overall revenues do not include revenue from the

JV, in case that was the confusion .

Moderator: We move on to the next participant . Next question is from the line of Yasser Lakdawala from M3. Please go ahead.

Yasser Lakdawala : My first question is could you possibly outline a debt reduction road map for the next , say, three to five years ? We have obviously post the rights issue , we have done we have reduced the leverage . What would be our sort of long -term road map regarding debt reduction ?

Vivek Valsaraj: So, from where we stand today , as a first step , our aim will be to bring the debt down to less than three , and as we keep growing EBITDA further , we will use the incremental cash flows to keep paring down debt . So, one step at a time , the first step is we are currently higher than three , and our aim will be to try and bring it down to less than three , and then start looking at incremental cash flows to pare down debt thereafter .

Yasser Lakdawala : And regarding the cash flows , I think we generated almost , like, I think 500 crores of operating cash flows this first half . What would be the quantum of CAPEX we see ourselves sort of undertaking over the next two to three years based on the order inflows you are getting from some innovative customers our CAPEX requirements in the complex injectables ? How do you

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see sort of our cash flow being deployed there versus we get a better understanding of what can be used for debt reduction etc., right ? So, if you could help us there ?

Vivek Valsaraj: So, Yasir and let me talk about FY '24 to begin with . So, in the first half , we spent about 40 million , and in the second half the CAPEX is likely to be anywhere between 50 to 55 million for this particular financial year. Going forward , we will come back with a more specific guidance maybe towards the end of the fiscal as we take stock of what are the requirements from customers for the next fiscal and come back with something later, but for now this is where we are heading for.

Yasser Lakdawala : That would be fantastic . Just a broad level question . You mentioned the bio pharma buyouts of our emerging biotech customers . So, I wanted to sort of understand how does the pipeline work lower to you ? Like, does that transaction , M&A transaction enable you to tap into their other assets as well or can you m ind them for other lin es of business as well , like, if you could just give us a qualitative insight on the conversations that happen at that

level and give us a better understanding of how this plays out?

Peter DeYoung: It's a great question . I would say the first thing that typically would happen when one of these transactions were to occur is that the acquiring company would look to understand the supply chain that they acquired through the transaction and if they aren't already one of our customers or if they are a cus tomer but not for that type of offering , it's a great opportunity to introduce them to what we have to offer . And so there maybe not be an immediate benefit from , let's say , cross selling opportunities , but in almost all instances it provides a window to i ntroduce another side of ourselves , and we have seen that to be beneficial in most cases where we can either introduce or reintroduce ourselves to a much larger customer . So, we generally view these events as positive events for us.

Yasser Lakdawala : Relating to the peptide side sort of CAPEX that we have done at our Hemmo facility this entire space is sort of seeing a lot of interest , especially when it comes to GLP-1s, GIPs, where are we in sort of on our journey of supporting potential innovative sort of molecules there ? Are we seeing any traction on that side ? Are we providing any sort of base level sort of support ? If you could give us some qualitative understanding there as well ? Because from our understanding of space , I think GLP s have like 20 dru ggable targets in the human body and it becomes a very exciting area for incremental sort of research dollars . So, if you could help us understand that that would be great .

Peter DeYoung: But say from our background this capability we currently have at that location is really the peptides and not on the nucleotides . That being said , within the peptide area , when we acquired , it was predominantly a generic play . We have invested significantly in the people , the processes and the facility to allow us to be more suited towards what we would call the services segment , which would be the on -patent area , and we have seen some very recent favorable traction with customers as we look to add that additional offering along with our new capabilities .

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And so, we would be seeing the mix from the on -patent and the services area in the area of peptides become an increasing contributor and more important to that location as we go ahead .

So, we find this to be a more rapid grower , higher margin and a higher ROCE addition to our portfolio , and as the services mix increases , we think that could only become better .

Yasser Lakdawala : One final question on the India Consumer business . How is our sort of profitability trending in

that business ? And if you could just sort of highlight like our medium outlook on getting that towards company level margins maybe in the next , say, three to five years ?

Nandini Piramal: So, I think as we reach our kind of thousand crore target , we expect to see steadily improving profitability year-on-year. So, right now , we would be in single digit , but you would kind of it's not a hockey stick . It would be incrementally growing every year .

Yasser Lakdawala : And really , really glad to see the business turn around and deliver to its potential and congratulations once again .

Moderator: Thank you. Next question is from the line of Sanjaya Satapathy from Ampersand . Please go ahead.

Sanjaya Satapathy: So, my question is that on your deleveraging plan, which you have highlighted , is it going to be predominantly internal accrual or you have some kind of asset monetization possibilities available with you?

Vivek Valsaraj: So, at this stage , it's primarily going to be internal accruals, not really looking for any asset monetization . As you know, our EBITDA takes growth , we will have more

free cash flows to

look at deleveraging the balance sheet further .

Sanjaya Satapathy: And sir, I understand that while you are facing capacity constraint on certain part of your business , there are other part where the utilization is much lower . Can you just highlight which one are those and how those segments which are lagging behind will also recover going forward ?

Vivek Valsaraj: So, if you look at it , and we have explained this broadly to say that we have more capacity in our formulations facilities versus our API facilities , and we have done capacity investments in those API facilities where we have had those challenges and where we thought we had the highest potential for growth and where there was a market demand . So, that's where we have done our investments .

In formulations , we will see some steady increase in the capacity utilization as the years go by , but predominantly , I think our investments have been put in the direction of APIs where the demand has been higher and where there was a need for putting in investments .

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Moderator: Thank you. Next question is from the line of Harsh Shah from Dimensional Securities . Please go ahead.

Harsh Shah : My question is more on the macro scale . If I do a very back of the envelop calculation between our India business and overseas business , overseas business I would gather is mainly complex generics and the CDMO part of it , so our asset churn is pretty low on the overseas side, maybe around .5, .6x. So, just wanted to understand , and the ROE is I would guess it would be in the negative territory . So, just wanted to understand what are the levers for us to really wrap up the overseas business ? So, if you look at a mid-teen kind of ROE or ROCE for this business , the overseas part , just trying to understand what is the road map and what are the levers that the company has ?

Vivek Valsaraj: So, Harsh , if you are looking at the first half , then I think it may not be very representative of the asset turns, because as we mentioned , it's H2 which brings in substantial portion of the revenues for the business , and more specifically for the overseas sites . So, the situation will change as you look at the full -year numbers . That is one.

Secondly , a lot of investments that we made were done recently . For example , the one we did at Riverview or the one which is going on at Grangemouth or the one we did at Canada , so all of them have become part of the denominator where revenues are just starting to come in . And obviously , as the revenues increase , that will also help improve the asset turns.

So, I think, and also if you look at some of the recent acquisitions that we did were also overseas .

So, the denominator is higher to that extent more specifically overseas , leading to a slightly lower overturn , and as the revenues improve , this should start showing the difference .

Harsh Shah : Actually , I was referring to FY '23 entire year 's number where the asset turnover is .5, .6. So, just wanted to understand what kind of asset sweating or turnover we can expect going ahead ? I mean , can we see this move to maybe 1.2 , 1.3 kind of number ?

Vivek Valsaraj: Yes. So, if you are looking at FY '23, firstly FY '23 may not be a very representative year because we have had an impact on our sales as we have mentioned during the calls in that year . And secondly , yes, we will be looking at asset turns which go anywhere between one-and-a-half, two, and even two -and-a-half in some of the sites . That could be the range depending upon the site that we are talking about .

Moderator: Thank you. Next question is from the line of Alok Dalal from Jefferies India . Please go ahead.

Alok Dalal: So, first question on the sales guidance for the second half . Can you

rank in terms of growth

which could be the fastest and which could be the slowest in terms of , say, CDMO , complex hospitals , or OTC ?

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Vivek Valsaraj: So, if you look at it in terms of the sheer absolute value, because CDMO happens to be the largest part, nearly 60% of our revenue comes from CDMO, that's where the largest value driver will be. In terms of the overall percentage, I think more or less all the three businesses would be fairly similar in close range in terms of overall growth.

Alok Dalal: And as far as cost control measures are concerned, I understand at the same time last year, you initiated an exercise to control costs. So, has that already started playing out in margins or should we expect more such cost control measures boosting the overall profitability?

Vivek Valsaraj: So, the initiatives were taken last year as you rightly mention, and yes, they have started showing results, and a lot of it will actually come in H2 as well, because when we sell more, they will start reflecting in the P&L. So, yes, the impact of that you will see going forward as well.

Alok Dalal: And Vivek, one last point on free cash flow generation. So, you mentioned CAPEX, about operating cash flow. Is there room to cut down working capital? Can working capital release give you an extra free cash flow which can be used to pay down debt?

Vivek Valsaraj: So, Alok, that's certainly an area which can. In the current instance one, of course, is given the lumpiness in the sales that we have, we do end up carrying higher inventories higher than normal, and of course, we are also carrying certain strategic inventories to take advantage of the prices.

So, if you look at the overall working capital cycle, the current at which we are operating is slightly higher and elevated. So, yes, there will be room for it, and it's an area that we will be looking at.

Moderator: Thank you. Next question is from the line of Tushar Manudhane from Motilal Oswal. Please go ahead.

Tushar Manudhane: So, just on the interest cost now that with the reduction in debt, how much do you consider as the interest?

Vivek Valsaraj: See, there are two parts to it to answer your question. Firstly, the overall interest cost for this particular quarter, if you look at it, we got just one month of benefit of the rights issue because the process closed end of August. So, going forward, we will see some full benefit of reduction to the extent of the debt that we have reduced.

Having said that, the interest rates continue to be high. They are in the range of between 8% to 9%. So, overall, we are seeing anywhere between 11 to 12 million dollars of interest cost in a quarter at this point in time, and of course, we are looking at what we can do to further optimize this. As performance improves, we will be able to probably refinance some of them at lower rates, and those are things we are looking at.

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Tushar Manudhane: And just coming back to the asset turn, given the kind of CAPEX which we continue and given the free cash flow maybe post and if I even include the interest cost, will the internal accrual be sufficient to do that kind of CAPEX?

Vivek Valsaraj: So, yes, in terms of meeting the CAPEX requirements, yes. If your question is about debt reduction, it will happen over a period of time. So, it's not going to be a dramatic reduction, but as the cash flows improve, we keep looking at how we can pare down debt.

Tushar Manudhane: And lastly, now that there is a PBT as well, so how much tax rate to be considered?

Vivek Valsaraj: See, we operate in multiple jurisdictions, right. There is India. There is the entire North American part. There is UK. There

are several countries in Europe. The highest tax rate is in the range of about 25.17 which is there, and that's what it is. Having said that, the ETR might slightly change because some of the overseas facilities have not yet turned around and are negative. So, ETR might be slightly higher, but on average the tax rate is 25.

Tushar Manudhane: And just one more to squeeze in. As I could see quarter-over-quarter CDMO sales has been better, and I assume that is what is driving the gross margin from 64% to 66%, given that second half will further have higher...

Just on this, as quarter-over-quarter CDMO sales have been higher, I assume that is what is driving the gross margin from 64% to 66% for the quarter. And given that second half will be further higher on the CDMO sales, so how to think about the gross margins?

Vivek Valsaraj: So, as we responded on the first question, this quarter may not be fully representative because we have had higher inventories and inventory overhead credit as far as gross margin is concerned. Just to reiterate, no change from an EBITDA standpoint. Going forward, gross margins in the range of about 64, 65 seems to be reasonable. That's more a normalized gross margin.

Moderator: Thank you. Next question is from the line of Omkar Kamtekar from Bonanza Portfolio. Please go ahead.



Omkar Kamtekar : I just wanted to have , so this is part of the asset turns. Can you give us a blended capacity utilization ? Is that possible ?

Nandini Piramal: So, a blended capacity utilization is actually quite difficult because we have got 17 sites and different firms. And so it just that number will be meaningless I think .

Omkar Kamtekar : And is it possible for you to give us a broad range of the EBITDA margin segment -wise CDMO , CHS and ICH? Is that possible ?

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Nandini Piramal: No, we are not doing a segment level EBITDA margin split . Right now, we are looking at overall . We operate in one segment which is pharmaceuticals . We are not getting into vertical level margin split .

Moderator: Thank you. Next question is from the line of Vinod Jain from Wells Fargo Advisors . Please go ahead.

Vinod Jain: I wish to ask on the financial side the question. You have had a situation where H1 and H2 phenomena continues over the years where H1 delivers much lower returns than H2 . Now going forward , how do we look at it ? Is this going to change, or it will continue because it affects the annual working of the company?

Nandini Piramal: I agree , it does affect the annual working . I think the challenge is, if you think about it , a lot of our customers are pharma companies that actually want to run down inventories by the end of the calendar year and then pick up inventories in the first quarter of the calendar year which ends up being our last quarter . So, I agree this is challenging , but that's kind of how the industry works . And quite often , our factories will be busy actually creating and producing in order to deliver in H1 , but that only kind of shows up , I mean , that will show up in the last quarter .

Vinod Jain: So, is there any possibility of further cost reduction in the first half? Because the first half typically shows negative results and that hurts all working out , of course .

Nandini Piramal: Yes, unfortunately , in the CDMO business , I think our costs are relatively fixed . And two is like as you noticed , our inventory is a bit high. That's because we have kind of bought the materials and are producing them in order to deliver in H2 so the kind of a factory is working so to speak in order to deliver .

Moderator: Thank you. Next question is from the line of Bharat Gupta from Fair Value Capital . Please go ahead.

Bharat Gupta: I have just one question , and that pertains

to one of the statements which was made by the chairman prior to the demerger . So, in the pharma business , the chairman highlighted that the margins is likely to be on the improving trajectory , and that remains to be near about 25% odd levels over next 4 to 5 years .

So, now with nearly one -and-a-half years passed by, so how do we see , like, are we still on the target to achieve and sustain the margins of about 25% over the next four to five years ? And what can be the growth levers likely to be there across the different segments ?

Nandini Piramal: So, I think , obviously , last year we had a tough year . So, I would say we are back on the improvement trajectory, and I think you could say mid 20s margin is something that is feasible in the mid -term.

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I think the growth levers would be increased revenue from our CAPEX that we have invested .

So, as Vivek mentioned , we have actually just opened our Grangemouth CAPEX . We got our first revenue milestone last quarter and would expect to see revenues from that going forward . Similarly , we have made growth investments in Riverview as well as Turbhe and Aurora . So, I think we should see increased revenue coming from that as well as I think we will continue to focus on cost , but we believe that operating leverage will help us.

Bharat Gupta: And particularly with respect to the product mix , currently , if I look at the CDMO space , so innovative category constitutes close to 45% of the overall top line . So, in order to the margins to sustain over 20 %-odd, so where do we see the products mix change changing over the next four years ?

Nandini Piramal: So, I think as you rightly noted , our innovator product mix is something that has been increasing over the last 3 years . We expect that to continue further . I don't think we have a particular target in mind , but I think that will also help us in creating sustainable operating margins .

Moderator: Thank you . We move on to the next participant . Next question is from the line of Sanjeev from SKD Consulting. Please go ahead.

Sanjeev Kumar Damani: Ma'am , I have two little questions . One is regarding the fact that we have added lot of orders in this quarter . So, what is the visibility of turnover from CDMO in the next quarter ? How much we are going to execute out of the total pending order ? That is one .

Secondly , now with the right issue 1,000 crore in our kitty, the next six months interest out go if you can kindly give some ballpark figure ?

Vivek Valsaraj: So, firstly , we have given guidance for H2 in terms of a high teens growth and that takes into consideration the kind of order book we have . So, it's already factored in that we have a certain visibility based on which we have given this guidance .

And secondly , in terms of interest cost, while we have used that to pare down debt , our debt volume has come down, but we are mindful of the fact that interest rates continue to remain high and based on what we hear from the macro environment , it might remain at those levels for some time. So, currently , we have said that we have about 11 to 12 million dollars of interest outflow in a quarter , and of course , we are making attempts as wha tever we can do to reduce the rates going forward .

Sanjeev Kumar Damani: Sir, can you give some figures of turnover so that we can understand the execution that is possible for the pending orders ? Sometime the orders are being given , but the execution doesn't start with the order receipt .

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Vivek Valsaraj: Correct . So, if you have looked at our historical performance , H2 has been higher , and that's based on the execution that has been done in H2 , right .

Sanjeev Kumar Damani: I understand that yo

u are not able to quantify . I mean , if you cannot quantify , then please say no about it . I meant figures to be given to me about CDMO turnover. That's all.

Vivek Valsaraj: So, as we mentioned , we are giving a broad guidance . We are not qu antifying a number .

Sanjeev Kumar Damani: No problem . There is no objection . So, one more , sir. We have 17 -18 sites all over the world . So, is there any way we can consolidate and reduce our cost of operations ? Is it likely in the near future ?

Nandini Piramal: One of the benefits of our 17 sites is that they actually almost serve different customers and have different specialt ies to some extent . And customers quite often will say , look, I want it in , for example , I want something made in North America or they say , I want something made in India . So, geographically , they may have a preference , and they also might have a preference for the kind of team and the kind of dosage form etc.

So, what we see that going forward is that as revenues increase , you will get benefit of operating leverage once the sites reach a certain scale . So, what you will see going forward is that the cost will form a smaller part of the overall .

Sanjeev Kumar Damani: And last question . Generic business , sorry, innovation and patent , are we also looking to register our own patent either process patent or any such thing ? Are we already registered and have got some patent or are we looking for that kind of growth also in future?

Nandini Piramal: No, I think at this point , we have no plans to do our own products in the new chemical entity domain .

Moderator: Thank you. Next question is from the line of Namit Arora from Indgrowth Capital . Please go ahead.

Namit Arora: My question was slightly medium -term over the next three to five years . So, you have three very interesting businesses, and all the engines foundation is in place for CDMO , CHG , and I CH. I just wanted your thoughts on in terms of capital allocation as well as management bandwidth . How do you think about these three businesses over the medium term given that all of them are extremely promising and all of them have a very solid foundation ?

Vivek Valsaraj: So, Namit , I think we have kind of been speaking about it . Firstly , in terms of our consumer products business , as we said , is self-funding . So, whatever the EBITDA it has generated , we have used large part of that for our promotional investments and media investments that we have done as far as this business is concerned .

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Between Complex Hospital Generics and CDMO , CDMO being the larger part , and the nature of the business is such that it is capital intensive will have a higher allocation of the overall capital outlay as it has been in the past and will continue in the future as well.

Namit Arora: And in terms of the internal organization in order to make sure that these three businesses all realize their full potential , if you could just give us a flavor of how you organize internally in terms of Senior Management to ensure that these two businesses realize their full potential ?

Nandini Piramal: So, we have Peter DeYoung who is CEO of the global pharma business . Under him, he has the Chief Operating Officer , Herve Berdou who is based in the U .S., as well as the Chief Commercial Officer Stuart Needleman who is also based in the U .S., as well as a CFO .

Similarly , in the Complex Hospital GENERICS , you have a President and I think CEO who is Jeff Hampton . I think we just recruited him. We just announced his recruitment in June . So, he

would be also based in the U.S., and you have a CFO, separate CFO as well. Similarly, in the OTC business, India Consumer Healthcare, you have a CEO and a separate CFO and sales head etc. So, I think

they are all, each of the business does have separate management, but yes, so we are involved quite closely also.

Namit Arora: My final quick question. Historically, the group has had a phenomenal track record in terms of acquisitions and building businesses inorganically as well over the last several decades. But I am just keen on your thoughts given that organically also things are going well, so are you going to keep an eye out for some interesting opportunities in any of these three businesses or is the focus right now more internal driven and organic?

Nandini Piramal: I think it's absolutely we always continue to look at acquisitions, but I think acquisitions have to earn the right to kind of be invested in almost. And so, it will depend on what the returns are. I think I would say that the first priority is for them until the end of the financial year, as Vivek said, we want to reduce our debt to EBITDA to below three. So, that's the first and current plan. And then we will also continue to look at acquisitions.

Moderator: Thank you. Next question is from the line of Amit Kadam from Canara Robeco Mutual Fund. Please go ahead.

Amit Kadam: So, my first question is that as the business recovers and it's clearly showing in the numbers, what is still a weakling in that overall business which warrants management attention? And that's point number one. It may be also like some kind of industry some breathing headwinds. Something on that also will be very helpful.

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The second question is that employee cost is a significant part of our business. It still like sequentially went up. Any ballpark maybe number in terms of like how do we build it in terms of going forward? And what should be the correct base? So, that's another point.

Nandini Piramal: See, I think, overall, as you rightly noted that the macro trend in terms of biotech funding is recovering but still not back into the boom years. So, obviously, that is an overall headwind for the entire business. While we have rebalanced our business a little bit between biotech and big pharma the biotech are still a rather important component of this business because that is where innovation has been happening over the last few years. So, I think that's something that is to be a continued watch out.

Peter DeYoung: I was going to say from my overall priorities' perspective, we would say that securing the appropriate level of forward sales commitments from our customers is obviously a critical part for the CDMO and getting a lot of management attention. We have obviously seen some positive results from that, but it's an evergreen activity that needs to be accomplished.

I would say the second thing is that we do have a small number of sites that we are focused on improving our operations in terms of OTF and right first time, and those are getting our attention. And I would say the third component for the CDMO would be on our cost program while for the convention we have seen some good results from that. Cost is another area that always does need attention and focus, and it's going to get our continued attention.

If you look at the CHG business, we did have a period where we had demand in excess of our ability to supply, particularly with our internally produced products since we have an important operations and CAPEX plan underway that should allow us to get more control over those critical products. Then obviously, there is commercial execution once that supply becomes more available.

And then the third bit would be on our pipeline. Obviously, growth will require some amount of execution on our pipeline products, and we want to do what we can to secure that, the prosecution of that, and the eventual commercializa-

tion. And obviously, cost remains common across those.

I don't know if you want to mention anything on the ...

Nandini Piramal: Employee cost.

Vivek Valsaraj: Employee cost, some bit of increase or variation over the quarters you will see. It's kind of stabilized now if you look at it and compare over the last couple of quarters, but across quarter, sequentially, you may see some movements, but they are not very material, and it depends upon the kind of recruitment to kind of ramp up production at a particular site and a little bit of variation you will see across sites.

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Amit Kadam: But still like can you be clearer like on this part and how do we see this thing? Because here I see that we had a like the number what we are in terms of 27% of our top line are now employee

cost. We used to operate at much lower. Maybe operating leverage is something which is still yet to be played out, but that's what I wanted to see.

Because from where I am trying to come is that maybe few years back, because our resources are also internationally based, 2%, 3% kind of inflation based maybe hikes would have been a case and ballpark we could have built 5%, 6% as an incremental maybe cost going in this particular, but as the overall interest rate itself globally has moved up, the expectation for salary hikes are also up.

So, just wanted to know should we consider at like 8%, 9% as an annual increase on a base what maybe on whatever we form in FY '24? Is that a way of building a few things or how the management is looking forward? Because it's a significant number to our overall things, scheme of things in bring maybe operating leveraged things to kick in.

Vivek Valsaraj: So, Amit, couple of points. If you look at the blended rate of normal inflation-linked increase between India and overseas, it will come to about 6%, 6.5%. That's what the rate normally is.

Also, if you are trying to look at employee cost as a percentage of revenues for our kind of business where there is so much of lumpiness, obviously, it throws very erratic numbers across quarters, and if you are going to base this on FY '23, that may also not be representative because of the kind of impact that we took on the business. So, overall, I think you need to look at full year number this year to be able to get some idea of what employee cost as a percentage of revenue looks like, but the increase will be more or less on an inflation-linked increase, it will be more or less linked to the 6%, 6.5%, and then if we add people, that will be on top of on currency.

Nandini Piramal: If you think about it, to open our Grangemouth expansion, we actually had to do significant recruitment in Quarter 1 and Quarter 2 in order to actually open it. So, that is part of the increase in people that you would see.

Vivek Valsaraj: Also, Amit, you may want to pay attention to the FOREX part of it. So, there is about 3.5% impact that just comes in because we translate overseas in INR, and there is FOREX impact coming in as well.

Moderator: Thank you. Next question is from the line of Chintan Shah from JM Financial. Please go ahead.

Chintan Shah: The first question is, why we understand that we need overseas manufacturing presence for CDMO segment as we intend to be closer to the partners, but for Complex Hospital Generics segment, which is more of a distribution like business, do we really need to have overseas manufacturing facilities? If can you please help me understand?

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Peter DeYoung: So, I would say that the capability was actually acquired which is how it's placed where it's at, and it has been grown organically through additional incremental CAPEX in that location, and

so that has given where the asset was when it was acquired and the capability at that asset that was there. And that is going to continue for the benefits of essentially what we call largely sunk investment, and we have had very good returns from that business and very good financial profiles. And so if you were to look at that business's financial performance, it would meet most of your target metrics.

If you listened to the earlier bit of the comments, we did describe that we are making incremental CAPEX investments at the moment in both our Digwal and our Dahej facilities to support that business, and that's where a significant amount of the incremental capital is going for capacities and capabilities for complex hospital generics going forward.

Chintan Shah: And secondly, not from a near-term perspective, but from medium to long-term, which is, once things normalize, what sort of steady-state potential in terms of ROCE does the business have, if you can just maybe give a range or number etc.?

Vivek Valsaraj: Sorry, was your question as a guidance on the ROCE?

Chintan Shah: So, more so in terms of the potential that the business has to deliver, not necessarily specific guidance that we would like to achieve. If you can just help me understand?

Vivek Valsaraj: So, this is ROCE for the entire business or ROCE only for the Complex Hospital Generics?

Chintan Shah: No, for the entire business?

Vivek Valsaraj: Overall, as our margins improve, first of all, ROCE is obviously a factor of improving the profitability. So, as margins improve and move towards the range of 24%, 25%, we will see ROCE in the high teens for the overall company.

Chintan Shah: And last question is on the CDMO side. So, do we have a target for the innovative share over the next three to five years that we are going to reach? And supplemented to that, would that mean that innovative business will be growing faster or would be growing a bit slow on the generics side?

Peter DeYoung: So, as mentioned earlier, we haven't given a specific quantified target for the innovative share, but we do expect both innovator and generic to grow. But as demonstrated in the past and based on where we are seeing the customer demand, we would expect the innovative business

to grow at a faster rate than the generics business .

Moderator: Thank you. Ladies and gentlemen , we will take that as the last question , and I will hand the conference over to Mr . Gagan s ir for closing comments .

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Gagan Borana : Thank you very much . Hope we have answered all your questions . In case you have any follow - up questions or any clarification , please feel free to reach out to me , and I will be happy to respond . Thank you and have a good day .

Moderator: Thank you very much . On behalf of Piramal Pharma Limited, that concludes this conference .

Thank you for joining us . You may now disconnect your lines . Thank you.

**Call: Jan 2024**

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## **Call: May 2024**

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**Call: Feb 2025**

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## **Call: May 2025**

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## Call: Oct 2025

"Piramal Finance Limited Q2 FY26 Earnings Conference Call"

October 17 , 2025

### MANAGEMENT :

MR. ANAND PIRAMAL – EXECUTIVE CHAIRMAN  
MR. JAIRAM SRIDHARAN – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER  
MR. RUPEN JHAVERI – GROUP PRESIDENT  
MR. JAGDEEP MALLAREDDY – CHIEF EXECUTIVE OFFICER , RETAIL LENDING  
MR. YESH NADKARNI – CHIEF EXECUTIVE OFFICER , WHOLESAL LENDING  
MR. VIKASH SINGH LA – CHIEF FINANCIAL OFFICER  
MR. RAVI SINGH – HEAD, INVESTOR RELATIONS & STRATEGY

Piramal Finance Limited  
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Moderator: Ladies and Gentlemen, Good Day and Welcome to the Q2 & H1 FY 2026 Earnings Conference Call of Piramal Finance Ltd.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" then "0" on your touchtone phone.

The results materials are available on exchanges and the company's website and you may refer to them during the discussion.

Please note that today's discussion may include certain forward -looking statements which must be viewed in conjunction with the risks and uncertainties that the company faces. These statements are based on management's current expectations and are subject to uncertainty and changes.

On the call today, we have with us Mr. Anand Piramal – Executive Chair man, Mr. Jair am Sridharan – M.D. and CEO, Mr. Rup en Jhaveri – Group President, Mr. Jagdeep Mal lareddy – CEO, Retail Lending, Mr. Yesh Nadkarni – CEO, Wholesale Lending, Mr. Vikash Sing hla – CFO and Mr. Ravi Singh – Head , Investor Relations & Strategy.

I now hand the conference over to Mr. Anand Piramal for his comments . Thank you and over to you, sir.

Anand Piramal : Good afternoon, everyone and thank you for joining us today. This is a significant moment for us , our first Earnings Call as Piramal Finance Limited following the merger of Piramal Enterprises with Piramal Finance in September.

With this transition, my father, Mr. Ajay Piramal, has moved on from his role as the Chairman of this Company and continues to guide us as the Chairman of the Piramal Group. I want to take a moment to acknowledge his remarkable journey from his beginnings in textiles in the mid -80s to founding, scaling and transforming the pharmaceutical and financial services businesses over the last 40 years . Under his stewardship, the combined market cap of our finance and pharma businesses has grown nearly 210x since 1992 versus 22x for NIFTY50 , delivering a 17% CAGR for our investors. More than the numbers, he has deeply shaped our values, culture and purpose. I want to thank him for his leadership and look forward to his continued wisdom and guidance in the future.

Today, I feel privileged to lead Piramal Finance at what I believe is a pivotal moment. We are amongst India's fastest growing upper layer NBFCs with a total growth book of Rs.86,000 crores. We are privileged to have served over 5 million customers, more t han the population of that of New Piramal Finance Limited

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Zealand, Singapore and Norway, and disbursed over 2.5 million life -changing loans or high -impact loans across the underserved segments in areas such as affordable housing and business loans and microfinance.

With the structured reduction of the legacy real estate book to less than 6% of our total AUM and our high -tech plus high -touch model and a strong team, we have, I believe, the foundation to deliver a balanced outcome in growth, profitability and risk over the next 3 -5 years and beyond.

We continue to invest strategically, expanding branches and embedding AI and analytics across operations with an ambition to double our AUM to more than 1.5 lakh crores in three years by FY28. Our priority in the next few years is to grow profits steadily while achieving a sustainable ROAUM

north of 3% in steady state.

With that, I will hand over to our new CEO and M.D. – Jairam and his team to share the detailed financials and outlook.

Jairam Sridharan : Thank you, Anand. Hello, everyone.

As Anand highlighted, as a company, we are introducing today a framework for value creation and long-term alignment with our shareholders. If you look at Slide # 3 in our presentation, you can see the framework clearly laid out, the framework of :

- Growth
- Profitability

tability

- Predictability

These are the three drivers of value creation for Piramal Finance in our view :

- Superior AUM growth
- Improving profitability towards our steady state targets
- Improving predictability of our risk and earnings trajectories.

To support these value drivers, we are building a future -proof AI -native company through a set of initiatives that we call Piramal.ai. You should expect to be updated on this blueprint regularly in the quarters ahead.

Piramal Finance Limited

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Growth driver:

On the growth driver, which is the first value driver, we are targeting doubling of our AUM in three years to more than Rs.1.5 lakh crores by FY28.

If you look at Page # 4, you can see that we are progressing steadily on this dimension of growth with strong tailwinds on both disbursements and AUM growth.

Profitability:

On profitability, I would point you to Slide # 5. Our aspiration is to eventually deliver a return on AUM of more than 3% as Anand mentioned with a target AUM to equity of 4. 5x to 5x. As you can see here, our trajectories on OPEX, PPOP, ROAUM and AUM -to-equity are all strong and are aligned well towards these long -term goals that we have laid out.

Predictability:

On predictability, I would refer you to Slide # 6. As you can see on the right -hand side, our consol PAT has now been steadily growing for the last seven quarters after a prior period of intense volatility. We expect this journey of steady growth and ROAUM expansion to be predictable and to deliver steady earnings and stable risk.

In September this year, we unveiled Piramal. ai, our enterprise AI strategy. You should refer to Slide #7 for progress on this strategy.

As we disclosed a month ago, we currently have about 45 scaled and live AI use cases at this moment.

As shown on the slide, we see five key impact areas -- Underwriting outcomes getting better, productivity getting better, growth staying very strong, customer experience improving and software development getting bigger, better and quicker to help us build more. In Q2 FY26, we have made strong progress on all the drivers of our value -creation framework.

Piramal Finance delivered a profit after tax of Rs.327 crores in the quarter, up 101% YOY. The negative drag of our legacy business continues to soften every quarter, resulting in our Growth business PBT of Rs.344 crores being almost the same as our consol PBT of Rs.330 crores.

In our retail business, disbursements grew very strongly by 36% year -on-year. This drove retail AUM growth, also by 36% year -on-year coincidentally. With wholesale 2.0 AUM up 43%, our Growth AUM was overall up 37% year -on-year and consol AUM was up 22% year -on-year. So, on the whole, this has been a quarter of 22% AUM growth and a 100% PAT growth.

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Cost of borrowing was an important story during the quarter and it dipped by 19 basis points on a QoQ basis and fell below 9% after a five-quarter period where it was elevated above that level.

Growth business NIM was up 10 bps Q oQ.

Asset quality was stable across retail and wholesale businesses, both in terms of delinquency as well as in terms of credit costs.

Led by the continued improvement in retail OPEX to AUM and Jagdeep will speak about this in a minute, growth business ROAUM continues to improve steadily. ROAUM was 1.7% in Q2 versus 1.5% in Q1 and 1.4% in FY25.

As shown on Slide # 13, at the end of FY25, we shared our five targets for the year on AUM, AUM mix and total consol PAT. With the first half of FY26 numbers in the bag, we are well on track to meet all these targets.

As you are aware, PFL stock is currently in blackout period after the merger of PEL with PFL and

allotment of PFL shares to PEL shareholders. We expect listing of PFL stock in early November, subject to the final regulatory approvals that we are awaiting. It typically takes 40 -45 d

ays since the

record date of the transaction. Our record date was 23rd September.

With this, I hand over the call to our CEO of Retail Business , Jagdeep Mallareddy to talk through our performance there.

He will be followed by Vikash who will discuss our wholesale business and financial performance respectively. Jagdeep ?

Jagdeep Mallareddy : Thank you, Jagdeep.

The strong start for our retail lending business in Q1 further gained pace in Q2. We had our lifetime high disbursements in Q2 FY26. At Rs.10,954 crores, disbursements were up 36% Y oY.

Our flagship mortgage business comprising affordable housing loans and LAP grew by 37% Y oY and crossed the Rs.50,000 crore s mark in AUM. Mortgages account for 56% of the total AUM of the company and 68% of retail AUM.

On a QOQ basis, the disbursement momentum accelerated in UBL and digital loan businesses, while salaried P L maintained the earlier strong momentum. AUM across our unsecured retail products were thus up by 31% Y oY.

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Moving on to our credit risk performance :

As you can see on slide number # 23, 90 -plus DPD in retail at 0.8% is within the narrow range we have maintained consistently over the last three and a half years.

Secured lending products had a stable quarter on most risk metrics.

The improvement seen for the overall unsecured businesses in Q4 FY25 has continued into Q1 and Q2 of FY26.

Trends for digital loans and microfinance improved significantly in Q2 FY26.

Unsecured business loans and used cars are the two pockets of the portfolio that need closer monitoring. Unsecured business loans risk was stable in Q2, even as it is at a slightly elevated level, similar to that seen in FY25. Used cars risk was stable quarter-on-quarter after an unusual uptick seen in Q1.

We had some favorable impact of ECL rebalancing in Q1 FY26. Adjusted for that, the credit costs were stable in Q2 versus Q1. Vikash will share more details on this in his commentary.

As shown on Slide # 20, our customer franchise grew by 23% Y oY to 5.2 million customers. We captured a significant portion of our customer originations for future cross -sale opportunities. In Q2, as unsecured disbursements picked up, we were able to keep our sourcing from cross -sell in the 25% to 30% range. We expect this number to further materially improve over the coming years.

As shown on Slide # 22, over the last 10 quarters, we have consistently reduced our retail OPEX -to-AUM ratio from 6.5% in Q4 FY23 to 3.9% in Q2 FY26. We thus met our medium -term guidance of 3.5% to 4% ahead of our expectation. We have now refreshed the retail OPEX -to-AUM target downward by 25 basis points to 3.25% to 3.75%.

As shown on the same slide, AUM yield in retail has been broadly stable at around 13.3%. The reported fee, which was impacted by the processing fee amortization in FY25, is gradually normalizing, led by stable underlying fee collection.

Overall, we remain confident about the continued steady scale -up of our multi -product retail lending business with consistent improvement in operating leverage and stable asset quality through the cycle.

With this, I hand over the call to Vikash.

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Vikash Singhla : Thank you, Jagdeep.

Since the inception of Wholesale 2.0 about three years ago, we have gradually built the book to Rs.11,295 crores today across our real estate and C MML strategies. During this period, we have disbursed Rs.20,000 crores across 330 loans. As you know, in our real estate strategy, we fund real estate projects where we have a total of 150 loans with a total AUM of Rs.8,608 crores.

CMML focuses on providing credit to mid-market companies across key sectors , and in this strategy, we have 60 loans with AUM of Rs.2,687 crores. The second quarter of FY26 was quite active for us. In Q2 FY26, our Wholesale 2.0 AUM grew by 43% year -on-year to Rs.11,

295 crores. We disbursed

Rs.2,043 crores across RE and CM ML segments. This was an increase of 11% Y oY in the origination. Origination per loan was Rs.59 crores during Q2 while disbursement amount was Rs.25 crores per loan.

The portfolio has an average ticket size of Rs.71 crores and a stable effective interest rate of 14.5% featuring a well -balanced asset duration and diversification. We continue to see tailwind across RE



and C MML segments and will grow this book in a calibrated manner through FY26. Repayments were almost 57% of disbursement during Q2 signifying better -than-expected performance of the book which continues to benefit from strong sector performance and quality partners and asset selection.

The legacy AUM are down by Rs.1,472 crores in H1 and this now stands at Rs.5,448 crores which is less than 6% of total AUM. We are on track to bring this book to below Rs.3,500 crores by the end of year as we guided initially.

Moving to our financial performance in Q2 FY26 :

We reported our consolidated net profit of Rs.327 crores with a growth of 101% Y oY over Q2 FY25 with net profit of Rs.163 crores.

Pro forma PBT for Growth business stood at Rs.344 crores , growth of 98% Y oY over PBT of Rs.173 crores in Q2 FY25. With Growth business, OPEX growth of 14% Y oY versus income growth of 36% YoY, Operating profit grew by 73% Y oY to Rs.687 crores.

In Q2 FY26, we reported growth business credit cost of 1.7% versus 1.4% in Q1 FY26 and 1.6% in FY25.

Net positive impact of ECL rebalancing in Q1 FY26 over Q2 FY26, which is 36 basis points explain this quarter -on-quarter movement in Growth business credit cost.

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With completion of PEL merger with PFL in Q2 FY26 , carry forward losses are now available at PFL at combined level. We were thus able to write back taxes which we booked over FY25 and Q1 FY26 for erstwhile PEL. In Q2 FY26, we reported a tax write -back of Rs.78 crores which includes DTA of Rs.35 crores. There were some exceptional expenses of Rs.81 crores during the quarter. This largely includes merger -related expenses of Rs.60 crores and one -off tax expense of Rs.21 crores. Our total GNPA and NNPA ratio stands at 2.6% and 1.8% respectively. Our networth stands at Rs.27,447 crores with capital adequacy at 20.7%. In Q2 FY26, our cost of borrowing reduced 19 basis point quarter -on-quarter to 8.9%. We continue to actively diversify our borrowing mix. Securitization and international borrowing shares stand at 18% while share of borrowing from mutual funds has increased , which is 13% versus 6% in March 2024.

With these remarks, I would now like to open the floor for questions. Thank you.

Moderator: We will now begin the question -and-answer session. We will take a first question from the line of Prithviraj Patil from Investec. Please go ahead.

Prithviraj Patil: Hi, so my first question is on the EIR on the portfolio wholesale 2.0. If you can just give the split between the fee and interest portion there and are we doing structured transactions like tier two developers here , because the IRR seems extremely high here.

Jairam Sridharan: No, we are not doing any structured transactions. These are pure operating loans. And so some of the old kind of structures which are back -ended or which are at Holdco level or M/s. level, etc. , none of those transactions are actually being done , these are plain vanilla loans. You can see that we are only doing Rs.2,000 crores of disbursement a quarter. So, it is not a massive number. And this level of business is available at 14%. So, it is not a problem. You do not have to chase structured transactions . Given our cost of funds, we will need to get a 14 %-ish IRR for the business to work. And hence, we are limiting our appetite to whatever we can get at that price point. And we are getting just enough to satisfy our appetite.

Prithviraj Patil: Okay. Yes. Thank you.

Thank you.

Moderator: Thank you. We will take our next question from the line of Avinash Singh from Emkay Global Financial Services. Please go ahead.

Jairam Sridharan: Hey, Avinash.

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Avinash Singh : Yes. Hi, Jairam. Good evening. My question is more on the capital side and growth plan. I mean, of course, on one hand, we are very, very, I would say less-levered for different issues and, of course, growing fast. So, if we see like, your Rs.1.5 lakh crore s kind of ambition by FY28, if again, if we see the network of Rs.27,500-odd crores, that looks kind of even for Rs.1.5 lakh crore s kind of AUM, it looks all right. But the current, of course, capital adequacy, that will have a lot of adjustments. Of course, that is putting at 21 %-odd. So, now if you were to consider that, okay, some of the capital release from legacy going away, some of the investment, you will be kind of able to monetize , so if you kind of explain how the sort of capital deployment , and of course, there will be organic profit generation , how is the journey of capital going to be in this your journey towards Rs.1.5 lakh crores eventually from which all sources will be organic profit , you say capital will get released, some more color on capital ?

Jairam Sridharan: Yes. Thank you, Avinash. So, your question contains all the right answers. That is exactly the way we are thinking about it. Your point is right. At Rs.27,500 crores as a starting point, getting to Rs.1.5 lakh crores without additional raise of capital should be possible in theory. But it does have some of

the important caveats that you mentioned, which is that we have a large investment book, larger than most NBFCs. So, we need to exit those investment books, that will release a lot of capital for lending. That is an important one for us to do. And of course, as the legacy book goes down, that can also get redeployed into our core Growth book. So, those will continue to be the important components. And as you can see now, our core profit generation engine has started firing more and more every quarter and you are seeing a steady improvement in ROAUM over the last four quarters, you will continue to see it in the future as well and all that will contribute to our capital as well. So, if we are able to get all of these things lined up, then we are probably not looking at a capital raise. Of course, certainly not this year, but likely not next year as well. But let us see. Never say never in these things. We are open to all possibilities, but it is unlikely that we will require any new capital infusion. As I have mentioned in the past, our internal threshold for evaluating the capital position more deeply is 18 %. If capital adequacy falls below that, we will internally start talking about it. I am not saying that we will immediately raise capital, but we will certainly get into the conversation on capital at 18 %. We do not want to get too close to the regulatory line. But given where we are and given all the levels that we just spoke about, including organic profit growth, I think we should be able to manage all through FY26 and FY27. But we will keep you posted on this on a regular basis. We also have some of the extra ordinary gains coming up, etc., which is baked into our profit guidance for the year. So, you know, on a full year basis, we have guided for Rs.1,300 to Rs.1,500 crores of profits, of which we have delivered Rs.600 so far in the first half. So, you should expect anywhere from Rs.700 crores to Rs.900 crores in the second half because we are reiterating that guidance. So, all that will contribute towards capital position as well. So, we feel fairly comfortable with where we are on this front.

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Avinash Singh: Okay, thanks. And one more, I mean, when I see your operating cost guidance, positively being a downward revised

to 3.25 % to 3.75 % for retail, so broadly, again, I am drawing that, okay, your 80 - 20 or 75 -25 ambition of retail -wholesale, at the aggregate level, a 3 -3.5 kind of OPEX -to-AUM is a fair assumption?

Jairam Sridharan: Yes, 3 to 3.25 I would say.

Avinash Singh: Okay, perfect. And lastly, on your Shriram investment, particularly in the general insurance side, so there are so much of media report also coming in. So, I mean, what options are open? I mean, is it a kind of a transaction with some strategic investor or even taking the company public among the options? Thanks.

Jairam Sridharan: I do not want to comment on this right now. You know all the chatter that is going on in this, all options are on the table. But we do not want to compromise our position by talking a lot about it publicly. Let it play out as it plays out.

Avinash Singh: Got it. Thanks.

Moderator: Next question is from the line of Kushagra Goel from CLSA. Please go ahead.

Jairam Sridharan: Hi, Kushagra.

Kushagra Goel: Hi. Thank you for taking my question. Majorly on the cost of funds side you have said that it is now below 9%. Would you give sort of some guidance about the medium term, where do you think this can go down to, and are you having some conversations with rating agencies, etc., to sort of bring this down?

Jairam Sridharan: Yes. So, firstly, let us talk a little bit about the decline that has happened this quarter. You have seen a 19 basis points decline in cost of borrowing this quarter. There is a little bit of optics there. I think 14 to 15 basis points is probably kind of the more realistic way of thinking about the decline because my Q1 cost of borrowing was overstated a little bit because we did a prepayment of a few loans in Q1 and prepayment penalties got applied. So, Q1 numbers are overstated. So, that is a three or four basis points is actually explained by that. So, I would say about 15 basis points have been the actual decline, right, in this quarter. But we have not seen a lot of action from banks yet. You can see that about 42% of our borrowing is from banks and bank MCLR's have not really come down that much. I expect that play to come only in Q4. My expectation is Q3, not much will change, Q3, we should remain roughly flat to Q2 on cost of borrowing, but Q4, you should see a decline, mostly led by the bank side with bank MCLR's starting to get cut by that time hopefully and it is starting to flow through

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to our numbers. So, my expectation is flat in Q3, down another, let us say, 10 basis points in Q4. That is kind of my medium -term expectation. All of this will give us a lot more benefit in the next year.

If, let us say, RBI reduces on the whole by about 120 basis points, I would guess that the impact to us will be about 70 basis points on cost of borrowing, of which we will probably pass on about 25 to 30 basis points to our customers based on the mix of variable and the rest could accrue.

Kushagra Goel: Okay. Got it. That is all.

Moderator: We will take our next question from the line of Pradyumna Ladda, an individual investor. Please go ahead.

Pradyum na Ladda: Thank you for taking my question. Ja iram, hi. Just starting on the previous question, just to follow up. Any conversations going on with the rating agencies?

Jairam Sridharan: Oh, yes. I forgot about that. Sorry, sorry. I forgot to respond to that part of the question. Ye s, yes. We are discussing with rating agencies kind of very regularly. Every quarter we are presenting our information to them. I have a call scheduled next week as well with our key rating partners. Let us see. See, the key question from rating agencies' perspective so far has been, yes, the business mix shift has checked all the boxes. Risk stability has come in. That is a check. Legacy book coming down and that is a check. And capital position being

ng strong . That is a check. Liquidity position being really strong and improving . That is a check. But the one area where we have not got a check so far is profitability and whether we can actually deliver profitability on a sustained basis. But with every passing quarter that is coming and at some point of time, I am sure the rating agencies will take a little bit of a forward -looking view and get constructive on our paper. Of course, I can not speak on their behalf. But I think with every passing quarter, our case is getting stronger. But we will continue to have discussions with the rating agencies in the hope of being able to convince them over the next few quarters.

Pradyum na Ladda: Understood. And the number of the 70 bps reduction in cost of borrowing you mentioned, that is all exclusive of any rating agency?

Jairam Sridharan: Of course , of course . That is outside of rating action. That is cyclical rather than structural. And by the way, that 70, I do not mean for that as a guidance , I'm just saying that that is my estimate , that if RBI cuts by 120 basis points, roughly 70 will come to us , that is an estimate based on historical data. But it depends on the banks what they do. It is not for me to say.

Pradyum na Ladda: Understood.

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Jairam Sridharan: Thank you.

Moderator: Thank you. Next question is from the line of Kamal from Jefferies. Please go ahead.

Jairam Sridharan: Hi Kamal.

Kamal : Hi sir. Thank you for taking my question. Sir, if you could just highlight firstly on the comments which were passed that there is still some caution in terms of unsecured business loans and used car loans. And also I was seeing that the 90 -plus has increased marginally for LAP as well. So , if you could just highlight some comments on the asset quality overall ?

Jairam Sridharan: Yes. Good question. See, I think and it is a good catch on LAP. Yes, there is something there to watch. See, the quarter has been very good for unsecured in general. So, unsecured risk has generally either stayed stable or taken a dip. So, you can see that in our PL numbers, our digital lending numbers, our micro finance numbers of course have fallen very steeply. But also unsecured business loans, which has been the flavor of the last couple of quarters. Even in unsecured business loans, you saw our delinquency fall. So, the quarter has actually been good on asset quality for most of the unsecured lending side. Things have been stable to improving. On the secured product side, it has been mostly stable. Used car, which gave us a little bit of a shock last quarter, has slightly marginally improved I would say. LAP, you are right, the delinquencies have gone up a tad during the quarter. But you should also recognize that LAP in absolute terms has been at super -duper low risk. If you look at the last three years' data here, LAP risk has been at the same levels or slightly lower than housing , whereas in LAP, we are getting almost 200 basis points higher yield. It does not make sense for LAP to remain that low risk for the higher yield that it is getting us. So, you are seeing a little bit of normalization there. And I do expect LAP's delinquency to be higher than HL. So, it is kind of reverting a little bit to that mean. Whether it is indicative of something underlying and whether there is a risk issue, it is too early to tell. But we are certainly seeing a reversion to a more average risk performance in the LAP business compared to the abnormally good environment that we have had for the last two and a half years.

Kamal: Okay. Thank you so much for that. And if I can ask one more question, in terms of our AUM expansion over the next few years, which are the products that we would be more focused on going forward? And if any new product which we are planning to add on?

Jairam Sridharan: So, you are going to continue

to see mortgages, which is HL plus LAP, continue to be the anchor part of our portfolio. But the share of mortgages is going to either remain stable or slightly go down. Right? So, that is what you should expect. We would like our unsecured lending business to go up. We have unsecured at about 17% of our overall book. We would like for that to be about 25% of Piramal Finance Limited

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overall book or about 30% of retail. The last year and a half, two years have not been conducive to increasing the share of unsecured given the risk environment. So, we have not actually increased it. It has remained stable. But in the medium term, we would like to see 25% of our overall book as

unsecured compared to the 17% today. So, that is something that you should expect to see. So, all our unsecured businesses, we will keep kind of finding ways to accelerate when the opportunity is right. In terms of new businesses, we have said this publicly before. So, we will restate the businesses that we want. Newly launched businesses that we want to scale is microfinance. And a new business that we do not yet have, but we are in the process of launching is gold. We will launch it, but we will be very slow. We are doing it organically. So, we will take it very slowly. So, as investors, you might not notice it for a while for a couple of years, because the scale is going to be really small. But as a management team, we have started work on it and we have put the team together and we got our strategy down and you will start seeing some execution in the second half of this year.

Kamal : Okay. Thank you so much for that. Just a follow up, if I could ask, what is your view on the overall gold loan portfolio? We are seeing a lot of aggression amongst all the NBFCs. Everyone has some aggressive plans to add branches over the next one to two years. So, what is your view on that portfolio as well?

Jairam Sridharan: See, gold is a little bit of a last bastion left in the lending space right now. It is a large product. Underlying product has not been monetized yet. So, the market size is still small compared to the overall potential. And the yields are still relatively attractive. And of course, cyclically, the gold is going through probably the best period in the cycle. So, it is natural that you are seeing a lot of interest. If the cycle goes down, you will probably see a lot of this interest fade away. That is okay like these things happen. But remember that for a product, we all know the size of holdings of Indian households, etc., all that data is known to everyone. The potential size of the market, the time is extremely large. And not enough people are in that market. The number of players in that market compared to, let us say, a microfinance market, where there are like 100 players chasing a 4 lakh crore opportunity, the number of players in gold is still very, very low. It is natural that you will see more competition. And it is also natural that as more competition comes in, the economics of the business will deteriorate a little bit. All those things you have to assume. And you should also take into account the fact that the business is at a cyclical high right now. And it can only get worse from here. It cannot get any better. So, whoever is getting into this business today should absolutely keep in mind that the economics next year are going to be worse than the economics this year in this business. So, we are fully aware of all these dynamics. We will conservatively and very slowly build it. And if it does not work out, it does not work out. We are not wedded to the idea. But it is an important product for our customer segment. So, it is something that we want to own.

Kamal : Okay. Thank you so much for all the answers.

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Jairam Sridharan: Thank you.

Moderator: Next question is from the line of Prithv

iraj Patil from Investec. Please go ahead.

Jairam Sridharan: Hi, Prithviraj.

Prithviraj Patil : Thanks for the opportunity. So, my first question is on the \$140 million contingent income that is supposed to be coming in this year from Piramal Imaging. I just wanted to know if there is any update on that or are we expecting that to come for the next year?

Jairam Sridharan: Yes, it will come this year. There is no update. The transaction is completed. But the way the transaction works is the consideration is due to us only in Q4. The actual exact amount calculation will happen based on calendar year '25 numbers. So, once calendar year '25 gets over, they will calculate the numbers and the exact consideration will get finalized. So, we continue to expect the consideration to come to us in Q4 of our fiscal. So, nothing has changed on that front. There is nothing new to report on that situation. The transaction completed in July of this year. So, not much has happened since then.

Prithviraj Patil: Okay. And another question on page 22 of the slide we have mentioned something that the amortization fee dropped in FY25 and FY26 compared to FY24, because there was an amortization processing fee. Just wanted clarification why we were not amortizing it earlier?

Jairam Sridharan: Yes, we were not amortizing it earlier. There are some historical reasons for that. The fee income line was so small in the earlier years that it did not seem to matter. And the auditors also did not insist on it because the amounts were too small. And for some historical reasons, it was not getting amortized. But in FY25, starting April 1, 2024, we started amortizing it. So, you saw a big dip in our fee income earning in FY25. And since then, because the back book has slowly gotten created, you have seen that fee income line slowly move up. So, that means there is no particular reason for why that date was chosen. It is just that the book had become large enough at that time and the fee income line had become large enough that it made sense to do a more standardized kind of accounting approach there.

Prithviraj Patil: Yes. A last question on the one-time expense that we have taken it mentions that there is a one-off tax expense of some Rs.60 crores of expense related to the merger. So, if you could just throw some light on the expense?

Jairam Sridharan: Vikas, you want to talk about that?

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Vikash Singhla : On merger cost, we have to pay Rs.50 crores as a stamp duty on various assets which are moving and Rs.10 crores are like professional fees. Regarding this Rs.20 crores, this pertains to that Imaging gain which we sold way back in 2018. The tax assessment has been concluded in this quarter leading a demand of Rs.21 crores.

Jairam Sridharan: I hope that explains the total Rs.81 crores.

Prithviraj Patil: Okay. Ye s. Thank you.

Jairam Sridharan: Thank you.

Moderator: Thank you. Next question is from the line of Mayank Mistry from JM Financial. Please go ahead.

Jairam Sridharan: Hi, Mayank.

Mayank Mistry: Yes. Hi, sir. Thanks for the opportunity. Sir, I had a question on the wholesale book. Mainly, in the CMML A UM by ratings that we have given on slide number 29, we see that less than 70% of the book you have is below A - rated in the CMML book. And over the last few years, we have seen that a lot of NBFCs have actually moved out of this segment completely or they are doing it very conservatively to only the A and better rated companies. So, what gives you confidence to do fresh disbursements in this book?

Jairam Sridharan: So, Mayank, the point you are making about A and below or BBB plus and below, let us say, or the entire BBB family, that is the play for a non -AAA -rated NBFC today. If you are a AAA -rated NBFC, then you can go lend to a AA -rated company or an A -company or an A -plus company. But if I am a AA-ra

ted NBFC, which is what we are, I cannot lend to an A or A plus company. There just is not enough, like the difference in cost of fund for us and for them is not large enough for us to actually lend to them. So, our game is always going to be two notches below where we are. And we are AA, so our two notches below is going to be BBB plus. So, BBB is generally going to be the area for an NBFC like us. Of course, if I am a Tata Capital or an Aditya Birla Capital or a Bajaj Housing, I might have a different play. I can actually target A -rated entities and lend to them as Piramal Finance, that is not our game. Our game is very much in BBB. We are priced for it because we are charging 14%, right? So, we are priced for it. We are doing operating loans. We are keeping ticket sizes really small. In this business, we are keeping ticket sizes at Rs.50 crores. So, ticket sizes are small. Tenors are short. It is unstructured. The deals are plain vanilla, right? And yield is strong enough. So, that is why the businesses turned out to be quite profitable in the last two to three years. Let us see how this plays out. The size might not be very big of this opportunity. So, even in the long -term future, you Piramal Finance Limited

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might never see us get beyond let us say Rs.10,000 crores. We might not be able to grow the business beyond that. But till that size, opportunity is available for this type of business.

Mayank Mistry: Okay, sir. Got it. But what would be the similar mix for the real estate book then?

Jairam Sridharan: For rating? In real estate, SPV will be made. So, there is no question of rating there. Those SPVs will not be externally rated.

Mayank Mistry: As per risk, I mean

Jairam Sridharan: See, you put the same fund at that where 14% business is possible, that is the business that we will do. And if the business is doable only at 11% or 12% at our current cost of funds, that might not work.

God willing, if we are able to get a rating upgrade, etc., we might be able to actually target slightly better risk profiles as well. But today, pure operating projects where all approvals are there, where no structuring is required and lending at the project level, not to hold co -entities, etc., in an unstructured fashion for a relatively short duration, that 's where we want to enter. And the ticket sizes need to be on average less than Rs.200 crores. Those are our constraints. Within those constraints, we still believe, let us say Rs.20,000-25,000 crore s opportunity can get created, AUM of that size can get created. We are still far away from there, but we can see in the Rs.4 lakh crore s AUM market that real estate is. We think this opportunity without something like a Rs.20,000-25,000 crore s we can create. So, we will keep working towards that outcome. In the interim, if we are able to get a rating upgrade, etc., and we are able to go to even better ra ted clients, even better, but for now, we believe our current strategy can get us to that size.

Mayank Mistry: Okay. So, nearly you want to make a spread of 5 -6% at least in this book, right?

Jairam Sridharan: Yes, exactly. Without that the math will not work out. Having said that, I also want to hasten to add that we are not also kind of going out there yield chasing. It is not like we are chasing an 18% business, which kind of let us say distressed funds or some other special funds might be tackling with highly structured transactions. We are not in that market. We are in a very narrow band of interest rate where we want operating asset loan, we do not want structured loan. So, we are not in the structured market. So, you will not see in the let us say 17-18% range where you see a lot of funds.

Mayank Mistry: Okay, sir.

Moderator: Thank you. Next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Jairam Sridharan: Hey, Abhijit.

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Abhijit Tibrewal: Thank you. Hi, sir. Good evening. So, again just some on asset quality we have already spoken about it, but just double checking with you. Today, none of the retail segments where we are present we are seeing any risks so as to say, right, I mean, risks which were there may be a quarter, two quarters back, right, they kind of continue at the same levels, but in this quarter, we have not seen any of the other retail products segment exhibit a higher risk, is that a fair understanding?

Jairam Sridharan: Correct. Yes, that is fair. So, yes, I mean, the big increase in retail product all happened in Q2 and Q3 last year. You saw a slight reduction in Q4 and things since then have been stable at that level. So, Q4, Q1, Q2 have been relatively at the same level, nothing much has happened. And that is true in delinquency, that is true in credit costs kind of across all risk metrics that has been true. I will also say that businesses like unsecured business loans or kind of MSME unsecured where risk reached a certain peak in Q3 last year, they have not come down from that peak. So, things have not gotten significantly better in MSME unsecured. It is stable, but it has not gotten better. So, I do not want us to start celebrating too quickly on this front. But yes, nothing has gotten worse this quarter. This quarter has by and large has been neutral to positive on all product categories.

Abhijit Tibrewal: Okay. And lastly, I mean, mortgages which is home loans and LAP, right, LAP in itself at an industry level probably we are seeing the kind of growth that we have never seen earlier. So, one of the other things that keeps getting discussed is, are we seeing some consolidation of unsecured loans into a secured loans which is LAP product today? And at the same time even home loans for us you will acknowledge has been very strong and while we are not seeing that at an industry level mortgages going. So, if we talk about we are not really doing prime, the means that we have in home loans, right, I will not really call them very small ticket home loans either, but they are somewhere in between, right, between prime and what we call as small ticket affordable loans, so, is this a segment which is doing particularly well and which is where we are seeing such strong growth in home loans or how would we want to explain that -

Jairam Sridharan: That is a good observation.

Abhijit Tibrewal: It is still struggling.

Jairam Sridharan: Yes, it is a very good observation. Honestly, we are also kind of trying to understand this deeper like how are we getting this kind of growth in a market when everybody else is struggling or many others are struggling. But I think the point you mentioned in your question, Abhijit, is the core part of the answer. This segment that we are in which is kind of that in-between segment, not the larger ticket prime stuff but not the very small ticket affordable housing stuff either that in-between segment that semi-urban India is doing well. If you see kind of data from CIBIL etc., as well semi-urban is where most of the growth is happening. The overall business is growing at 8% or 9% for the industry, but Piramal Finance Limited

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if you split it by semi-urban, urban and rural you see that semi-urban is where most of the growth is. As it happens Piramal is totally focused on semi-urban. That is our game. And so we are actually getting that tailwind because of the segment choice and geography choice that we have. And on top of that some of the work that we have done in using technology and AI has created what we internally think of as like super highways where kind of sales managers and kind of sales staff productivity can be really, really high because applications that come into the system are on a super highway where there are no bottlenecks kind of thing

so flow a lot more quickly, etc., So, conversions are better for us overall. So, certainly our investments in technology and AI are helping in converting a lot more of the leads and potential interest into final business.

Abhijit Tibrewal: Got it. So, just one last follow-up. When you spoke about LAP, this sub-segment, right which is micro-LAP and we have seen what is happening at the industry level especially small-ticket LAP loans may be less than 1 million, so I mean would you like to comment on what is really happening, is the risk getting better or are we in that part of a cycle where maybe it will take a few more quarters for things to start getting better? Why I ask is we spoke about UBL, we spoke about MFI risk, right, and looking stable to getting better at some point in time. Likewise I mean micro-LAP I mean are we seeing something?

Jairam Sridharan: Micro-LAP I think will get worse, it will not get better in the short term, it will get worse. See, we have a small micro-LAP business, we just have a couple of hundred crores, so we do not have much of a micro-LAP business, we just started it a year ago but I can see the signs there the situation is tough. So, I would expect that business to be under some stress for a couple quarters at least and I do not see it in the same space as where UBL is or where micro finance is which I think micro finance 100% the worst is behind, UBL you could argue that it is still at the peak not on the other side of the hill, but micro-LAP I do not think has reached the top of the hill yet, I think it will get worse before it gets better

Abhijit Tibrewal: Got it. Very useful sir. Thank you very much and I wish you and the team the very best. Festive greetings.

Jairam Sridharan: Thank you, Abhijit.

Moderator: Thank you . Ladies and gentlemen we will take that as the last question for today I would now like to hand the conference to Mr. Ja iram Sridharan for closing comments . Over to you , sir

Jairam Sridharan: Thank you very much everyone for participating in the call . I know it has been a very busy day and there are a lot of FS companies that are declaring results . We appreciate and are grateful for the time that you have taken to understand Piramal's numbers Thank you for participating , and on behalf of

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the Piramal family we would like to wish all of you a very Happy Diwali and Festive Season. Thank you very much and have a good evening .

Moderator: Thank you members of the management team . On behalf of Piramal Finance Limited that concludes this conference Thank you for joining us and you may now disconnect your lines .

**Call: Nov 2025**

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## **Call: Jan 2026**

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**Call: Apr 2026**

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## Call: Jul 2026

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Q1 FY '26 Earnings Conference Call "  
July 30, 2026

MANAGEMENT : MS. NANDINI PIRAMAL – CHAIRPERSON – PIRAMAL  
PHARMA LIMITED  
MR. PETER DEYOUNG – CHIEF EXECUTIVE OFFICER ,  
GLOBAL PHARMA – PIRAMAL PHARMA LIMITED  
MR. VIVEK VALSARAJ – CHIEF FINANCIAL OFFICER –  
PIRAMAL PHARMA LIMITED  
MR. GAGAN BORANA – HEAD OF INVESTOR  
RELATIONS AND ENTERPRISE RISK MANAGEMENT –  
PIRAMAL PHARMA LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Piramal Pharma Limited Q1 FY '27 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note this conference is being recorded. At this time, I would like to hand the conference over to Mr. Gagan, Head of Investor Relations and Enterprises Risk Management. Thank you and over to you, sir.

Gagan Borana: Thank you, Steve. Good morning, everyone. I welcome you all to our post -results earnings conference call to discuss our Q1 FY '27 results. Our results material have been uploaded on our website and you may like to download and refer them during our discussion. The discussion today may include some forward -looking statements and these must be viewed in conjunction with the risks that our business faces. On the call today, we have with us our Chairperson, Ms. Nandini Piramal; CEO Global Pharma, Mr. Peter DeYoung; and our CFO, Mr. Vivek Valsaraj. With that, I would like to hand it over to Ms. Nandini Piramal to share her thoughts.

Nandini Piramal: Good morning, everyone, and thank you for joining our Q1 FY '27 earnings call. We have started FY '27 on a strong and encouraging footing with all three businesses delivering mid -to-high teen revenue growth along with meaningful EBITDA margin expansion. During the quarter, revenue from operations grew 17% year -on-year to INR2,270 crores, while EBITDA increased 72% to INR285 crores. EBITDA margins also expanded by approximately 400 basis points to 12.5%. Our profitability improved significantly driven by all -round revenue growth, higher capacity utilization, operating leverage, pricing discipline, and continued focus on operational excellence.

Our CDMO business delivered broad -based growth across India and the overseas sites. Over the last year, we have strengthened our commercial team, deepened customer engagement, and sharpened our go -to-market approach. Combined with the continued signs of recovery in US Bio -Pharma funding, these efforts contributed to healthy RFP activity and robust order inflow during the quarter.

Our complex hospital generics business delivered a resilient performance while maintaining leadership positions across key therapies. We're seeing encouraging traction in ex-US inhalation anesthesia markets. Kenalog supplies, which remain an important growth driver for FY '27, are expected to start from Q2 FY '27.

Our consumer healthcare business delivered yet another quarter of strong mid -teen growth led by continued momentum in Power Brands and e -commerce. Expansion in distribution, disciplined brand investments, premiumization, and cost optimization initiatives supported

both growth and profitability during the quarter.

Quality and compliance continue to remain a key differentiator for us. During the quarter, our Sellersville facility in the US received an EIR from the USFDA, successfully concluding the inspection. We're also proud of our long-standing quality track record across the global

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network, having maintained a strong compliance culture and a zero OAI classification status. Moving to our business-specific performance, starting with our CDMO business. Our CDMO business delivered 19% year-on-year revenue growth during the quarter. Growth was broad-based with a healthy contribution from both India and overseas sites, supported by strong execution, improved demand conditions, and good order inflows across the network.

Over the past year, we have made significant investments in strengthening our commercial capabilities. We've expanded

our commercial team, enhanced customer engagement, and refined our commercial strategy to improve market coverage and win rates. Combined with the continued recovery in US Bio-Pharma funding over the last few quarters, these initiatives have contributed to a meaningful increase in RFP activity across most of our sites.

While customer decision-making timelines remain extended, we remain encouraged by both the quality and the breadth of RFPs entering our funnel. Importantly, a significant portion of these RFPs are directed towards our overseas sites, which have a favorable margin profile and offer meaningful scope for margin expansion as utilization levels continue to increase. Geopolitical and trade-related uncertainties are reinforcing the importance of supply chain resilience and diversification efforts across the pharmaceutical industry. Increasingly, customers are seeking reliable CDMO partners with differentiated capabilities, high quality standards, and a manufacturing footprint spanning multiple geographies. Our global network positions us well to capture these emerging opportunities. Operationally, strong execution drove growth across most of our sites.

High utilization levels, pricing discipline, and operational excellence initiatives supported profitability improvement despite ongoing inflationary pressures. We continue to strengthen our differentiated capabilities, particularly in the ADC space. During the quarter, we inaugurated a new commercial-scale payload-linker development and manufacturing site at our Riverview facility.

Equipped with advanced containment, automation, and analytical capabilities, the facility enhances our ability to support customers from development through commercial manufacturing. The expansion of sterile injectable capacity at Lexington also remains on track. Together, the Riverview and Lexington investments form part of our USD90 million expansion program and significantly strengthen our integrated ADC platform, spanning payload-linker manufacturing and sterile fill-finish capabilities.

We continue to witness encouraging customer interest in these capabilities. During the quarter, we also announced a strategic collaboration with Ajinomoto Bio-Pharma Services, combining their AJICAP site-specific conjugation technology with our ADC manufacturing expertise.

This collaboration will provide customers with a more seamless pathway from early development through commercial manufacturing while simplifying technology transfer and scale-up. In addition, we announced a manufacturing and supply agreement with Botanix to support development and commercial supply of Sofdra.

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This arrangement highlights the strength of our integrated North American network and our ability to offer customer supply continuity, operational flexibility, and potential dual-site manufacturing. Overall, improving market conditions, strengthening commercial capabilities, differentiated offerings, and strong execution position the CDMO business well for continued growth and progressive profitability improvement.

Moving on to our complex hospital generics business. Our complex hospital generics business delivered a resilient performance over the quarter with revenue growing 17% year-on-year to INR743 crores. We maintained our leadership position across key therapies, including Sevoflurane and Intrathecal Baclofen in the United States, while continuing to expand our presence in the ex-US markets.

In inhalation anesthesia, we retained our leadership position in the US Sevoflurane market with a 48% market share while witnessing encouraging traction across select ex-US markets.

We expect these markets to become an increasingly important contributor to growth over time. In intrathecal therapy, we continue to maintain our leadership position in the Baclofen market, reinforcing our strength

in differentiated hospital products.

Within injectable pain, we're making steady progress in addressing supply constraints and improving product availability. Enhanced supply should enable us to better capitalize on demand opportunities across key markets going forward. Kenalog supplies, which are an important growth driver for FY '27, are expected to start from Q2 FY '27.

We also remain focused on building a differentiated specialty portfolio through a combination of 505(b)(2) products, complex generics, branded products, in-licensing opportunities, and co-development partnerships. These initiatives are aimed at not only broadening our product portfolio but leveraging our customer relationship and worldwide supply network to support long-term growth.

Overall, the business delivered strong growth while maintaining cost discipline amidst supply-related challenges and input cost pressures. Moving to our consumer healthcare business. Our consumer healthcare business continued its strong momentum, delivering another quarter of mid-teen revenue growth.

Growth was driven by the continued strength of Power Brands, rapid expansion in e-commerce, wider distribution reach, and disciplined investments behind our brands. Power Brands grew 23% year-on-year and contributed 53% of consumer healthcare sales during the quarter, reflecting the success of our focused brand-building efforts and consumer engagement initiatives. Our e-commerce business grew 40% year-on-year and contributed 28% of sales. E-commerce remains a key strategic growth channel and an important source of long-term value creation.

During the quarter, we launched i-choose, a new master brand that brings together our women's intimate care portfolio under a unified identity. The platform addresses consumer needs across multiple life stages and represents another step in our strategy of building scale and differentiated brands. We continue to invest behind our brands and allocated

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approximately 12% of sales towards media and trade promotion during the quarter.

Our approach combines traditional and digital media channels to maximize reach, engagement, and effectiveness. Our innovation strategy remains focused on fewer, better, and bigger launches. We continue to prioritize high-potential opportunities that can scale meaningfully while also driving premiumization across the portfolio through higher-margin offerings.

In addition, judicious pricing actions and cost optimization initiatives helped mitigate raw material inflation and supported profitability despite a challenging input cost environment.

Overall, strong brand momentum, channel expansion, premiumization, and disciplined execution position the business well for sustained growth and continued EBITDA improvement.

Summarizing the performance, to conclude, we are very pleased with our strong and encouraging start to FY 27. All three businesses delivered mid-to-high teen revenue growth supported by favorable long-term industry dynamics, focused investments, and disciplined execution. Importantly, this growth translated into meaningful EBITDA expansion and improved profitability.

Our diversified portfolio, strong customer relationships, quality track record, and global manufacturing network continue to strengthen our competitive positioning. Looking ahead, we remain focused on deepening customer engagement, driving operational excellence, maintaining financial discipline, and judiciously investing behind select long-term opportunities.

We will continue strengthening our differentiated CDMO capabilities, expanding our specialty product portfolio in complex hospital generics, and investing behind priority brands and channels within the consumer healthcare space. Based on our strong start and current business momentum, we look forward to delivering sustained revenue

growth and margin

expansion during FY27 while staying agile in a fluid external environment. With that, I'd like to open the floor for questions.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Amey Chalke with JM Financial. Please go ahead.

Amey Chalke: Yes, thank you for taking my question and congrats to the management on a good set of numbers. First question I have on the CDMO business. We have delivered good numbers

during the first quarter. Typically, we have seen the trend in CDMO particularly that quarter-on-quarter growth is always there from 1Q to 4Q; we keep on seeing the gradual improvement in the number. Considering the first quarter of this year has been quite good, do you expect that trend to continue for following quarters during the year? And do you intend to upgrade your top-line guidance for the year considering we have done well during 1Q?

Vivek Valsaraj: So, Amey, thank you for the question. And yes, historically what we have seen is that our CDMO business has seen higher quantum of revenues being delivered in H2 versus H1. This

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year, we began with a more stronger opening order book, which we had referenced to during our last investor call, which is why we began on a stronger note.

Between the quarters, there may be some ups and downs depending upon how delivery patterns emerge throughout the course of the year. But on a full-year basis, we continue to, you know, stand with the original guidance that we had given at that point in time. At this stage, it's early days, Amey, and we don't want to revise any guidance. We'll come back with anything fresh maybe after the September quarter results, but we're maintaining the annual guidance at this stage.

Amey Chalke: Sure. Just one more thing on the CDMO side. We have, I think, a couple of contracts which were to get commercialized during the course of the year, like New Amsterdam, etc etc.

When exactly is it likely to start adding up in our numbers?

Peter DeYoung: Again, we discussed this from time to time on our investor calls. We don't really comment on specific contracts. We would suggest the best way to look at it, if it's a publicly traded customer, they have their own analyst reports and investor calls, and you can make your own conclusions from those because they're covered very well by very strong analysts, and I would suggest you read those materials for predictions on when they would expect to have revenue from the different offerings that they have.

Amey Chalke: Sure. Just one more last question on complex hospital generics, where our trend for the last few quarters has been muted, for at least for the last five to six quarters. This quarter has — we have delivered something like 17%, 18% kind of a growth. You mentioned in your opening remarks this is largely driven by non-US markets. So, the issue which we were facing in this segment, which was from the Chinese competition, should we assume that has been subsided and should we expect this growth trend to continue for the rest of the year?

Peter DeYoung: So, I would say that we started to take actions over the course of last year to respond to the Chinese competitive situation, and the Chinese competitive situation remains. However, our actions have started to bear fruit. And we would expect to, as Vivek mentioned, we reaffirm our guidance for the full year for the business.

I wouldn't necessarily assume that the exact percentage rate we had in Q1 will be the full-year number. I would look back at the full-year guidance we gave for the business and I would take the Q1 base business growth that you noticed in particularly in the ROW market as a positive indication that we have a plan to execute this year throughout the year.

Amey Chalke: Sure. Thank you so much. I'll join back the queue

e.

Moderator: Thank you. The next question comes from the line of Sajal Kapoor with Antifragile Thinking. Please go ahead.

Sajal Kapoor: Yes, thank you for the opportunity. Hi, team. I've got a couple of questions. In CDMO, many companies initially win isolated development or manufacturing assignments, but over time, the stronger platforms become embedded partners across multiple molecules and multiple stages of the development and commercial manufacturing life cycle. When you look at your

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Top 10 CDMO customers today, is the average customer spending meaningfully more with Piramal every 3 to 5 years, or is the growth still largely driven by continuously replacing completed projects with new ones?

Peter DeYoung: So, I think we cover some of this in our annual report break-up where we do a bunch of demographics, but we're particularly proud of our growth rate with our Top 20 customers over a multi-year period. And also, we break up and share in that the fact that many of our Top 20 customers are working with us across multiple sites because they see value in our network.

And even further, we give a breakdown showing that it's not just multiple sites; a lot of them

see the East -West benefit where they're working at least one of our Indian sites and one of our Western sites. And so, we think that these demographics are meaningful and significant in terms of the Top 20 customers demonstrating that they're buying multiple things from us and that they're growing faster than the rest of our business.

Sajal Kapoor: And Peter, are you saying that they actually expand their relationship by giving us multiple molecules over multiple sites over time? So, we get in the door, do one with them, and then one becomes 5 and 7?

Peter DeYoung: So, I'd say that, I was trying to draw the fact that we have absolute revenue growth higher for this segment. And the second point was that we have multiple offerings we give them, and very rarely would you get a whole bundle at once, you'll get that over time. And so, we use the concept of land and expand. And so, you often would begin with a single offering at a single site or maybe a single integrated project.

But yes, we have a track record of growing and adding projects with our larger customers over time. It's a core part of our strategy where we're trying to -- obviously, we like to grow across the different segments, but we would like to make our larger customers become more larger.

Sajal Kapoor: No, that's helpful. And in your experience, what are the common characteristics of customers who expand their relationships with Piramal, or who have expanded their relationship with Piramal from a single project to multiple programs, more complex programs for commercial manufacturing?

Peter DeYoung: Part of it is us and part of it is them. I'd start with what the part that is in our control is that we deliver on what we committed to and delight them. So, we have a whole customer satisfaction program to ensure that we're delighting. We call it delivery to delight and how do we ensure that we are delighting our customers and get to the point where they'd want to give us a referral or reference? That's our measure of success is the emotional in addition to the objective outcomes. And so, that's under our control.

And then what would be under the customer's control is that they need to have enough needs that are not being met, or that we could meet, that are in their portfolio. And so, they would need to have enough things in their pipeline or their offering that would be needing services.

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And so, we would see this strategy work best with the medium -to-larger size customers that have multiple pipeline offerings for whom we are delivering on our promises.

Sajal Kapoor: That's helpful, Peter. Thank you so much

h. Thank you.

Moderator: Thank you. The next question comes from the line of Abdul Kader Poonawala with ICICI Securities. Please go ahead. The current participant has been disconnected. We'll move on to the next question. It's from the line of Raj from Kotak AMC. Please go ahead.

Raj: Yes, hi. Thanks for the opportunity. Just a few questions. So, first in terms of the operating - in terms of the gross margin expansion actually, at the subsidiary level, so, I can see that it is going from 72% year-on-year growth to 68%. So, at what level of revenues in the subsidiary levels, or any guidance that you can give in terms of when this subsidiary gross margin starts to show meaningful improvement towards -- can we put a target of, say, 80% gross margin?

Vivek Valsaraj: Okay. So, Raj, firstly, if you look at gross margins for a quarter, they are not necessarily indicative of what the annual gross margins for the respective geographies would be.

Therefore, there is some mixed impact that normally affects gross margins. Typically, on an average, our gross margins for our overseas facilities are in the range of north of 75%, between 75% to 85%, whereas in India, if you look at it, the gross margins are on the lower side, around 55% to 65%. And that's how the blended average comes to about 64%, 65% for the overall company as a whole.

Typically, gross margins tend to be higher in our overseas facilities; the margin profile is high. But of course, expenses will also be high. So, at an EBITDA level, at scale, the EBITDA margins are comparable whether it's India or whether it's overseas. So, don't go by one quarter gross margin; it's not indicative of how the gross margin profile for the geographies is.

Raj: Sure. Thank you. You mentioned in terms of mix. So, again, not necessarily only for CDMO, but just if we can get some color on both qualitatively, quantitatively in terms of the split between standalone and consol for basically your CHG -- the CHG split between standalone.

So I think Sevoflurane in the US is made in the subsidiaries and I think the ex-US is in the standalone. So, what would roughly be that mix for CHG and then for CDMO?

Vivek Valsaraj: Yes. Currently for our CHG business, predominant portion of the business continues to reside outside of India. So, the standalone has a very small component of the overall CHG business; it's predominantly outside of India. And as far as our CDMO is concerned, it is roughly 48%

outside of India and the balance is India.

Raj: Okay. And just one last bookkeeping question. So, I think last quarter you mentioned about the FY26 ADC sales of \$64 million. Any sense that we can get this quarter, Q1, either exit rate or annualized rate for ADC this quarter?

Vivek Valsaraj: We're not providing this on a quarterly basis. You will see another update coming later during the fiscal year, Raj, not on a quarterly basis.

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Raj: Okay. Sure. Thank you.

Moderator: Thank you. The next question comes from the line of Vinod Jain with WF Advisors. Please go ahead.

Vinod Jain: Congratulations. The position continues to be adverse in this quarter too of taxation. How will it pan out in the coming 3 quarters? And secondly, is there any thinking on business reorganization to reduce the tax impact?

Vivek Valsaraj: Yes. So, Vinod, there are a couple of questions that you have asked, so let me take them one by one. The first is on the tax for the quarter. So, there are two components to it. Firstly, the tax for the quarter, if you're comparing that versus the corresponding period last year, is on the higher side and that's predominantly due to two factors.

The first being higher incidence of profit in tax-paying jurisdictions, and therefore you have a higher absolute value of tax. And the second is, last year we had created a deferred tax asset on the R&D tax credit that we

get in our overseas facilities. This year, we actually had to take a disallowance for some of those R&D work and we are going to file an appeal for that. But pending that, that impact is there. So, you'll see a negative tax last year and a positive tax impact this year creating that delta.

But to answer your larger question, which is how are we thinking about in structure, let me just assure you that we don't pay tax higher than the tax rate applicable to the respective jurisdiction, which means tax in India is less than 25%, tax in the US is less than 21%. The overall effective tax rate appears higher because some of the overseas facilities currently are not to scale, which means their PBT is lower, which is why the tax outflow divided by the PBT looks on the higher side.

As we have said that as our overseas operations scale up, EBITDA margins will improve and you will see a reduction in the tax. Our normalized tax rate should be in the range of 24% to 25% when we are at scale. Currently, it will look inflated because of this anomaly.

Vinod Jain: So, you can expect a sharp reduction in the coming quarters?

Vivek Valsaraj: No, not a sharp reduction in the coming quarters. As we have guided, tax rate will remain elevated in this financial year, but as we scale up on revenues in the years ahead, you will see a reduction.

Vinod Jain: Very well. Thank you. That's all from my side.

Moderator: Thank you. The next question comes from the line of Bharat Sheth with Quest Investment Managers Private Limited. Please go ahead.

Bharat Sheth: Hi. Congratulations, Piramal team and thanks for the opportunity. So, I have a question for Peter. Peter, when we are referring our annual report where we have stated that our differentiated offering within CDMO space has increased from say 32% to 42% to 47% in FY26. So, how with now several again capex that we are entering and which is likely to get Piramal Pharma Limited

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over in one year time.

So how do we see this differentiated offering really start contributing over next two, three-year time frame in CDMO and hence, I mean, improvement in the EBITDA on the -- within the CDMO business?

Peter DeYoung: I'll try and tackle that in two parts. The first is, if you look over the last few years, our contribution from differentiated offerings has been increasing and we expect that and growing at a higher rate than our overall business, and we expect that trend to continue. That's because of, I guess, some obvious points, but we will restate it.

First is they're differentiated and therefore more attractive to our customers. And second, we're putting more of our investments behind the differentiated offerings than the non-differentiated offerings. And so, our overall capacity is aligning towards differentiated offerings and customers want them because they're differentiated. So, we would expect over the forecast period in our LRP this percentage should go up.



If you ask the question about our EBITDA margins improving, I think we've discussed in the multiple calls over the past, there's —the single largest driver for our EBITDA margins to improve will be operating leverage and related to getting more of our facilities at the target scale. And we've demonstrated that when our revenues go up, that our operating leverage pulls through and we see the EBITDA margins expand.

And we've also demonstrated that as we increase the scale of our overseas sites, that the EBITDA margins hit more towards the target levels. And so, that will be the single largest driver for our overall margin expansion. But a second important driver would be a combination of differentiated offerings and also our on-patent portfolio, and those would be a mixed related element that would be individually and together supporting the EBITDA margin expansion story on top of operating leverage.

Bharat Sheth: Okay. Great

. And second question on now with our NPS has improved to around 60% in CDMO and which was a much lower in earlier year. So, with —where do we target and with that NPS continuously improving and improving our deliverability to the various customers, so how much new customer we have been able to, I mean, onboard or within existing customer deepening and hence we expect, I mean, some utilization of, I mean, our international plant and then hence improving EBITDA margin?

Peter DeYoung: So, we have different approaches to trying to get the positive impression our customers have lead to new business. The first is we have the NPS, which is an indicator of customer delight. And just to remind the background, it can go from -100 to +100, and a third-party benchmark demonstrated that the average CDMO has a negative net promoter score. So, I think the fact that we are in the 60 range is very favorable and so our targets are to maintain that as we grow and maybe modestly improve it, and we lay out those goals each year.

The second point is in terms of ammunition we have. We see that with these positive net promoter scores, we can get referrals, references at each of our sites. And we find that that's

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a very useful tool. Often when you're down to the, let's say, the last three choices in an RFP process, a customer will ask for referrals, and we look for the people who had given us an 9 or a 10 and they're very often the same ones that'd be willing to give a reference.

And so, we see this as very good ammunition when we want to go after new business. And we have added a number of new logos, first-time clients this quarter, and we see that as a positive sign of our collective commercial efforts, of which the delighted customer base is one of the inputs.

Bharat Sheth: Okay. Great. And thanks for the -- one more question on see -- and it's a very hearty to that we have announced a large ESOP for our customer -- employee who are a key pillar of the growth and education. So, with this kind of ESOP, can we -- what kind of roughly we assume in our financial model a cost within a P&L?

Vivek Valsaraj: So, if you're referring to the ESOP cost, it's normally based on the accounting guidance in terms of how the ESOPs get valued using a Black-Scholes model that considers the impact of the ESOP across the three-year period over which the vesting happens, and accordingly proportionate impact of that is taken in the P&L every year.

Bharat Sheth: No, with this new ESOP what?

Vivek Valsaraj: So, nothing changes from that. This is just a process of continuation of the ESOP policy that already existed. So, it's not like a new policy that's come in; we already had an ESOP policy in place. These are just with respect to the additional grants for the upcoming years.

Bharat Sheth: Okay. Thank you and all the best.

Vivek Valsaraj: Thank you. And all the best.

Moderator: Thank you. The next question comes from the line of Abdulkader Puranwala with ICICI Securities. Please go ahead.

Abdulkader Puranwala : Yes, hi. Thank you for the opportunity. So, my first question is with regards to your CDMO growth. So, you know, possible to break it down between, you know, how the innovator portfolio would have grown versus generics, and within the innovator, you know, how ADC would be a contributor for this particular quarter?

Vivek Valsaraj: So, Abdul, I would say it's a more broad-based growth. So, it's across each of the sub-verticals within the CDMO. So, whether it is our North American assets or whether it's our Indian assets, it's been more broad-based.

Abdulkader Puranwala : Okay. And so, with our partnership with Ajinomoto, what are the kind of investments we're planning, you know, to put into this partnership?

Peter DeYoung: The way this particular partnership works is that it's more about us sharing our

ability to work

together on the technology. And so, we already have examples where we're using their technology with clients. And so, it's about signaling to the market and particularly our customers or prospective customers on both our side and their side that we know how to work

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with each other to progress their technology in our facilities.

And so, it's really actually already capitalizing on work we had done with their technology for our clients that demonstrate that we can do it, and that for them that they can use their clients could use our facilities. And so, it's a positive signal that we know what we're doing with each other and that we are compatible.

Abdulkader Puranwala : Okay. And my next question is on the complex hospital generics business. So, you know, that business has grown fantastically well this quarter. And, you know, for the quarters ahead, I know we would have Canalog contribution coming from Q2. What on an organic basis do we see this kind of a revenue run rate flowing into the next few quarters as well?

Peter DeYoung: So, we tried to address that, I think, in the first question in the queue, which was we reaffirm our original guidance for the year, and that does include both organic growth and Canalog - related growth. However, I wouldn't necessarily assume the exact organic percentage that we had in Q1 would continue through the rest of the year. I would look back to the original growth we gave for the business overall.

Abdulkader Puranwala : Understood, sir. Thank you and all the best.

Moderator: Thank you. The next question comes from the line of Shyam Srinivasan with Goldman Sachs. Please go ahead.

Shyam Srinivasan: Yes, good morning. Thank you for taking my question. Just going back to your opening remarks, you mentioned higher capacity utilization and you also mentioned pricing discipline as some of the things that are driving growth. So, if you could illustrate say how our utilization levels have either moved Y -o-Y in in our key plants or if there's an average number for the network as a whole? And from a pricing discipline perspective, so what have we effected that's leading to better realizations ?

Nandini Piramal: I'd say that I think we don't disclose utilization on a plant -by-plant basis, but I would say that, you know, this quarter we, as Vivek said, we've seen broad -based growth and that includes increased revenues from our overseas sites. In terms of pricing discipline, I think it's both a mixture of, especially in the consumer healthcare business, we have raised prices a little bit to combat input cost inflation, as well as even in the CDMO business, we are looking at different pricing measures and how to manage some of the rising input costs.

Shyam Srinivasan: Helpful. Thank you. Just my second question on the capex update. So, how much was -- sorry if I missed the number -- quarter, how much did we do? What's our rate -rated guidance for this year? I can see that we have completed the Riverview one, but what about Lexington? If you could just give us the update on the capex plans and the qualitative update as well. Thank you.

Vivek Valsaraj: So, Shyam, we had guided for an annual capex of anywhere between USD 120 million to USD 135 million of capex. And currently we have spent about USD 21 million. It's obviously capex also ramps up as we progress through the year. The Lexington capex is on track for getting completed by the end of calendar year 2027 and the spends on that as well have been

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progressing as per plan.

Nandini Piramal: This would be calendar year '27. End of year.

Shyam Srinivasan : Got it. Thank you. All the best.

Moderator: Thank you. The next question comes from the line of Tushar Manudhane with Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: T

hanks for the opportunity. So, this ADC facility now sort of commercialized, so what kind of revenue potential one can think and over what period of time?

Peter DeYoung: This is the one at Riverview or at Grangemouth?

Tushar Manudhane: Riverview.

Peter DeYoung: Yes, the linker payload. Yes, it's a meaningful additional capacity at that site. I would say it's -- I would say it's in the single to low double digit revenue potential. It's immediately available for use and we're already having customers that are siding in it. So, we're seeing significant interest in it.

And just to recap why we're doing it is that we had already kind of sold out our existing

capacity, and these are usually reasonably short lead time or comparatively shorter lead time projects that can go straight into that. And so, we expect that to be beneficial in this year and also next year.

Tushar Manudhane: So, single to low double digit is the kind of potential for this site over a period of time, or this is the starting point and then ...?

Peter DeYoung: So, sorry, just to be clear, this is a single room in a large facility. The facility is primarily a high-potent API facility with large reactors. That's the primary purpose of the facility. This additional capacity was less than \$5 million of investment that was to kit out a specific room with the linker payload technology needed to allow us to do further scale production.

Tushar Manudhane: Understood. And just secondly on employee expenses has increased sharply for the quarter. How to think about it for the full year on absolute basis as well as a percentage of sales?

Vivek Valsaraj: Yes. The correct measure of that would be to compare it versus the Q1 last year. Sequential quarter might create some distortions because normally there would be some reversal of provisions for the short-term and the long-term incentives. But if you look at from Q1 last year versus Q1 this year, you will notice that even after adjusting for forex, the increase is in very low single digits.

Tushar Manudhane: Got it. And just secondly, other income has sort of increased sharply for the quarter, if you could ...?

Vivek Valsaraj: So, there are basically three components to our other income. One includes the amortization of government grant for the capex subsidies. The second is there could be some reversal of

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prior period expenses. And the third would be related to forex. So, these are the three components which are there. In this quarter, the increase is driven by a reversal of some provisions no longer required.

Tushar Manudhane: So, basically INR45 crore s to INR50 crore s is the run rate to think about rather than the number which we have achieved in Q1?

Vivek Valsaraj: That number could significantly vary because of the forex. So, depending upon how the currency moves, you will see, you know, some forex-related gains appearing there. So, it's difficult to give an exact number as to what that quantum will be.

Tushar Manudhane: Got it. And just lastly, with respect to exports, how much would have been the constant currency growth for us for the quarter? You can use CDMO and CHG separate.

Vivek Valsaraj: Benefit of currency across all business at a very high level would roughly be about 9% to 10%.

Tushar Manudhane: On a year-on-year basis, right?

Vivek Valsaraj: Yes.

Tushar Manudhane: All right, sir. Thank you.

Moderator: Thank you. The next question comes from the line of Alankar Garude with Kotak Institutional Equities. Please go ahead.

Alankar Garude: Hi. Good morning, everyone. Sir, in the past, you have spoken about your integrated differentiated ADC offering. Currently, your ADC sales are more skewed towards conjugation. With the Riverview expansion done, say over the next three to five years, should we expect more traction in winning integrated ADC contracts?

Peter DeYoung

g: Yes, we would expect with both the Riverview expansion, which is our newest -- one of our newest offerings in the integrated bundle, that we can then handle larger scale and more in line with our capacity in Grangemouth. And also, as important, the commercial expansion at Lexington will also further allow us to have larger scale ADC linkages.

And so, we would expect the growth to continue at Grangemouth for conjugation, but to be complemented by higher growth probably in the other two offerings to get the overall package more balanced. But we continue to expect the conjugation to be the anchor and the largest contributor to our offering, where we think we have the most differentiation.

Alankar Garude: Got it. The second question is on the large contract that where we had seen destocking. You had spoken about excess stock in the system in the last quarter and you had also mentioned about getting orders once inventory in the system is consumed. Can you update us on the current status of your discussions with the innovator and realistically can we expect any sales from next year, meaning FY '28?

Peter DeYoung: We don't currently anticipate anything this fiscal year. I think we communicated that was the

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expectation last quarter and we will -- we are continually in touch with them because we serve them on other projects. And when their situation changes in a material manner, we would likely let you all know.

Alankar Garude: Fair enough. And the final question from my side. You mentioned earlier in the call that a significant portion of the RFPs are being directed towards overseas facilities. Apart from the fact that you have capacities available overseas with very low utilizations and you have some differentiated capabilities as well in those facilities, are you seeing a clear preference by Big Pharma towards near-shoring?

Peter DeYoung: Not really. What I would say is that we are seeing -- I would -- I want to actually pick four reasons why we think that we're optimistic about demand. I'd say the first reason is that was covered is that our overall operational performance has improved. That's resulting in customers being delighted. We covered that with the net promoter score, so that's showing up in us having more references and positive sentiment in the market for what we have to offer.

The second one is that, we've substantially increased the size of our BD team, so we have more feet on the street talking with customers, drumming up proposals. And the third is that we have made further progress in our commercial transformation, which is how we go to market, reorganizing our teams and approach to be aligned with customer types and how we communicate with them.

And then the fourth one, I think, is external, which is more of our potential and current customers have money and need to spend it to progress the pipeline to meet their promises to their investors. That's generating a broad-based increase in RFP flow across our network that is not limited to the US or near-shoring.

That being said, we have a particular spike in interest in our near-shore offerings that is above and beyond that exciting, but I wanted to re-emphasize that all the prior points are affecting our network broadly and we're seeing an increase in proposal inflow across nearly all of our sites.

Alankar Garude: That's helpful. That's it from my side. Thank you.

Moderator: Thank you. The next question comes from the line of Karan Gupta with ACMIIL. Please go ahead.

Karan Gupta: Yes, hi. So, my question on the CDMO side, how many active molecules pipeline we have?

Last quarter you said 155 molecules and 25 is in the third phase, which is something commercial stage, right? So, how many molecules now in the commercial stage and what is the potential revenue of those?

Peter DeYoung: It's a fair question. I think his

historically we've updated those statistics annually. We are evaluating from time-to-time how frequently to share those with you all and we are evaluating whether we would do an interim update throughout the fiscal year, but at the moment that's been an annually updated set of figures because we find that you can have too

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many anomalies in a quarterly level, but we are and we will continue to re-evaluate whether we want to change the periodicity of sharing that, but right now it's an annual update.

Karan Gupta: Yes, I mean, you can share also maybe six-monthly, but what the potential revenue that you are looking for those 25 molecules?

Peter DeYoung: We don't historically, again, share individual or aggregate forecasts for groups of programs. I would just indicate that the later-stage programs typically are larger than the early-stage programs because of the definition of them being at that stage.

And so, the reason why we highlight that late-stage pipeline is that it's the, 50% chance on average it could make it to commercial and they typically would have the potential to be larger recurring revenue streams. So, we would ask you to assume that most of the 25, if successful clinically and with their registration, would be meaningful contributors to our future growth and that's why we've highlighted them.

Karan Gupta: Okay. Okay. One question on the margin side, just wanted to understand the margin trajectory going forward for the next two to three years. As we have set up the capacity in U.S. so, now how much the manufacturing capacity in percentage terms we have in India and in the US? And as the scale of US capacity, considering the labor cost and all the cost associated with those facilities, going forward for the CDMO specifically, how the margins trajectory will change and any ballpark figure for the same? And for the same thing, you can also share details on consumer healthcare and PCH business.

Vivek Valsaraj: So, Karan, we had in our five-year strategy indicated what the margin profile for each of the business we are targeting. For all the three businesses, the intent is to move on similar lines. Currently, the overall capacity utilization at our India assets are relatively higher versus the

overseas assets where we have newly created capacity, so their utilization levels are lower. The overall margin obviously depends upon the level at which capacity utilization happens. So, if you look at our North America or our European asset, as the capacity utilization ramps up, the margin will increase.

At the company level, we had said that we are targeting EBITDA margins of 25% by FY 30 and likewise for the CDMO business also we have said margins to move up in a similar range by FY30 and that's what we are targeting over the next five years. All of these details you can find in our strategy deck as well which is available on the website.

Karan Gupta : Okay. No, so I mean, which is particular business will contribute more in terms of margin expansion? So, I can understand that the other two businesses, I think, more stable in terms of margins, where the generics part and your PCH business, but your CDMO business I'm a bit concerned about how the margin trajectory will change for the CDMO business, right? So, as you said you have a couple of molecules in the commercial stage, right? So, what's the potential basically the revenue side of those molecules or the consistency of getting those molecules in the commercial stage? So, that is something that I want to understand.

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Vivek Valsaraj: So, Karan, CDMO is 60% of what we do, right? And also, the largest potential for margin expansion is in the CDMO business. So, this drive of margin from where we are today to go up to 25% will largely be driven by the CDMO business and more s

pecifically driven because

utilization at our overseas facilities is expected to improve, which will help drive this.

And at the same time, as you rightly mentioned, the pipeline of products with more innovative products with that kind of a differentiated mix becoming an increasing part of our business, that will drive the overall margin expansion.

As you rightly mentioned, complex hospital generics margins are stable and will remain stable, and for consumer products also we are expecting margin expansion to happen over the next few years.

Moderator: Thank you, sir. Mr. Karan, I would request you to please come back in the queue for further questions. Thank you. The next question comes from the line of Parikshit Gupta with Fair Value Capital. Please go ahead.

Parikshit Gupta : Thank you very much for the opportunity. And I joined the call a little late, so I'm sorry if I'm asking a repeat question. So, first on the CHG business, I wanted to check you were moving into newer geographies, the rest of the world part of the landscape. Has there been any updates on that?

Peter DeYoung: So, I think we shared in the opening remarks that the much of the growth in this quarter over the prior year was our X-US growth for our base business. And so, we think that that's a positive signal that some of the actions we began to take at the back end of last year were showing some fruit. And so, that is and will remain an important part of our growth this year in addition to Canalog, and we expect this is a positive signal for the remainder of the year.

Parikshit Gupta : So, just a quick follow-up on this. So, the contracts that you mentioned in two quarters ago that you were negotiating and entering geographies which had relatively less stringent regulations, so are these the growth that has come, is this from the same contracts that you were mentioning then?

Peter DeYoung: So, it's maybe less binary than what you're describing. We sell in 100 countries and in many of those countries we have some existing business, but we were not at our target market share percentages. And so, when we look at the growth this year over last year, we've had some market share gains in some of those countries where we historically maybe didn't have quite the same share that we have in this period.

And so, we're hopeful that we can continue to get some wins like this going forward based on other discussions we're having. And so, it's -- when you have that large of a ROW market landscape, we continue to play across the field and see where we can get wins.

Parikshit Gupta: Okay. This is helpful. My second question, in terms of Sevoflurane, I wanted to check for the US directed batches, is it completely manufactured from the -- from scratch in the US or some part of it is pre-manufactured say, for example, in the Digwal facility in India? I'm only asking this question because of the recent announcement of a potential two-year 0% tariff on

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India and then maybe a 100% on the generics portfolio. I know it's still in the works, but I just wanted to check any risks that we had over here.

Peter DeYoung: We think that we're reasonably well -positioned with that particular product to meet the wide range of possible outcomes with the US perspective on this. So, at the moment, we are making the API and the drug product for Sevoflurane in Bethlehem, Pennsylvania. We do have inputs that are provided to that from India and for supply chain resilience we had -- we could either send an input from Dahej straight to Bethlehem or we could do some intermediate processing at Digwal and then send it on to Bethlehem, but in both cases the API is made and the final stages are made in the US.

Parikshit Gupta: Understood. On the tie-up with New Amsterdam for the cholesterol metabolism drug, is there any update on that, please?

Peter DeYoung: Yes,

that was asked by one of the other participants before you joined and we repeated what we may have shared on prior calls, which is that we encourage you to look for publicly traded clients that we've announced or that they've chosen to say they're working with us. We encourage you to look at the analyst reports that are published on them because those analysts would be very well-informed as to the timing of each of those different companies and that one being an example.

Parikshit Gupta: Understood. On the CDMO business, you've mentioned that going forward a product mix and better utilization strategy would help uplift margins. I just wanted to check in terms of ADCs, what kind of percentage share are we at at the present moment and given our FY '30 guidance, what would be the percentage share that we have baked in in our assumptions?

Peter DeYoung: I would say that we have a small percentage share of a very large and rapidly growing market. And so, in order to achieve our long-range plan, we would not need to have any crazy or aggressive assumptions around market share gains. I think we are hoping to participate in what is a large and growing market with what we think is a differentiated offering, particularly for clients who are open to and interested in a non-China oriented supply chain. So, we don't need to achieve our LRP ambitions, which we are excited about, we don't need to have any heroics around massive market share gains. And we're not currently at a very high percentage in the market share also, so we think there's a lot of headroom.

Moderator: Thank you, sir. Mr. Parikshit, I would request you to please come back in the queue for further questions. The next question comes from the line of Devang Shah with ANT Financial. Please go ahead.

Devang Shah: Yes, hi. First of all, congratulations for some good set of numbers. There are only two questions regarding -- my concerns are regarding the overseas subsidiaries. I think so there are 11 overseas subsidiaries and the loss we accumulated over that was around INR146 crores or something like that, right? What are the utilization rates running today or do they need some percentage of utilization rate to come to the break-even?

Nandini Piramal: Yes, I think we are expecting that the increased utilization will help us to get scale and get Piramal Pharma Limited

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operating leverage, which will help us to break even. I think this quarter you will have seen that increase -- we'll see an increase in revenue in the overseas subsidiaries, which has helped improve our EBITDA margin.

Devang Shah: And the next question -- like the last question is, we paid a tax on a pre-tax loss. How much accumulated overseas tax loss is currently unrecognized on the balance sheet?

Vivek Valsaraj: So, we do have a -- if you look at our overseas subsidiaries' financials which are available in public domain, we do have significant carry-forward tax losses which are available across our North American, UK, and European facilities. Some of which we have recognized deferred tax assets over a period of time. For the ones which are yet to move to PBT positive, we are yet to recognize and those figures are available on the balance sheet.

Devang Shah: No, so that -- like by '27, FY '28, can we expect that that would nullify it out or it's going to get extended till FY '29 and '30 also?

Vivek Valsaraj: It will be a gradual shift depending upon the jurisdiction we are talking about. It won't be upfront at one go across all the locations. Different sites are at different level of utilization and profitability as we speak. As and when we see demonstrable profit, sustainable profit that happens, we will start utilizing those. It is more rapid towards utilization in our North America versus our European asset at this stage.

Devang Shah: That's fine. That's all from my side.

Moderator: Thank you.

Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Gagan for closing comments.

Gagan Borana: Thank you very much. We appreciate you taking time out to join us for today's call. We hope that we were able to answer most of your questions. In case you have any follow-up questions

or need any clarification, please feel free to reach out to us. Thank y ou and have a good day.

Moderator: Thank you. On behalf of Piramal Pharma Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.